AUDIT MANUAL

FOR

METROPOLITAN, MUNICIPAL AND DISTRICT ASSEMBLIES

ISSUED BY

THE INTERNAL AUDIT AGENCY/MINISTRY OF LOCAL GOVERNMENT AND RURAL DEVELOPMENT

Table of contents

LIST OF ABBREVIATIONS iv
1. INTRODUCTION 1
1.1 Objectives 1
1.2 Scope 1
1.3 Applicability 2
1.4 Clarifications 2
1.5 Updating 2
1.6 Manual Holders (Users of the Manual) 3
1.7 Structure of the Manual 3
2. MISSION, DEFINITION, REPORTING & ACCESSABILITY 4
2.1 Mission Statement 4
2.2. Definition of Internal Auditing 4
2.3 Reporting Line 4
2.4. Accessibility 4
3 INTERNAL AUDIT MANDATE AND POLICIES 5
3.1 MANDATE OF INTERNAL AUDIT UNIT (IAU) IN MMDAs 5
3.1.1 Scope of the Internal Audit Unit 5
3.1.2 Accountability 5
3.1.3 Responsibility 6
3.1.4 Authority 6
3.2. INTERNAL AUDIT POLICIES 7
3.2.1 Objectives 7
3.2.2 Audit Approach 8
3.2.3 Conduct and Role of Internal Audit staff 8
3.2.4 Audit Activities 8
4. AUDIT REPORT IMPLEMENTATION COMMITTEE (ARIC) 9
4.1 Introduction 9
4.2 Access to Information 9
4.3 Composition of the ARIC 9
4.3.1 Co-opted Members 10
4.4 Responsibility of Management 10
4.5 The Roles and Responsibilities of ARIC 10
4.6 Meetings of the ARIC 11
4.7 Tenure of ARIC Members 11
4.8 Remuneration and administrative support for ARICs 11
4.9 Evaluation ARICS 11
5 PERSONNEL AND TRAINING 11
5.1. Competence 11
5.2 Resourcing 12
5.3 Training and Professional Development 12
5.3.1 Training and professional development plans 12
5.3.2 Continuing Education 13
5.3.3 Training Records 13
5.3.4 New Staff 13
6. MANAGING INTERNAL AUDIT 14
6.1 Role of the Head of Internal Audit 14
6.2 Assignment of Audits 14
6.3 Audit Procedures 15
6.4 On-the-Spot Examination and Testing of Management and Control Systems 15
6.5 Audit Control 15
6.6 Personnel Management and Professional Development 16
6.7 Certification Programs 16
7. INTERNAL AUDIT STRATEGY AND PLANNING 17
7.1 Strategic Audit Plan 17
7.2 Annual Audit Plan 17
7.2.1 Purpose and Content 17
7.2.2 Audit Resources 18
7.3 Assignment Planning – Audit Agenda (or Audit Program Guide) 19

7.3.1 Time Budget 19
7.3.2 Purpose of the Audit Program Guide 19
7.3.3 Content of the Audit Program Guide 19
7.4 Reviews and Meetings 20
7.5 Auditor Timekeeping 20
8. AUDIT ASSIGNMENT METHODOLOGY 21
8.1 Introduction 21
8.2 Stages of an Assignment Audit 21
8.3 Initiation 24
8.3.1 Auditors Assignment 24
8.3.2 Auditee Notification 24
8.3.3 Request for Audit Services 24
8.3.4 Notification to the Interested Parties 24
8.3.5 Entry Conference (Initial Meeting) 25
8.3.6 Entry Conference Memo 25
8.3.7 Memorandum of Audit Scope and Objectives 25
8.4 Preliminary Review 26
8.4.1 Definition of the Preliminary Review 26
8.4.2 Objectives of the Preliminary Review 26
8.4.3 Sources of Information and Key Concepts 26
8.4.4 Documentation on the Preliminary Review 27
8.4.5 Audit Program Guide 27
8.4.6 Risk Management (Assessment of Internal Controls) 28
8.4.6.1 Definition 28
8.4.6.2 Objective 28
8.4.6.3 Risk Management Cycle 29
8.4.6.4 Risk Assessment 29
8.4.6.5 Risk Action Planning 35
8.4.7 Audit Programs 35
8.5 Fieldwork 37
8.5.1 Definition of the Fieldwork 37
8.5.2 Objectives of the Fieldwork 37
8.5.3 Documentation of the Fieldwork 38
8.5.4 Audit Findings Form 38
8.5.5 Finding of Illegal Acts 39
8.6 Audit Report 39
8.6.1 Reporting Responsibilities 39
8.6.2 Working Papers Review 40
8.6.3 Draft Assignment Report Format 40
8.6.4 Transmission of the Draft Report to the Auditee 40
8.6.5 Exit Conference (Closing Meeting) 40
8.6.6 Formal Draft 41
8.6.7 Audit Opinion 41
8.7 Final Assignment Report 41
8.7.1 Preparation of the Final Report 41
8.7.2 Distribution of the Final Report 41
8.7.3 Auditee Response 42
8.7.4 Auditee Comments 42
8.8 Monitoring the Implementation of Recommendations 42
8.8.1 Follow-up Process 42
8.8.2 Follow-up Report: Audit Recommendation Status Report 43
8.9 Pre-Audit of Transactions 43
8.9.1 Establishment of a Voucher Register 43
8.9.2 Verification of Transactions 44
8.10 Quarterly Reports 44
9 ESSENTIAL PRINCIPLES AND GUIDELINES FOR AUDITING 45
9.1 Human Relations Principles in Auditing 45
9.2 Other Principles 45
9.2.1 General 45
9.2.2 Obtaining Information 45

9.2.3 Documenting Information....46
9.2.4 Nature of Compliance Tests and Substantive Tests....46
9.2.5 Timing....48
9.2.6 Sampling Techniques....49
9.2.7 Extent of Testing....49
9.2.8 Effectiveness of Systems of Control....50
9.2.9 Efficiency of Systems of Control....50
10. AUDIT DOCUMENTATION....51
10.1 Introduction....51
10.2 Requirements....52
10.3 Cross-Referencing....52
10.4 Retention Policy....52
10.5 Audit Files....53
10.5.1 Current Files....53
10.5.2 Permanent Files....53
10.6 Documentation Management and Control....53
10.7 Files Structure, Identification and Traceability....54
11 GENERAL SECURITY ISSUES....57
11.1 Information Security – Internal Audit Unit....57
12. QUALITY CONTROL....57
12.1 General Auditing Quality Criteria....57
12.2 Quality Assurance Programme....58
12.2.1 Ongoing Internal Reviews....59
12.2.2 Periodic Internal Reviews....59
12.2.3 Periodic External Reviews....59
12.2.4 Annual Performance-Reporting on the IAU's Activities....60
13. CODE OF ETHICS....61
13.1 Introduction....61
13.2 Applicability and Enforcement....61
13.3 Principles....61
13.4 Rules of Conduct....62
13.4.1 Integrity....62
13.4.2 Objectivity....62
13.4.3 Confidentiality....63
13.4.4 Competency....63
13.4.5 Non-Adherence....63
13.5 Escalation Procedures....63

LIST OF ABBREVIATIONS

Audit Report Implementation Committee	**ARIC**
Certified Fraud Examiner	**CFE**
Certified Information Systems Auditor	**CISA**
Certified Public Accountant	**CPA**
Institute of Internal Auditors	**IIA**
Internal Audit Agency	**IAA**
Internal Audit Unit	**IAU**
Metropolitan, Municipal and District Assemblies	**MMDA**
Ministries, Departments and Agencies	**MDA**
Operational Procedures	**OP**
Public Financial Management Reform Program	**PUFMARP**
Risk Management Panel	**RMP**
Statements of Auditing Standards	**SAS**
Human Resource	**HR**
Ministry of Finance and Economic Planning	**MoFEP**
Controller and Accountant General's Department	**CAGD**
Internally Generated Funds	**IGF**
Head of Department	**HoD**
Head, Internal Audit Unit	**HIAU**
Payment Voucher	**PV**
Value Added Tax / National Health Insurance Levy	**VAT/NHIL**
Local Purchase Order	**LPO**

1. INTRODUCTION

Section 16(1) of the internal Audit Agency Act, 2003 (Act 658), provides that each MDA and MMDA shall have an Internal Audit Unit (IAU) which shall constitute part of the MDA or MMDA. The responsibilities of the IAU are provided in Act 658 and the Internal Audit Manual for Metropolitan, Municipal and District Assemblies. The Internal Audit Manual has been developed in conformity with Act 658 and requirements of the Professional Practice Framework issued by the Institute of Internal Auditors.
The Assembly supports the Internal Audit Unit (IAU) as an independent appraisal function to examine and evaluate the financial and operational activities of the Assembly. The IAU also keeps a check on compliance of rules, regulations, systems, policies, and procedures prescribed by the Assembly and / or by regulatory authorities. It is an important and integral part of the control system of the Assembly, which ensures that necessary controls are in place in financial and operational activities of the Assembly. Internal Audit, with objectivity, directly provides to the top management analysis, appraisal, observations, and recommendations concerning the activities it reviews.

1.1 Objectives

This Manual is not a text book on audit, the theory of which should be acquired by Internal Auditors through, inter alia, attending courses, in-house training and workshops.

The objectives of this Manual are to:

1.1.1 Document in detail the internal audit policies and procedures of Assembly.

1.1.2 Serve as a useful guide to the internal audit staff in respect of their responsibilities, approach, and authorities to conduct effective internal audits of Assembly and communicate audit results to the Assembly and related parties.

1.1.3 Use the documentation as a basis for internal initiatives for the improvement of systems and improving internal control procedures.

1.2 Scope

1.2.1 This Manual prescribes the organization structure, policies, procedures, formats, checklists, guidelines, and reference documents to be used by the Internal Audit Unit of Assembly to carry out its responsibilities. The responsibilities of the Unit on communicating audit results, its approach, authorities, and strategies to achieve its objectives have also been described.

1.2.2 The procedures have been described in narrative language and are supported by specimen operational procedures papers that have been appropriately referred and serially numbered to facilitate their identification.

1.3 Applicability

1.3.1 This Manual is intended to provide work instructions and guidance primarily to the staff of the Internal Audit Unit of MMDAs. However, certain guidelines are applicable to all the employees of Assembly as detailed therein.

1.4 Clarifications

1.4.1 Requests for clarifications of or explanations on the contents of this Manual should be addressed to the Director-General of the Internal Audit Agency.

1.4.2 The Agency will, from time to time, issue circulars and notices amending or adding to the policies and procedures to keep pace with the changing business requirements, expansion of the Assembly's activities, and modifications in the applicable laws, regulations, and internal auditing *Standards*.

1.5 Updating

1.5.1 The Internal Audit Agency may need to update the Internal Audit Manual to reflect changes in policies or procedures as decided from time to time, driven by either changing business requirements, expansion of the MMDAs' activities, or amendments in the applicable laws, regulations, or internal auditing *Standards*.

1.5.2 It is suggested that revisions be incorporated in the following manner:

- Responsibility for arranging revisions should be assigned to the Director-General of the Internal Audit Agency.
- Any changes proposed should be drafted by the manual-holders and forwarded to the Director-General with a copy of the section/sub-section proposed for modification.
- The Director-General should review the proposals, invite comments from the relevant heads and senior management of MMDAs, whenever necessary.
- Based on comments received, Director-General should prepare a revised manual of the related procedure(s).

Following the above approval process, the Director-General should:

- Arrange preparation of copies containing revised procedure(s) for circulation
- Arrange for circulation of the revised section(s) to all manual-holders as well as staff in possession of portions of the Manual. The revised sections should specifically bear the date from which the changes will be effective.
- Recall all superseded pages and destroy them
- Retain his superseded copies as master record

➲ See Operational Procedure OP 27 (Annex 32) – Revision to the Internal Audit Manual

1.6 Manual Holders (Users of the Manual)

1.6.1 Copies of the Internal Audit Manual should be retained by:

- The Members of the Audit Report Implementation Committee
- The Coordinating Director
- The Chief HR & Administration
- DG Internal Audit Agency
- The Manager, Information Technology
- All Sectional/Departmental/Unit Heads
- Placed on central Server for staff information (where applicable).
- Heads of Internal Audit Units in MMDAs

1.6.2 Extracts of the relevant portions of the Manual should be retained for reference by the internal audit staff.

1.6.3 This document is to be treated as confidential. No part of this Manual may be photocopied or taken out of office premises.

1.6.4 All manual holders are required to return the Manual intact to the Head of Internal Audit Unit on relinquishing their position due to transfer, promotion, retirement or any other reason.

1.7 Structure of the Manual

The manual is divided into three sections. These include the following:

The Main Body:
This section outlines all the elements and procedures that may be followed to establish and manage an effective and efficient Internal Audit Unit as well as those that are required to plan, execute and report on internal audit assignments.
Chapters 1 and 2 explain the purpose and role of the document. Chapters 3 to 6 define the administrative activities required to manage an effective and efficient Internal Audit Unit. Chapters 7 and 8 outline the activities to be pursued to plan, execute, report and follow-up on audit assignments. Chapters 9 to 12 explain audit principles, documentation and quality assurance whilst chapters 13 and 14 explain ethical requirements and how to manage the Internal Audit Unit.

Operational Procedures:
This section of the manual explains how to complete the various forms and templates that have to be completed when planning for, conducting and/or reporting on assignments as well as those that should be completed when following up on the status of implementation of the recommendations made in previous assignments.

Annexes:
This section contains the various forms that should be completed when planning, conducting, and reporting on assignments as well as when following-up on the status of implementation of the recommendations of the audit. Each document has also been assigned a reference number. This refers to the order of filing of the working papers as explained in Chapter 10.7

2. MISSION, DEFINITION, REPORTING & ACCESSABILITY

2.1 Mission Statement

Using the knowledge, experience and professional judgment, the Internal Audit Unit would strive to strengthen the internal control environment throughout the Assembly, by furnishing:

- On-going risk assessments,
- Constructive recommendations and analysis,
- Reliable opinions; and
- Reports to the management and the ARIC on adequacy of internal controls, the accuracy, reliability and propriety of transactions, the extent to which assets are accounted for and safeguarded, and the level of compliance with institutional policies, laws and regulations.

2.2. Definition of Internal Auditing

According to the Institute of Internal Auditors, USA, “Internal Auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes”.

The Assembly supports the Internal Audit Unit as an independent appraisal function to examine and evaluate the financial and the operational activities of Assembly. The Internal Audit Unit follows the International Standards of Professional Practice of Internal Auditing.

2.3 Reporting Line

The Head of Internal Audit reports functionally to the Presiding Member and the Audit Report Implementation Committee and administratively to the Coordinating Director and the Chief Executive of the Assembly. Internal Audit reports are covered by a transmittal letter.

➲ **See Operational Procedure OP 22 (Annex 24) – Transmission Letter to ARIC**

2.4. Accessibility

The Internal Audit Unit will have no direct responsibility or authority for any of the activities or operations it reviews. It should not develop and install procedures, prepare records, or engage in activities that would normally be reviewed by auditors.

3 INTERNAL AUDIT MANDATE AND POLICIES

3.1 MANDATE OF INTERNAL AUDIT UNIT (IAU) IN MMDAs

The mandate of the IAUs in the MMDAs is defined by the Internal Audit Charter and the responsibilities imposed on the Audit function by legal framework of Internal Audit Agency Act, 2003(Act 658) and the Local Government System.

3.1.1 Scope of the Internal Audit Unit

The scope of the IAU's work is to determine whether the Assembly's network of risk management, control and governance processes, as designed and presented by Management, is adequate and functioning in a manner to ensure that:

- Risks are appropriately identified and managed
- Interaction with the various governance groups occur as needed
- Significant financial, managerial and operating information is accurate, reliable and timely
- Employees' actions are in compliance with policies, standards, procedures and applicable laws and regulations.
- Resources are acquired economically, used efficiently and adequately protected
- Programmes, plans and objectives are achieved
- Quality and continuous improvement are fostered in the Assembly and are recognised and addressed appropriately.
- Accounting procedures are effective.

Opportunities for improving management control, and the Assembly's image may be identified during audits and communicated to the appropriate level of management.

3.1.2 Accountability

The Internal Audit Unit (IAU) of the Assembly shall be accountable to the Assembly. The IAU shall:

- Provide annually an assessment on the adequacy and effectiveness of the Assembly's processes for controlling its activities and managing its risks in the areas set forth under scope of IAU's annual plan.

- Audit and validate monthly financial statements submitted to the Minister of Local Government and Rural Development; Regional Co-ordinating Council, the Controller and Accountant-General and the Auditor-General.

- Report significant issues related to the processes for controlling the activities of the Assembly and its affiliates, where applicable, including potential improvements to those processes, and provide information concerning such issues through resolution.

- Periodically provide information on the status and results of the annual audit plan and the sufficiency of the IAU's resources

- Co-ordinate with and provide oversight of the other control and monitoring functions (risk management, compliance, security, ethics, environmental, external audit).

3.1.3 Responsibility

The primary objective of Internal Audit function in the Assembly is to assist the Management in the effective discharge of their responsibilities. In order to carry out this responsibility, the Internal Audit Unit shall:

- Develop a three year strategic plan, discuss it with management and present it to the ARIC for its review and approval.
- Develop an annual audit plan and submit the plan to Management for review.
- Implement the annual audit plan, as approved, including, and as appropriate, any special tasks or projects requested by the Management of the Assembly and the Audit Report Implementation Committee. Maintain professional audit staff with sufficient knowledge, skills, experience and professional certifications to meet the requirements of the audit function in the Assembly.
- Keep abreast of relevant best practice and new developments affecting their work and in matters affecting [the Assembly's] activities.

- Respond to [the Assembly's] changing needs, and strive for continuous improvement and maintain integrity in carrying out their activities.

- Issue reports to management summarising results of audit activities.

- Assist in the investigation of significant suspected fraudulent activities within the Assembly and notify management of the results.

3.1.4 Authority

The Unit has the authority to audit all parts of Assembly and shall have complete access to any of the records, physical properties, and personnel relevant to the performance of an audit. Documents and information given to auditors will be handled as prudently as they would be by those employees normally accountable for them.

The Internal Audit Unit is authorised to:

- Have unrestricted access to all Units within the Assembly and access to the records, property and personnel of the Assembly

- Have full and free access to ARIC members

- Allocate resources, set audit frequencies, select auditable subjects, determine scope of audit work and apply the techniques required to accomplish audit objectives

- Obtain the necessary assistance of personnel in Units of the Assembly where they perform audits, as well as other specialised services from within or outside the Assembly

3.2. INTERNAL AUDIT POLICIES

The salient features of audit policies are summarized as follows:

3.2.1 Objectives

a. Ensure audit assignments are based on risk assessment of systems and procedures focusing on reviewing and introducing controls to minimize the risks.

b. Add value to the Assembly's activities. The IAU should exceed the traditional "policing" role and be supportive to line management in developing and running the Assembly's business within the defined controls without being involved in operations.

c. Test and evaluate performance and adequacy of controls through critical reviews for effectiveness, integrity of transaction processing and safeguarding the Assembly's interest.

d. When the IAU has identified potential issues, it should issue early warning alerts by raising red flags to enable Management deal with the issues in a timely manner.

e. Issue reports on the extent of compliance on the Assembly's policies and procedures and regulations and assess implementation and compliance thereon.

f. Review organizational and procedural changes introduced by Assembly to assess availability of controls therein and that these are feasible for Assembly.

g. Evaluate policies and procedures before their finalization to assess adequate built-in controls are in place.

h. Provide suggestions and recommendations to improve the management of the Assembly. Exceptions must be related on major business issues and early warnings of deterioration that management will understand and act upon.

i. There must be on an ongoing basis a proper follow up of all audit observations and recommendations to ensure that management has implemented them.

j. Test and evaluate liabilities

k. Ensure the reliability of financial information

3.2.2 Audit Approach

In reviewing the Assembly's activities, internal audit reviews systems and procedures including the individuals performing those procedures. The observations and recommendations made by the Internal Audit Unit are bound to be constructive aiming at identifying control weaknesses in systems and procedures and making valuable contribution in preventing the same for long-lasting and overall improvement in the operations of Assembly.

3.2.3 Conduct and Role of Internal Audit staff

The Internal Audit Agency adopts the code of Ethics and Standards of the Institute of Internal Auditors, and other guidelines set by the Internal Audit Agency. (Please refer to Chapter 13).

3.2.4 Audit Activities

a) Determine the extent of compliance on the established policies & procedures and regulations based on the risks involved therein.

b) Evaluate the soundness of financial and operating controls and their cost effectiveness by highlighting real issues supported by the recommendations in participation with the operating management.

c) Ascertain the extent to which the Assembly's assets are safeguarded and deployed gainfully.

d) Appraise the reliability of information generated by the Assembly.

e) Evaluate the quality of performance in carrying out the jobs assigned to various employees.

f) Provide suggestions for improving the control environment of the Assembly.

g) Investigate allegations of fraud, misappropriation, or possible loss to the Assembly and suggest corrective and preventive measures to avoid future mishaps.

h) Provide consultation to line management wherever they seek Internal Audit's views in resolving complex issues confronted by them.

i) Review new products, services and computerized systems being proposed (before signing of to be offered) to Assembly to ensure adequacy of controls therein.

j) Review policies and procedures before their finalization to check necessary controls are in place.

4. AUDIT REPORT IMPLEMENTATION COMMITTEE (ARIC)

4.1 Introduction

The purpose of this chapter is to provide guidance on the roles, composition and responsibilities of the ARICs to enable them function effectively.
Section 30 (1) of the Audit Service Act, 2000 (Act 584) requires all institutions subject to auditing by Auditor General, including Ministries, Departments and Agencies (MDAs) and Metropolitan ,Municipal and District Assemblies (MMDAs) to set up an Audit Report Implementation Committee (ARIC) to ensure the implementation of the recommendations of audit reports. Section 16(8) of the Internal Audit Agency Act, 2003 (Act 658) also reiterates the need for all MDAS and MMDAS to comply with Section 30(1) of Act 584 and establish ARICs. The framework for professional practice of Internal Auditing issued by the Institute of Internal Auditors also requires organizations to have effective Audit Committees.
An ARIC is a statutory and high level independent corporate governance committee in the public sector financial management system. This committee will, among other things , promote the effective functioning of Internal Audit Units and follow up on the implementation of audit recommendations to ensure efficient and effective utilization of public resources in line with the objectives of the Public Financial Management Reform Programs (PUFMARP).

4.2 Access to Information

An ARIC shall have unrestricted access to all information, documents, personnel and adequate resources in order to fulfil its responsibilities. It is therefore important that the Governing Board of the Assembly supports and endorses the ARIC so that its operations are independent of management.

4.3 Composition of the ARIC

Section 30(1) of the Audit Service act, 2000 (584) requires an institution, body or organization which is subject to auditing by the Auditor-General to establish an ARIC, comprising of:

- The Governing Board or council of that institution, department, body or organization where such council or board exists by law; or
- A ministerial committee for Ministries, Departments and Agencies of the Central Government; or
- A Special Committee of the District Assembly.

It is envisaged that members shall be given induction and guiding principles on their roles, responsibilities and participation in the work of ARIC. Members are expected to be independent and diligent in their work.

The composition of the membership of the ARIC at the Metropolitan, Municipal and District Assembly level the ARIC is made up of five members as follows:

1. The Presiding Member or representative of the Presiding Member from among members of the Assembly (Chair)
2. A member of the Finance and Administration Sub-Committee of the Assembly.

3. The MMDA chief executive
4. The district Coordinating Director
5. One external representative with a minimum of four years experience in accounting or auditing nominated by the internal audit agency.

4.3.1 Co-opted Members

In the performance of its functions, an ARIC may co-opt any senior management personnel to the Committee.

4.4 Responsibility of Management

The primary responsibilities for the establishment of Internal Controls, ensuring compliance with laws, regulations and ethical standards within the entity lies with the management of the Assembly.

4.5 The Roles and Responsibilities of ARIC

An ARIC is mandated to;

a) Ensure the implementation of the recommendation in all audit reports of every Assembly.
b) Follow–up Auditor-General and Public Accounts Committee's recommendations as well as recommendations in internal audit reports

An ARIC may provide advice to management on the following;

a) Risk management
b) Internal control
c) Compliance with laws, regulations and ethical standards.

It shall be the duty of the Audit Report Implementation Committee to ensure that the head of an Assembly:

a) Pursues the review and implementation of matters in all reports as well as financial matters raised in the reports of Internal Monitoring Units in the institution, body or organization;
b) Annually prepares a statement showing the status of the implementation of recommendations made in all audit reports as well as the Auditor-General's reports which have been accepted by parliament.

Any other related directives of parliament.

- The statement shall show remedial actions taken or proposed to be taken to avoid or minimize the recurrence of undesirable features in the accounts and operations of the institution, body or organization and the time frame for action to be completed.
- The statement referred to above shall be endorsed by the relevant minister and forwarded to parliament, Office of the President; the Director-General of Internal Audit Agency (IAA) and the Auditor- General within six months after parliamentary decisions on the Auditor General's reports.

With regard to internal audit, the ARIC shall:
i) Review and advise on the strategic and annual internal audit plans.
ii) Monitor the performance of Internal Audit Units against its annual internal audit plans and strategic plans
iii) Monitor the implementation of agreed audit recommendations.

4.6 Meetings of the ARIC

For the effective discharge of its responsibilities, the ARIC should meet at least once every quarter of the financial year.
Any three of the members of an ARIC including the chair person and one external representative would constitute a quorum.
The committee shall have its own procedures on the conduct of its meetings.

4.7 Tenure of ARIC Members

External members of an ARIC shall serve on the ARIC for no more than two terms of two years each (no more than four consecutives years)

4.8 Remuneration and administrative support for ARICs

An ARIC shall be provided with administrative support by management to facilitate the work of the ARIC. This support shall include secretarial support and servicing of meetings. Sitting allowances applicable to Board members or senior management staff (whichever is higher and prevails) shall be paid to members of ARIC for its meetings.

4.9 Evaluation ARICS

The Auditor-General shall evaluate the performance of an ARIC annually to ensure that they perform effectively and that the Assemblies benefit from the work of the ARICs.

5 PERSONNEL AND TRAINING

5.1. Competence

The audit activities of the Assembly will be carried out by:
- A Head of Internal Audit Unit.
- Staff in the IAU

The Head of Internal Audit Unit is responsible for maintaining a team of staff that collectively possess the necessary knowledge, skills and disciplines for the achievement of the Internal Audit objectives.

In particular, the Head of Internal Audit is to:
- ensure staff possess appropriate professional skills, qualifications and experience; and
- provide opportunities to facilitate the continuing professional development of staff.

5.2 Resourcing

Under normal conditions, Internal Audit work is to be performed by staff of the Internal Audit Unit. Circumstances may arise where Internal Audit Unit staffing resources may require supplementation by the appointment of consultants.

The Internal Audit Unit may use the services of an audit services provider to:
- Satisfy Internal Audit Unit staffing needs during the workload peaks,
- Assist the Internal Audit Unit in the effective discharge of its responsibilities,
- Assist in the evaluation of risks and the controls over them,
- Have access to individuals with specialised knowledge or skills,
- Carry out IT Audit.

Such human resource supplementation is subject to detailed proposal and justification by the Head of the Internal Audit Unit and approved by the Coordinating Director.

➲ **See – Ad Hoc Internal Consultancy Services – OP 28**

5.3 Training and Professional Development

Internal Auditors should be trained and should interact with other professional auditors and bodies to keep informed about developments in the internal audit standards, procedures and techniques. Each internal auditor is responsible for maintaining an adequate level of technical competence and proficiency in related processes and systems.

5.3.1 Training and professional development plans

Regular training of Internal Auditors enables them to acquire the necessary skills required for the internal audit work. The Head of the Internal Audit Unit should prepare annual training and professional development plans. The preparation of such plans should be coordinated with the preparation of the Annual Audit Plans. In developing the training plan, the Head of the Internal Audit Unit should identify the training needs of each audit staff. The audit staff should be involved in identifying and mapping out his training needs.

The Annual Report on the functioning of the internal audit activity should include a report on the implementation of the training and professional development plans, including the following data:
- Training courses attended,
- Audits carried out and methodology applied,
- Professional qualifications acquired- Training on MIS and other software
- Training in Microsoft

5.3.2 Continuing Education

Each Internal Auditor is responsible for continuing his/her own education in order to maintain their proficiency and should:

- possess a body of knowledge necessary for the conduct of internal audit
- pursue a recognised, continuous process of education in order to sustain continuous professional growth in the field of Internal Auditing.

Staff members are encouraged to prepare and sit for the examinations for professional certification. Any of the following certifications should be considered:

- Certified Internal Auditor (CIA)
- Certified Public Accountant (CPA)
- Certified Information Systems Auditor (CISA)
- Certified Fraud Examiner (CFE).
- Chartered Accountant,

Internal auditors with professional certifications should obtain sufficient continuing professional education (CPE) to satisfy the requirements of professional certifications held.

The internal auditors will attend seminars and training workshops as deemed appropriate and in line with the training program developed by the Head of the IAU.

5.3.3 Training Records

Adequate training records should be maintained for each Internal Auditor. These should include details of skills requirements for all posts and those held by the Internal Audits as a result of education, training, continuous professional education required by professional bodies and practical experience. These records are essential for assessing further training needs.

5.3.4 New Staff

All new staff members will receive an introductory session on:

- Role of the Assembly (functions, structures, environment, etc.),
- Relevant legislation
- The procedures manual including Internal Audit Manual of the Assembly
- HR Manual
- Risk assessment procedures of the Assembly - Reporting procedures,
- Filing system,
- ICT systems (Information and Computer Technology).

6. MANAGING INTERNAL AUDIT

6.1 Role of the Head of Internal Audit

The Head of the Internal Audit Unit should properly manage the Unit and should:

- Establish risk-based plans to determine the priorities of the audit activity consistent with the Assembly's goals
- Ensure that professional internal auditing standards and practices are followed
- Ensure that a strategic plan is devised and implemented through annual plans for the Assembly.
- Ensure that financial and human resources are appropriate, sufficient and allocated for the effective implementation of the annual audit plans.
- Ensure that audit planning, fieldwork, reporting and follow-up are performed in accordance with the Internal Audit Agency standards and monthly financial statements reporting and other fundamental controls.
- Adopt and maintain the IAU quality assurance policy for internal and external reviews developed by the IAA.
- Determine the extent of coordination with external auditors to avoid duplication of audit effort. Usually, audit plans should be shared, working papers reviewed by both parties, and periodic meetings held, so that
    - the goals can be accomplished within specified operating plans and budgets,
    - the goals should be measurable,
    - communication plan of audit assignments and resource requirements for the IAU including impact of resource limitation (where appropriate) to the Head of the Assembly and the ARIC
- Review to find out the working papers contain a time budget analysis for the project that identifies:
    - hours budgeted by audit segment,
    - actual hours by audit segment,
    - variances between budget and actual hours with explanations of material variances,
- Ensure the timely and efficient completion of internal audit engagements.
- Prepare IAU annual activity report (See Chapter 12 - Quality Control). This should be submitted to the Internal Audit Agency and copied to the Coordinating Director
- Statement of Auditing Standard (SAS) 200 – Planning – The Head of Internal Audit should establish risk-based plans to determine the priorities of the audit activity, consistent with the Assembly's goals.

6.2 Assignment of Audits

It is the responsibility of the Head of the Internal Audit Unit to allocate the audit assignments taking into consideration the factors which influence the scheduling and assignment of audits:

- Degree of risk or exposure to loss
- Type of audit
- Availability of appropriate auditee staff resources
- Skills and availability of Internal Audit staff
- Reduced availability of staff resources due to unanticipated audits
- Availability of logistical resources

The head of the Internal Audit Unit assigns the audits and tasks to internal auditors according to the nature and complexity of the audit and internal auditor's experience and special preparation.

6.3 Audit Procedures

The Head of Internal Audit ensures that the Assembly's internal auditor(s) conduct audits and reviews according to generally accepted auditing standards using such audit programs, techniques and procedures as prescribed by IAA..

The operation of the internal audit functions to be carried out must be consistent with:

- The Internal Audit Charter
- The Internal Audit Manual
- Statement of responsibilities (Job Descriptions),
- Code of Ethics for Internal auditors
- The Standards for the Professional Practice of Internal Auditing (Institute of Internal Auditors).
- The national laws and other regulations on internal audit in Ghana.

6.4 On-the-Spot Examination and Testing of Management and Control Systems

On site, the Internal auditor must aim to obtain sufficient convincing, appropriate and reliable evidence that the management and control systems in place are operating as described and that they are adequate to ensure the regularity of expenditures and the accuracy and completeness of financial and other information. In carrying out audits, Internal auditors should check that the system described actually exists in practice, and that appropriate mechanisms exist to keep the documentation of the system up to date.

Testing to be carried out involves the documentation of systems through reviews of files, supplemented where necessary by interviews with relevant staff, together with the testing of the operation of those systems.

Testing of the operation of systems is carried out through examination of a sample of transactions. Sufficient testing should be carried out to enable sound conclusions to be reached on the efficiency of the systems under examination.

6.5 Audit Control

The head of Internal Audit Unit shall check the compliance of the completed work with the standards, the conclusions and evidence to the audit findings, as well as supervise to ensure that the planned time-table is met and the time allocated for the audit is used effectively.
Audit control can be delegated to a Senior Auditor who will be responsible for reviewing the work of other Auditors in detail. The work of the Senior Auditor must be reviewed by the Head of the IAU to ensure the quality and adequacy of work performed.

6.6 Personnel Management and Professional Development

The Head of Internal Audit establishes a program for selecting and developing IAU human resources

The program provides for:

A) Developing written job descriptions for each level of the audit staff

B) Selecting qualified and competent individuals.

C) Training and continuing educational opportunities

D) Appraising each auditor's performance at least annually

E) Providing counsel to auditors on their performance and professional development on an on-going basis.

6.7 Certification Programs

One aspect of professional development is obtaining professional certification as a Certified Internal Auditor, Certified Information Systems Auditor, or Certified Fraud Examiner etc. To increase the professionalism and credibility of the audit staff, the Unit supports employees' efforts in achieving certification through obtaining study aids etc. depending on the needs of the Assembly. Professional certification is a factor used in the Unit's annual employee performance appraisal.

Professional development through certification, membership, and participation in professional organizations is encouraged. Furthermore, training in other areas as needed by the Assembly and required to perform the assigned duties, may also be arranged for the IAU staff. IAU funds may be available and budgeted to support this activity.

7. INTERNAL AUDIT STRATEGY AND PLANNING

Internal Auditors should develop and record a plan for each engagement (Standard 2200 – Engagement Planning)
The audit plan developed by the IAU of the Assembly is structured on three levels:

- Three-year plan revolving plan, strategic audit plan;
- One year plan, annual planning;
- Assignment Planning.

7.1 Strategic Audit Plan

The Long term planning or the strategic working plan must identify all the thrust (auditable) areas within Assembly and propose to be covered by the Internal Audit Unit during the subsequent three years. The plan should also identify the thrust (auditable) areas that are not covered in this cycle and the reasons for which there will be no verification.

Identification and prioritisation of thrust (auditable) areas are to be based on:

- An assessment of risk pertaining to the achievement of the Assembly objectives.
- Human resources and competency of IAU
- Discussions with Coordinating Director and other senior management.
- Professional judgment of internal auditors

The strategic audit plan shall be sufficiently comprehensive to ensure a complete and effective review of the Assembly activities on a cyclical basis and allow flexibility to accommodate special tasks and audits requested by the ARIC/Coordinating Director. The Strategic Plan should include:

- Risk Assessment methodology
- frequency with which each auditable area requires a review (based on the risk analysis),
- the nature of the reviews,
- the audit work for the current fiscal year in a schedule of audit coverage
- resources allocated to the completion

Each Strategic Audit Plan shall be prepared and submitted by the Head of Internal Audit Unit and approved ARIC and the Coordinating Director after review by the ARIC.

The Strategic Audit Plan can be corrected following the suggestions of the ARIC and/or the Coordinating Director, determined priorities and important changes in the Assembly's activities. Any change must be approved by the Coordinating Director.

➲ **See Operational Procedure OP 00 (Annex 1) – Strategic Plan**

7.2 Annual Audit Plan

7.2.1 Purpose and Content

An annual audit plan which includes objectives, priority, timing and resource requirements should be prepared for each year. The Annual Audit Work Plan is primarily an abstract/subset from the Strategic Audit Plan. It forms a basis for ongoing review of the

strategic work plan. The annual plan should be prepared by the IAU, and approved by the Coordinating Director.

The annual plan includes:

- types of audits to be performed during the current year;
- program;
- allocated resources (time management);
- Staff training and development;

The Annual Audit Plan can be revised following suggestions from the ARIC'/Coordinating Director and other senior managers suggestions, determined priorities and important changes in the Assembly's activities. Any change must be approved by the Coordinating Director.

In formulating the annual audit plan, the Internal Audit Unit will consult with senior management, including the Coordinating Director of the Assembly and the ARIC.
The management input memo will be used to obtain suggestion, determined priorities and important changes in activities from management and the ARIC.

➲ **See Operational Procedure OP01 (Annex 2) – Management Input Memo**

The integral parts of an annual audit plan should define:

- objectives/purpose of the audit;
- type of the audit;
- identification / description of the activity / operation subject to internal audit
- identification / description of the audited entity / entities
- duration of the audit
- period of the audit
- number of the Assembly's Internal Auditors involved in the audit
- identification of issues requiring specialist knowledge, as well as the number of specialists with whom external expertise / consultancy contracts are to be signed (if required);
- actual auditors to perform an audit and the resources needed; and
- other IAU activities, like the training and seminars for auditors, preparation of IAU activity report.

If at any point in time, the Internal Audit Unit is requested to undertake a special / unplanned assignment or if there is a change in the risk assessment of the Assembly operations requiring an amendment of the approved plan, Internal Audit will revise the audit plan and:

- consult with the Coordinating Director,
- submit a revised annual audit work plan, along with an explanation for the change, to the ARIC and the Coordinating Director for approval.

➲ **See Operational Procedure OP01 (Annex 4) – Annual Audit Plan**

7.2.2 Audit Resources

Some 15% of each auditors annual working time can be left undistributed in an annual plan to allow the flexibility and assure the applicable execution of IAU activities (e.g. for possible illnesses, execution of unplanned audit and other important circumstances). This 15% can be broken down as follows:

- 5% Ad hoc investigations
- 5% consulting activities
- 5% Flexibility

➲ See Operational Procedure OP28 – Ad Hoc Internal Audit Consulting Services

7.3 Assignment Planning – Audit Agenda (or Audit Program Guide)

In planning each audit assignment, the Head of the IAU should consider:
- the objectives of the activity being reviewed
- the significant risks to the activity and resources needed
- the adequacy and effectiveness of the activity's risk management and control systems and suggestions for making significant improvements

The task planning is ensured by using an Audit Operative Programme (or Audit Program Guide).

7.3.1 Time Budget

A time budget provides overall guidelines for the performance of the audit. It is approved by the Head of Internal Audit and enables the IAU to control the audit work in process.

7.3.2 Purpose of the Audit Program Guide

The Audit Program Guide is a task plan prepared as a framework for the conduct of the audit assignment and guidance to the auditors undertaking the review. The purpose of an Audit Program Guide is to provide audit procedures to be performed during the audit that will achieve the specific audit objectives.

The Audit Program Guide is also a record of supervisory approval of work to be performed. It provides a basis upon which to budget and control the audit. Following an approved and detailed Audit Program Guide will prevent the auditor from getting off the track and pursuing irrelevant items.

In conjunction with the Audit Program Guide and the Internal control rating, the auditor develops Audit programs to be approved by the Head of Internal Audit and completed.

7.3.3 Content of the Audit Program Guide

The Audit Operative Programme includes information under the following headings:

<u>Background</u>
At the beginning of the audit, provide a general overview of the auditee's operations.

Planning
The planning program must be written before any time is incurred on the audit.

Audit Scope
The audit scope should mention which period / area / operation are to be covered by the audit.

Audit Objectives
Objectives should fit within the overall scope of the audit. Every audit procedure should help answer one of the objectives and every objective should be addressed in the procedures. All stated objectives must be answered and supported by test work, referring to Audit programs developed by the Auditors.

➲ **See Operational Procedure OP11 (Annex 15) – Audit Program Development**

Auditors must use imagination, ingenuity and intelligence in creating audit procedures responsive to objectives.

Administration and Wrap-up
This includes all procedures not related to planning and testing, i.e. completing forms, report writing, etc.

7.4 Reviews and Meetings

The Head of Internal Audit may provide to the ARIC and/or the Coordinating Director with periodic oral or written interim reports on progress in terms of the strategic and annual audit plans.

Interim reports on significant matters and matters of concern and immediate attention, changes in audit scope and other relevant issues have to be provided in written form.

The audit process will be covered by regular reviews and staff meetings. A weekly staff meeting will take place.

Head of Internal Audit is responsible for the implementation of the internal audit plan. She/he is also responsible for establishment of an effective supervision system ensuring the implementation of the annual audit plan.

All performed reviews shall be registered in the summary document on preparation and implementation of audit stages and enclosed to the audit file, which provides evidence to the management about the completed work.

Head of Internal Audit shall also sign all examined documents in the audit file.

7.5 Auditor Timekeeping

The Internal Audit Unit should record time spent by audit to assist in reporting audit coverage of risks, planning of future audits and projects, and evaluating audit staff. Internal Auditors are required to prepare a weekly Time-sheet Form and submit it to the head of Unit at the weekly meetings.

➲ **See Operational Procedure OP24 (Annex 26) - Timekeeping**

8. AUDIT ASSIGNMENT METHODOLOGY

8.1 Introduction

This section of the internal audit manual explains the procedures for conducting an audit assignment in a selected thrust area from the initial assignment through to quality review.

The flow-chart presented on the next page gives a global vision of the process.

- Left part of the chart indicates each step of the process with a reference to the relating operational procedure.
- Right part of the chart indicates the output of the process with a reference to related operational procedure and corresponding document with reference to the working papers indexation.

In the Operational Procedures and in the Annexes attached to this manual, are included standard forms and samples. References assigned to the standard forms refer to their position within the working papers files.

➲ **See Section 10.7 – Audit Documentation**

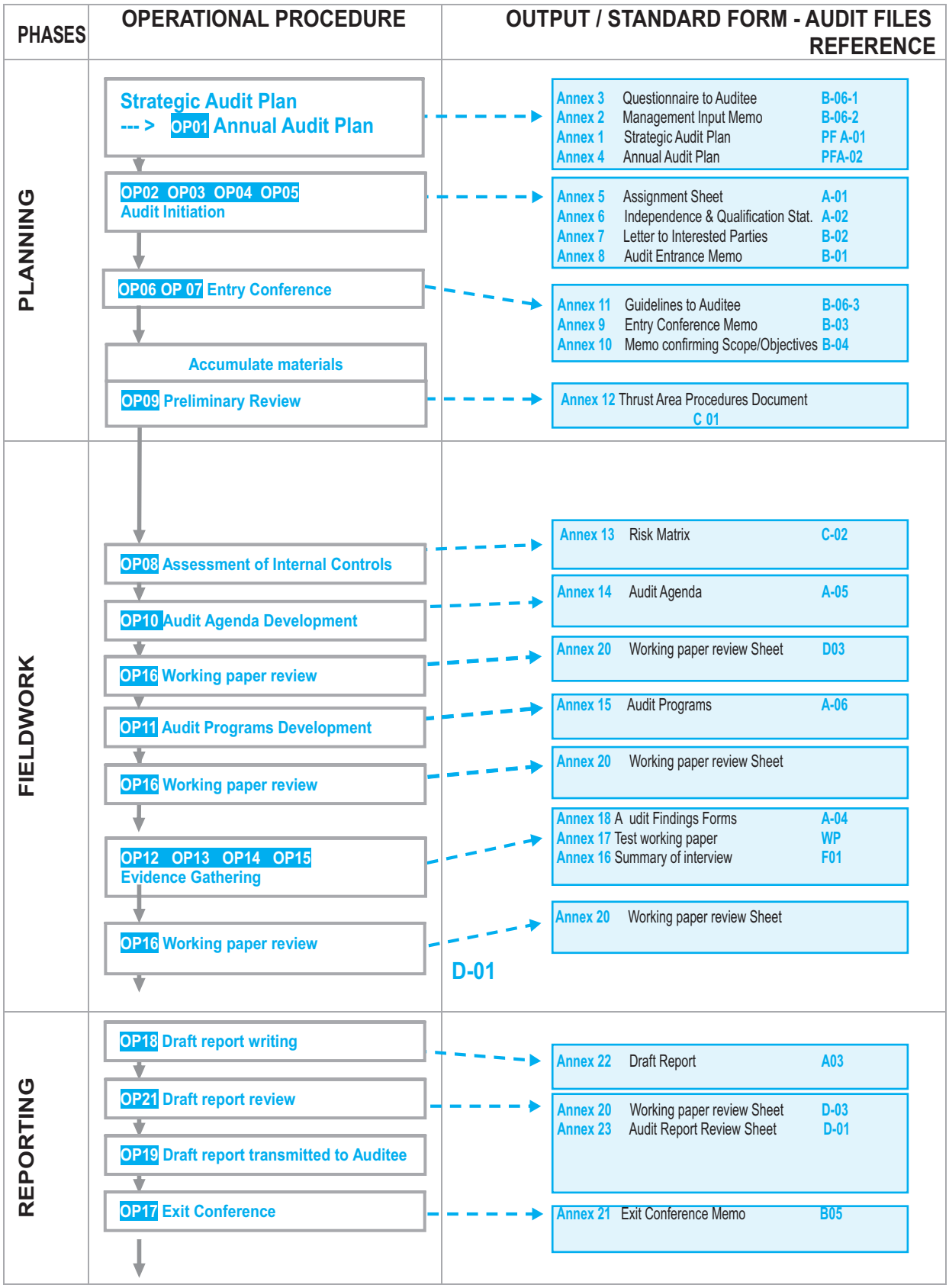
8.2 Stages of an Assignment Audit

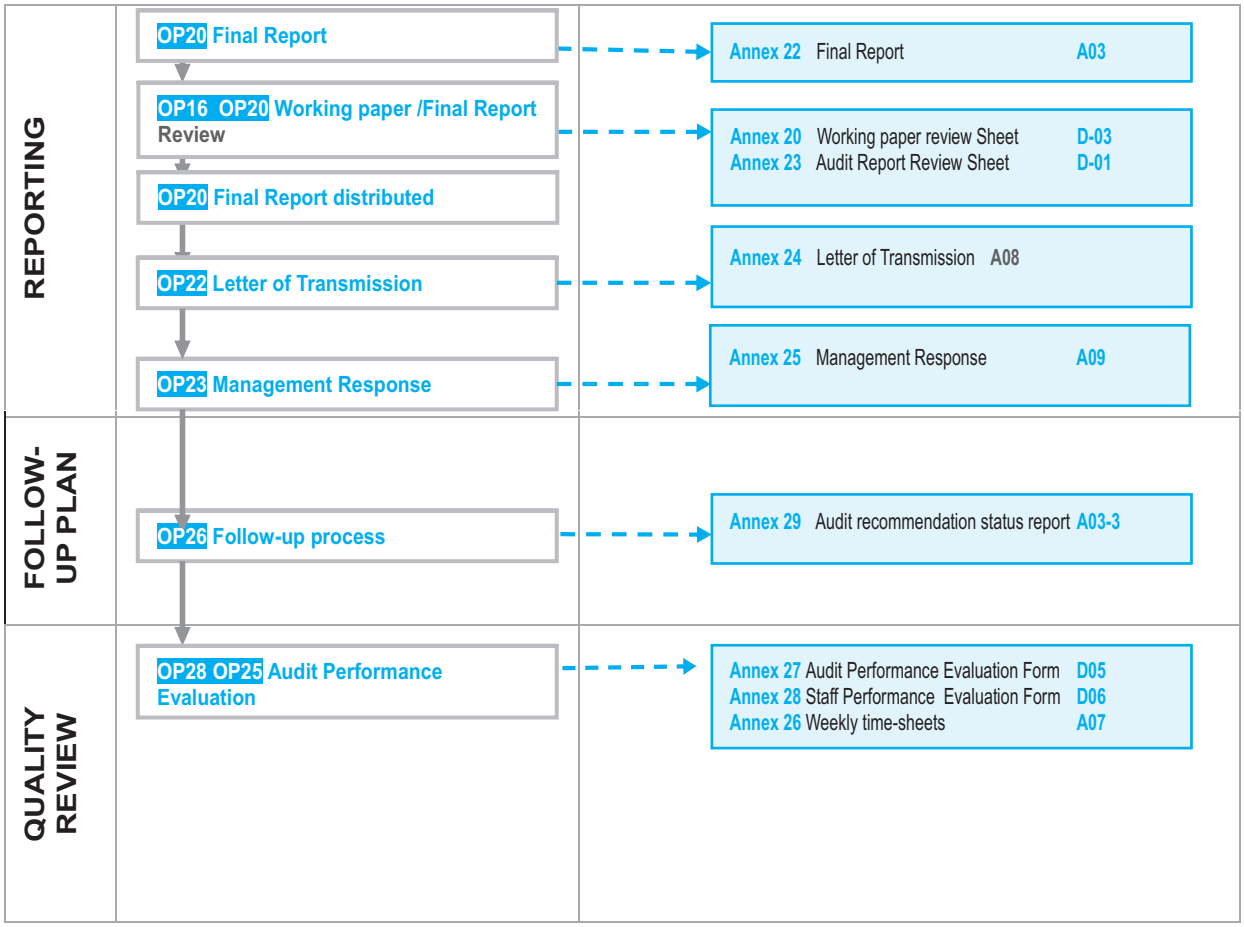
The audit process is similar for most engagements and normally consists of four main stages:

- Planning
- Fieldwork,
- Audit Report,
- Follow-up Review.

Management's involvement is critical at each stage of the audit process.

Usually any planned audit is to be carried out observing the sequence depicted in the following flowchart. Special audits and investigations may require a different approach which will be defined on a case-by-case basis.


PHASES
OPERATIONAL PROCEDURE
OUTPUT / STANDARD FORM - AUDIT FILES REFERENCE
PLANNING
Strategic Audit Plan
---> OP01 Annual Audit Plan
OP02 OP03 OP04 OP05
Audit Initiation
OP06 OP 07 Entry Conference
Accumulate materials
OP09 Preliminary Review
Annex 3 Questionnaire to Auditee B-06-1
Annex 2 Management Input Memo B-06-2
Annex 1 Strategic Audit Plan PF A-01
Annex 4 Annual Audit Plan PFA-02
Annex 5 Assignment Sheet A-01
Annex 6 Independence & Qualification Stat. A-02
Annex 7 Letter to Interested Parties B-02
Annex 8 Audit Entrance Memo B-01
Annex 11 Guidelines to Auditee B-06-3
Annex 9 Entry Conference Memo B-03
Annex 10 Memo confirming Scope/Objectives B-04
Annex 12 Thrust Area Procedures Document C 01
FIELDWORK
OP08 Assessment of Internal Controls
OP10 Audit Agenda Development
OP16 Working paper review
OP11 Audit Programs Development
OP16 Working paper review
OP12 OP13 OP14 OP15
Evidence Gathering
OP16 Working paper review
D-01
Annex 13 Risk Matrix C-02
Annex 14 Audit Agenda A-05
Annex 20 Working paper review Sheet D03
Annex 15 Audit Programs A-06
Annex 20 Working paper review Sheet
Annex 18 A udit Findings Forms A-04
Annex 17 Test working paper WP
Annex 16 Summary of interview F01
Annex 20 Working paper review Sheet
REPORTING
OP18 Draft report writing
OP21 Draft report review
OP19 Draft report transmitted to Auditee
OP17 Exit Conference
Annex 22 Draft Report A03
Annex 20 Working paper review Sheet D-03
Annex 23 Audit Report Review Sheet D-01
Annex 21 Exit Conference Memo B05


REPORTING
OP20 Final Report
OP16 OP20 Working paper /Final Report Review
OP20 Final Report distributed
OP22 Letter of Transmission
OP23 Management Response
Annex 22 Final Report A03
Annex 20 Working paper review Sheet D-03
Annex 23 Audit Report Review Sheet D-01
Annex 24 Letter of Transmission A08
Annex 25 Management Response A09
FOLLOW-UP PLAN
OP26 Follow-up process
Annex 29 Audit recommendation status report A03-3
QUALITY REVIEW
OP28 OP25 Audit Performance Evaluation
Annex 27 Audit Performance Evaluation Form D05
Annex 28 Staff Performance Evaluation Form D06
Annex 26 Weekly time-sheets A07

8.3 Initiation of the Audit Process

8.3.1 Auditors Assignment

Based on the approved annual plan, the Head of Internal Audit will assign audit assignments in different thrust areas to the individual auditor(s) so she/he/they can begin the Preliminary Review. An Assignment Sheet is issued

➲ See Operational Procedure OP02 (Annex 5) – Assignment Sheet

Independence and qualification of the selected auditor(s) must be established and documented. To document the independence and the qualification of the auditor(s) assigned, an Independence and Qualification statement is issued

➲ See Operational Procedure OP03 (Annex 6) – Qualifications and Independence of Staff

8.3.2 Auditee Notification

The IAU shall notify the Auditee via a letter (Audit Entrance Memo) that an audit has been scheduled.

➲ See Operational Procedure OP05 (Annex 8) – Audit Entrance Memo

8.3.3 Request for Audit Services

Request for audit services from the Assembly Departments

Interested parties may take the initiative of requesting audit services. To ensure that any audit needs are expressed, a Management Input Memo is sent to the Assembly Departments to inform them that the IAU is preparing an annual audit plan. The Assembly Departments are invited to express their needs for audit services. Any request must be considered and treated by the IAU. The decision to carry out or not the requested services is taken by the Head of Internal Audit in corroboration with the Coordinating Director.

➲ See Operational Procedure OP 01 (Annex 4) – Annual Audit Plan

➲ See Operational Procedure OP 01 (Annex 2) – Management Input Memo

8.3.4 Notification to the Interested Parties

A letter (Letter to interested parties) is sent to any interested parties to inform them that the Internal Audit is initiating an audit of the Department/Branch. Its purpose is to organise a meeting with the auditee in order to discuss the purpose, objectives and the working arrangements of the audit.

➲ See Operational Procedure OP04 (Annex 7) – Notification to Interested Parties.

Such items may include possible requests for delaying the audit due to poor timing or unusual circumstances, special concerns of the Assembly, etc. Such delays must however be justified to the Assembly's Management and in the event of such delays conflicting with best professional internal audit practice and good governance, notify the Coordinating Director.

8.3.5 Entry Conference (Initial Meeting)

An Entry conference should be held to gather information about the mission, critical processes, and control procedures of the auditee operations to be used in the preliminary review process. The auditor uses this information to determine an appropriate objective and scope for the audit. During the initial meeting it is important that the senior manager and any staff members s/he wishes to include identify issues or areas of special concern that should be addressed. At this stage it is advisable to provide the auditees with the explanation or written guidelines to expedite the audit process while minimising disruptions to day-to-day departmental operations (Employee guidelines for managing an audit – Annex 11).

➲ See OP 07 (Annex 11) – Guidelines to Auditee for Handling an Audit

➲ See Annex 3 – Questionnaire to Auditee

8.3.6 Entry Conference Memo

The Entry Conference's date, attendees, and substantive items discussed which are directly related to audit scope, objectives, timing, or confidentiality should be documented using an Entry Conference Memo – Annex 9. Interviews with auditees must be carried out by two auditors.

➲ See Annex 8 – Entry Conference Memo

8.3.7 Memorandum of Audit Scope and Objectives

Further to the Entry Conference, a Memorandum confirming Audit Scope and Objectives – Annex 10 is sent by the IAU to the Auditee to confirm the mutual understanding of the audit objectives and scope.

➲ See Operational Procedure OP06 (Annex 10) – Confirmation of Audit Scope and Objectives

8.4 Preliminary Review

8.4.1 Definition of the Preliminary Review

The Preliminary Review is the identification and analysis of risk for the audit. It should lead to the elaboration of the Audit Agenda. During the preliminary review the auditor gathers relevant information about the audited Department in order to obtain a general overview of operations. The preliminary review, if done correctly, will provide a clear picture of operations and internal control points such as division of duties, reconciliation and review of procedures, etc.

8.4.2 Objectives of the Preliminary Review

The Preliminary Review has two main objectives:

1. Using professional judgement and available information to determine the most appropriate audit objective(s) and scope (i.e. statement of audit boundaries).
   The audit objective(s), scope, and time budget should be constantly reassessed throughout the audit process to ensure efficient use of audit resources (e.g., should the remaining audit procedures be eliminated, should the objective or scope be limited or expanded, have more efficient procedures been identified, or should additional hours be allocated). If, through this constant reassessment, significant changes are made to the objective and/or scope initially agreed with the Coordinating Director and other Management Staff, they should be communicated accordingly.

2. Prepare the Audit Agenda and determine the Audit Programs needed to gather sufficient, competent, relevant, and useful evidence to accomplish the established objective(s).

8.4.3 Sources of Information and Key Concepts

The following are standard procedures for the preliminary review.

a) Review of the Assembly: Organisation charts and information on interfacing functions / Divisions / Departments / Branches should be obtained. Also, policy statements, directives, statements of function and responsibility and delegation of duties should provide the auditor with an overview of Assembly's operations. It should be determined whether all of the documents reviewed are proper and responsive to the current situation and time. If none exists, this would be an audit finding.

b) Review of applicable rules, laws and regulations,

c) Financial Profile: the auditor should know the magnitude of funds involved and the Assembly's exposure to risk. A review of the budget and general ledger would be useful in this pursuit.

d) Internal Control Review. The auditor will review the Departments/Branches internal control structure, a process which is usually time-consuming. The review of internal controls helps the auditor determine the areas of highest risk and can then design tests to be performed in the audit fieldwork.

e) Interviews and operating instructions: employee interviews and important written instructions and procedures along with each transaction walk-through will form the basis for the preliminary review narratives/flow charts and evaluation of internal controls. In addition to obtaining a good understanding of operations, the auditor must render it on paper to evidence that the auditor has a suitable understanding. **Note: A walkthrough involves picking a single transaction and passing/following it through the various activities (stages of processing) to corroborate the narration obtained from the interview that is undertaken to understand the system**

8.4.4 Documentation on the Preliminary Review

The preliminary review should result in documentation in the form of narratives, flowcharts, internal control evaluations, various questionnaires, documentation copies and other key items. Flowcharts (if used) should be at a fairly detailed level showing the specific processing flows and controls applied.

➲ **See Operational Procedure OP08-1 and OP09 (Annex 12) – Thrust Area Procedures Document**

8.4.5 Audit Program Guide

Preparation of the Audit Program Guide concludes the preliminary review phase. The Audit Agenda outlines the fieldwork necessary to achieve the audit objectives. The purpose of an audit programme guide is to show the procedures to follow during the audit, so that the audit can reach its specific objectives. The audit programme guide is also a record of the superior's approval for the activity to be performed. This provides the basis to manage and control the audit. By following the approved and detailed audit agenda, the deviation of the auditor's activity from the initial line and study of non-important issues may be prevented.

An Audit Agenda is to be prepared following the standard Audit Agenda form (Annex 14).

It includes information under the following headings:

Basis
At the beginning of the audit programme, a supervision of the auditees' operations is carried out: location, authority, personnel and main duties and responsibilities.

Planning
The programme planning must be written down before presenting the project.

Audit scope
The audit scope must state the period/area/operation to be covered by the audit.

Audit objectives
The objectives must match the general audit scope. Each audit procedure must answer one of the objectives and each objective must be addressed by a procedure.

All the established objectives must be supported by audit tests. Regarding the audit programmes developed by the auditors, the auditors must use their intelligence, ingenuity and imagination to create the audit procedures to test whether the objectives were indeed achieved.

Administration and Completion

- This includes all the procedures that are not related to planning and testing (such as: filling in forms, written reports and others).

It also indicates resources requirements.
Regarding the audit programme guide and the internal control status, the auditor develops audit programmes to be approved and supplemented by the head of Internal Audit.

➲ **See Operational Procedure OP10 (Annex 14) – Audit Agenda Development**

8.4.6 Risk Management (Assessment of Internal Controls)

8.4.6.1 Definition

Risk is a possible threat[1], that an event (complex of events), activity (complex of activities) or inactivity may cause loss of assets or reputation and threaten successful fulfilment of tasks set to the organization.

Risk assessment is a general process of identifying, preventing and controlling risks and the planning of alternative action if a risk is realised.

Risk management is the sum of all proactive management-directed activities within an Assembly that are intended to acceptably accommodate the possibility of failures in elements of the Assembly. "Acceptably" from an organization's perspective a failure is anything accomplished in less than a professional manner and/or with a less-than-adequate result.

8.4.6.2 Objective

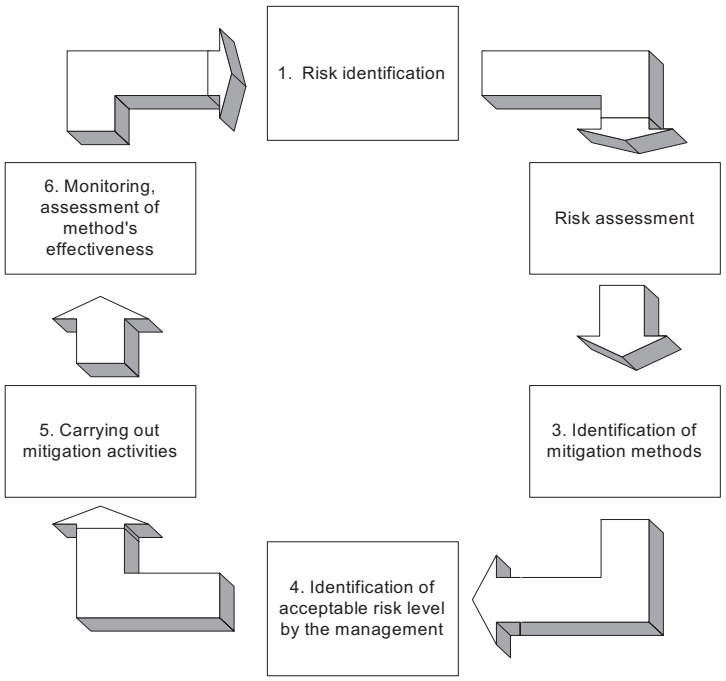
The objective of risk management is to bring the risks of organization to an acceptable level by the management, carrying out activities that would mitigate the likelihood of risk occurrence, impact of risk realization or both at the same time. For doing this we must first acknowledge, that risks are a natural part of our everyday activities and cannot be avoided, but can be managed.

The task of the management is to manage risks in a way that ensures the achievement of the organization's objectives. As the resources are always limited, we are not able to talk about total risk mitigation or risk prevention (total risk mitigation would demand excessive resources), but only about risk mitigation to the acceptable level by the management. Risk assessment has to be carried out in order to know which risks are higher and which risks need to be mitigated.

[1] Risk is not only a negative thing – with the risks there is always a possibility for improvement and that must be remembered.

8.4.6.3 Risk Management Cycle

Risk Management is a cyclical, ongoing process which includes the following steps: identifying, assessing, prioritising risks, planning, implementation and review of mitigating or corrective actions.



Activities 1-4 can be called risk assessment phases, activities 5-6 risk mitigation phases.

The present guidelines deal mainly with risk assessment, assuming that risk assessment is followed by agreed risk mitigation activities.

8.4.6.4 Risk Assessment

The rationale for conducting a risk assessment is that auditors can limit testing (avoid 100% re-performance of operations).

Risk assessment is divided into four important components:

- Identification of existing risks;
- Identification of the magnitude of risk and its possibility of occurrence - score and risk level (low, medium or high);
- Planning activities to mitigate risks to an acceptable level;
- Identification of acceptable risk level by the management and identification of risks that exceed this level from assessed risks.

Several possibilities exist for risk assessment – for example, a structural unit can identify and assess risks related to their field of activity by themselves. At the same time, it is possible that the structural units identify risks and the management of the organization assesses the risks. An alternative would be that a Risk Management Panel (RMP) is formed, which comprises members of the organization’s management, internal auditors

(as advisors only) and representatives of all the structural units. This RMP identifies and assesses the risks involved with the activities of the organization.

The methodology, which is described by the present manual, emphasizes that activities involved with risk assessment and risk mitigation are carried out in structural units (for example in departments). Only in case of small organizations, which don't have a complicated structure, can the whole organization be seen as "one structural unit".

The RMP, which includes employees of structural units, identifies risks, assesses risks, brings out internal control measures, which are already used for risk mitigation, and describes further measures for risk mitigation.

The Purpose of Risk Assessment include:
- To identify the threats facing Assembly,
- To identify the controls or procedures the Assembly has in place to prevent, eliminate or minimise the threats,
- To assess the internal control structure / process of the Assembly,
- To develop audit programs to see if the controls or procedures the Assembly has in place to prevent, eliminate, or minimise identified threats are working.

The Auditor should obtain and analyse the following information prior to assessing risk. This list is not all-inclusive:
- Period since last audit,
- Results of last audit,
- Assembly's Budget,
- Changes to the working environment (competition, new products)
- Changes to IT systems utilised,
- Level / changes of national and other regulations,
- Management concerns and needs,
- Management team : changes and evaluation (competence and integrity).

Auditors should develop a Risk Matrix – (Annex 13).

8.4.6.4.1 Risk Identification

Risks can be identified by several complementary approaches:
- Through screening of Assembly, processes, or control and decision-making points;
- Consideration of previous fact-finding and audit missions, detection of irregularities, malfunctioning and weaknesses warnings;
- Brainstorming/paper-storming performed with different levels of staff and management;
- Audits like systematic, exhaustive and comprehensive risk assessment performed by internal auditors.

Risks are to be identified on two levels:
- on the level of the institution (based on the organisational structure), and
- on the level of activity (based on functions).

In risk identification, regard should be given to:
- internal factors (such as the quality and motivation of the staff, etc.) and
- external factors (such as amendment of legislation, technological developments, force majeure, etc.).

Risk identification should be based on intimate knowledge of:
- the processes and activities of an organization, and
- the environment in which it operates.

The risk management process should begin therefore with a detailed inventory of the Assembly's processes, phases and activities, broken down to task level. The inventory should also include the transactions with, and dependences on, other organizations. This inventory should be prepared by the RMP.

The next step is to draw an audit trail for each activity/area of the Assembly's work, showing who does what in the organization, what inputs are used for each activity/task and what outputs are to be expected.

The purpose of developing the inventory and the audit trail is to enable the RMP to acquire a comprehensive view of the organization and thus to identify all potential threats (risks) from within and outside the Assembly.

Staff at all levels, both managerial (including the members of the RMP) and operational staff should notify potential threats they perceive in relation to the systems they operate by submitting Risk Alert Forms (**Annex 13**) to their heads of unit/department.

8.4.6.4.2 Risk Category Determination

The task of the RMP is to group the identified risks into 3 main risk categories in order to receive an overview of the processes, which hold the most important risks. The following classification[2] can to be taken as the base:

Strategic risk – risk that could result in a failure to achieve the strategic objectives of the organization;

Operational risk – risk that comes from insufficient or missing processes or activities inside the organization (divided into more detailed categories).

The operational risks include:
- Human resources – risks that are involved with employees (recruitment, rewarding, quality of management);
- IT – information technological risks;
- 3rd party – risks that are caused by external factors, organizations, institutions;
- Legal/regulatory – risks proceeding from legal framework;
- Physical security – risk for the preservation of assets (destruction, loss);
- Documentation/records – risks that are in relationship with the movement and retaining documentation and procedures specifying these activities;
- Communication – all risks that are involved with the internal and external communication of the organization and that could impact negatively upon the external view/reputation of the organization;
- Health and safety – all risks that are involved with work environment and health protection demands.

[2] Different risk assessment methodologies use different classifiers while grouping risks and these classifiers depend mainly on the field of activity of the organization.

Financial risk – risk that could result in a failure to maintain effective financial management and accountability arrangements in all the organization's activities.

8.4.6.4.3 Risk Impact Assessment

Impact is the Assembly's assets and performance sensitivity to realization of the future events

In order to assess the impact of risks identified by the structural units, the structural units and all members of RMP assess individually the losses that may emerge in case the risk appears.

Score	Assessment	Agreed meaning
1	No significant impact	In case the risk appears, works in process and planned activities are not disturbed
2	Minor impact	In case the risk appears, the activities are disturbed, but this does not bring along the need for additional resources[3]
3	Significant but containable	In case the risk appears, the activities are significantly disturbed, but this does not disturb achieving objectives
4	High impact	In case the risk appears, the activities are significantly disturbed and considerable additional resources are needed for achieving objectives
5	Extremely detrimental	In case the risk appears, it is not possible to achieve determined objectives

8.4.6.4.3.1 Risk Likelihood Assessment

The likelihood is a frequency of how often a certain risk may appear.

To assess the likelihood of risk occurrence, all members of the structural units and the RMP assess individually all certain risks.

For assessment the members of the RMP have to use the same scale (presented flowingly):

Score	Assessment	Agreed meaning
1	Rarely happen	The occurrence of risk is practically impossible
2	Possible	The occurrence of risk is theoretically possible, but there exist few practical cases
3	Likely	The likelihood of risk occurrence is supported by little evidence
4	Very likely	The likelihood of risk occurrence is supported by clear evidence
5	Unavoidable	The risk has already appeared or the occurrence of risk is unavoidable in the future

[3] Additional resources comprise finances, time and knowledge.

8.4.6.4.3.2 Assessment of Current Internal Control Effectiveness

Internal control is every action instigated from within the organization which is designed to reduce risk impact and/or likelihood.

In order to be able to assess the efficiency of internal control measures, the internal control measures that currently help to mitigate risks are brought out.

All RMP members should understand that risk impact and likelihood are assessed without taking into account the existing mitigation measures. The existing measures are taken into account by adding the third factor – the efficiency of internal control measures.

Internal control measures are assessed according to the following criteria:

Score	Assessment	Agreed meaning
3	Highly effective	Addition/improvement of internal control measures is not necessary at the moment
2	Need to be improved	Internal control measures exist at the moment, but they need to be overviewed and renewed
1	Inadequate	Internal control measures are missing or immediate improvement of existing internal control measures is necessary

The RMP assesses the risks that have been submitted in the risk alert forms as follows:

- If relevant, the risk will be assessed by the RMP;
- If irrelevant, the warning is filed but disregarded and the originator is notified of the decision;
- If more information is needed to decide as to the relevance of the risk alert, the RMP will assign an investigation into the issue.

Based on the three ratings (likelihood, impact and effectiveness of controls) a composite risk value (R) is calculated with the formula:

R = I x L / C

Where:

I = Impact
L = Likelihood
C = Effectiveness of Existing Controls

R has no significance as an absolute value; it only serves as an indicator to compare/prioritise risks.

8.4.6.4.3.3 Determination of Risk Score and Risk Level

Using the overall score for each risk, it is possible to identify risk materiality or risk level. Risk level is identified according to the following table:

Risk level	Score	Materiality
Low risk	1-8 points	Issues that need to be reviewed from time to time
Medium risk	9 – 16 points	Issues that need constant monitoring
High risk	17 - 25 points	Issues that need immediate attention

It is easy to group certain risks to the list of risks by using risk levels.
The management and the internal auditor have to pay their attention foremost to risks that are ranked high (overall score at least 17 points) and the heads of structural units should focus on medium level risks.

8.4.6.4.3.4 Determination of Mitigation Activities, Deadlines and Responsible Officials

After risk assessment, the structural units add mitigation activities to the list of risks in the risk register and action plan (Annex 13), which the RMP has thought to be important to implement in order to mitigate the risks that were brought out. Also a deadline is set to mitigation activities, which is optimal according to the opinion of the RMP, and a responsible person is selected, who is responsible for the fulfilment of certain mitigation activity.

One should understand that there are several possible strategies for mitigating risks and all of these strategies can be used:

1. **Avoiding** – by rearranging the process so that a certain risk is avoided; Risks can be avoided by changing the scope, design and/or the technology. In extreme cases, substituting for or abandoning the investment may be the only way a risk can be avoided.
2. **Sharing or pooling risk** – when two or more parties are each able to exercise partial control over the incident and impact of risk, agreeing to share any adverse consequences can be an effective approach to mitigation;
3. **Transferring risk to third parties** – Risks can be reassigned to third parties best able to control them or (if different) who will carry the risk at lowest cost, e.g. to government, contractors, concessionaires, operators, bankers, and other parties through contracts, financial agreements, franchise agreements, bonds and guarantees and other financial instruments. This strategy includes insuring risks;
4. **Reducing uncertainty** – Better information can be obtained on the probability distribution defining the risk and its potential impact, through feasibility studies or specific research;
5. **Controlling** – Creating actions/controls to anticipate/discover events that lead to risks, favour positive solutions;
6. **Diversifying** – Scatter the risk on different processes;
7. **Accepting** – In case the cost of reducing the risk is higher than potential damage.

8.4.6.4.3.5 Determination of Acceptable Risk Level

While identifying an acceptable risk level, the management decides which risks belong under acceptable level and **additional** mitigation activities are not necessary to be carried out and which risks need to be mitigated (additional mitigation activities need to be carried out).

Management may decide that in some fields high risks are accepted, but in others mitigation activities need to be carried out also in case of medium or low risk level.

While identifying acceptable risk level, the management has the possibility to add risks and possible measures of mitigation. In this case risks and mitigation measures are added in course of work and assessment is organized during the same negotiations.

The management also solves the final differences between responsible persons by determining the responsible person.

The management decides the final deadlines for the implementation of mitigation activities on the bases of the recommendations and mutual discussions with the RMC.

8.4.6.5 Risk Action Planning

During the RMP session, the participants identify and analyse the root causes of the risks examined, which forms the basis for formulating risk mitigating actions. Risk mitigating actions are activities or tasks that need to be completed in order to strengthen internal controls and thus reduce the vulnerability of risk areas. The RMP establishes deadlines and assigns responsibilities for risk actions and this information is duly recorded in the Risk Register and in the Risk Action Plan.

➲ **See Operational Procedure OP 08 - 2 (Annex 13) – Risk Assessment**

8.4.7 Audit Programs

Audit programs (Annex 15) are the detailed procedures to use to test transactions and processes. Audit Programs are based on the use of the following test techniques.

Verification

Verification is the confirmation of things such as: records, statements, documents, compliance with laws and regulations, effectiveness of internal controls. The purpose of verification is to establish the accuracy, reliability or validity of something.

Audit techniques used in verification are:

Compare

Identify similar and/or different characteristics of information from two or more sources. Types of comparison include: comparison of current operations with past or similar operations, with written policies and procedures, with laws or regulations, or with other reasonable criteria. Examples: to compare the documentation of a transaction with the procedure for the transaction.

Examine

To look over something very carefully, such as a document, in order to detect errors or irregularities. Example: examine a document to verify that it has been executed by authorised persons.

Re-compute
To check mathematical computations performed by others.

Confirm
Obtain information from an independent source (third party i.e. bank statements) for the purpose of verifying information.

Reconcile
This is the process of matching two independent sets of records in order to show mathematically, with the use of supporting documentation, that the difference between the two records is justified. For example, the reconciliation of a bank statement's balance at the end of the month with the book balance or the reconciliation of the suppliers Debtor Statement with the book balance.

Vouch
Verify recorded transactions or amounts by examining supporting documents. In vouching, the direction of testing is from the recorded item to supporting documentation. The purpose for vouching is to verify that recorded transactions represent actual transactions.

Trace
Tracing procedures begin with the original documents and are followed through the processing cycles into summary accounting records. In tracing, the direction of testing is from supporting documentation to the recorded item. The purpose of tracing is to verify that all actual transactions have been recorded.

Observation
Observation is auditors seeing with a purpose, making mental notes and using judgement to measure what they see against standards in their minds.

Inquiry
Auditors perform interviews with the auditee and related parties throughout the audit. Good oral communication skills and listening ability on the part of the auditor assist in getting accurate and meaningful information from the interviewee are essential. Auditors should use open-ended questions when possible. Depending on the type of information received in an interview, it may need to be confirmed through documentation communication.

Analysis
Analysis is the separation of an entity for the purpose of studying the individual parts of data. The elements of the entity can be isolated, identified, quantified, and measured. The quantification may require the auditor to perform detailed calculations and computations. Furthermore, the auditor can document ratios and trends, make comparisons and isolate unusual transactions or conditions.

➲ **See Operational Procedure OP11 (Annex 15) – Audit Program Development**

8.5 Fieldwork

8.5.1 Definition of the Fieldwork

Fieldwork is the process of gathering evidence for measurement and evaluation. Audit evidence is obtained by observing conditions, interviewing people and examining records. Audit evidence must provide the basis for audit opinions, conclusions and recommendations. The fieldwork stage concludes with a list of significant findings from which the auditor will prepare a draft of the audit report.

Fieldwork includes:

- Gaining an understanding of the activity, system or process under review and the prescribed policies and procedures.
- Observing conditions or operations.
- Interviewing people.
- Examining accounting, business and other operational records.
- Analysing data and information.
- Reviewing systems of internal control and identifying internal control points.
- Evaluating and concluding on the adequacy (effectiveness and efficiency) of internal controls.
- Conducting compliance testing.
- Conducting substantive testing.
- Determining if observations and recommendations reported in prior audits have been corrected and/or implemented.

8.5.2 Objectives of the Fieldwork

The purpose of fieldwork is to complete the audit procedures identified in the audit agenda in response to the audit objectives and in support of the audit conclusions. These procedures usually test the major internal controls and the accuracy and propriety of the transactions.

Throughout fieldwork, professional judgement should be used to:

- determine whether evidence gathered is sufficient, relevant, competent, and useful to conclude on the established objectives, and
- based on the information available, reassess the audit objectives, scope, and procedures to ensure efficient use of audit resources (e.g., should the remaining audit procedures be eliminated, should the objective or scope be modified, have more efficient procedures been identified, or should additional hours be allocated to achieve an expanded audit objective).

As the fieldwork progresses, the auditor discusses any significant findings with the auditee. Hopefully, the auditee can offer insights and work with the auditor to determine the best method of resolving the finding. Usually these communications are oral. However, in more complex situations, memos and/or e-mails are written in order to ensure full understanding by the auditee and the auditor

8.5.3 Documentation of the Fieldwork

All audit work performed should be supported by documented evidence of the work performed.

Each audit program should be supported by and be cross-reference to working papers (schedules, memos, spreadsheets) on which testing performed and results achieved are documented.
Audit finding are developed on an Audit Finding Forms – (Annex 18)

➲ See Operational Procedure OP12 (Annex 16) – Evidence Gathering

➲ See Operational Procedure OP13 (Annex 17) – Test Working Paper

➲ See Operational Procedure OP14 (Annex 18) – Audit Findings

➲ See Operational Procedure OP15 (Annex 19) – Findings of Illegal Acts

8.5.4 Audit Findings Form

The purpose of the Audit Finding Forms is to gather, in one location, the auditor's opinions regarding all of the findings made during the audit.

A working paper should be created whenever an auditor identifies a possible
- opportunity for operational improvement,
- discrepancy,
- error,
- irregularity,
- weakness or
- deviation from internal control standards, regulations or policies.

The Audit Finding Forms document the results of the problem analysis/resolution process. The form is not a step-by-step recipe for doing the work itself, because problem analysis/resolution is not a linear process. Simply completing the form is not a substitute for critical analysis of the situation. The auditor should be answering such questions as:
1. Did we understand the situation?
2. Does the auditee agree that a problem exists?
3. Do we understand the extent of the problem?
4. Is there a practical solution to the problem?
5. Have others, especially those responsible for executing the solution, been bought into our recommendations?

➲ See Operational Procedure OP14 (Annex 18) – Audit Findings

Since the finding working papers contain the auditor's professional analysis of "problem" situations, they are among the most important working papers created.

Prior audit reports and linked audit finding forms should be reviewed and used to the extent possible to avoid re-creating a finding already developed.

The Audit Finding Form should stand-alone and should document the auditor's analysis (criteria, condition, cause, effect, and corrective action) related to the finding. Audit finding information should not be elsewhere in the working papers. The working paper where the work was performed which resulted in the finding and supporting working paper references should be cross-referenced to the Audit Finding Form.

Documenting the analysis assists the auditor in preparing to discuss the finding with the auditee.

8.5.5 Finding of Illegal Acts

An illegal act is a violation of a law and or a regulation. When auditors conclude, based on evidence obtained, that an illegal act has occurred or is likely to have occurred, they should promptly report relevant information to Coordinating Director and the relevant senior Management staff.

➲ See Operational Procedure OP15 (Annex 18) – Finding of Illegal Acts

➲ See Operational Procedure OP15 (Annex 19) – Suspected Activities Reporting Form

8.6 Audit Report

The purpose of the internal audit report is to provide the only acceptable means of communicating all of the auditor's work to the auditee.

Each finding in the report must be supported by sufficient evidence and be within the audit's scope and objectives.

Each recommendation must fit the facts of the finding and materially reduce the potential risk as indicated by the facts of the finding.

Each finding must be provable. It is not important what an internal auditor believes, the important thing is that the auditor can justify the finding. Auditor beliefs, without proper documentation, will not be carried to the report.

8.6.1 Reporting Responsibilities

The internal audit staff are responsible for writing the reports because of their involvement in the planning, supervision, fieldwork, and review processes.

The Head of Internal Audit is responsible for reviewing and approving the draft and final reports as well as any draft reports, prior to issuance.

➲ See Operational Procedure OP21 (Annex 23) – Audit Report Review

8.6.2 Working Papers Review

Before beginning the process of issuing a draft report, it must be ensured that working papers are properly prepared and provide adequate support of the work performed and the audit evidence gathered during the audit. A review is performed by the Head of Internal Audit

➲ See Operational Procedure OP16 (Annex 20) – Working Paper Review

8.6.3 Draft Assignment Report Format

When the working paper review leads to a satisfactory conclusion, the draft report can be prepared based on the approved working papers.

A general format should be followed to ensure that all major items are covered.

➲ See Operational Procedure OP18 & OP20 (Annex 22) – Audit Report

The Auditor should consider some of the basics that will be incorporated into the report:
- What is the topic or subject of the audit?
- What is the main idea (message, conclusion, theme or point of view)?
- What are the supporting points?
- What are the audit scope objectives?
- What corrective action does the Auditor want the reader to take as a result of the report?
- What impression does the Auditor want to make on the reader, or what tone does he/she want to convey?

8.6.4 Transmission of the Draft Report to the Auditee

The auditee must be given the opportunity to review the draft audit report and prepare a response to the audit findings and recommendations.

➲ See Operating Procedure OP 19 – Draft Report Transmitted to Auditee

8.6.5 Exit Conference (Closing Meeting)

Internal Audit meets with the auditee to discuss the findings, recommendations, and text of the draft report. At this meeting, the management comments on the draft audit report and the group works to reach an understanding and agreement on the audit findings. An Exit Conference Memo will document the session.

➲ See Operational Procedure OP17 (Annex 21) – Audit Exit Conference

8.6.6 Formal Draft

The auditor then prepares a formal draft report, taking into account any revisions resulting from the Closing Meeting. When the changes have been reviewed by audit management and the auditee, the final report is issued.

➲ See Operational Procedure OP20 (Annex 22) – Final Report

8.6.7 Audit Opinion

This section of the report should be normally expressed in terms of negative assurance, in case the work performed or any other information gathered did not disclose any significant weaknesses in the control process that have a pervasive effect. If the control weaknesses are significant and pervasive, this section may express a qualified or an adverse opinion, depending on the projected increase in the level of residual risk and its impact on the organization's objectives.

8.7 Final Assignment Report

8.7.1 Preparation of the Final Report

A written report is to be prepared and approved by the Head of Internal Audit at the conclusion of each audit utilising standard Internal Audit Report (Annex 22).

The Head of Internal Audit shall ensure a review of the draft audit report and associated working papers prior to the issuance of the final report.
Audit reports are to be clear, concise, objective, constructive, balanced and timely. They are to include coverage of:

- audit objectives,
- scope of the audit,
- description of the audit methods employed,
- conclusions on all key issues identified and/or evaluation of the internal control system operation, deficiencies and limitations,
- action agreed upon of otherwise,
- audit findings and recommendations, and
- management's responses to the audit recommendations.
- limitation on the distribution and use of audit reports

➲ See Operational Procedure OP20 (Annex 22) – Final Report

8.7.2 Distribution of the Final Report

The approval of the Head of Internal Audit is required for release of the final audit report. Internal Audit Unit prints and issue out reports to the Coordinating Director. Copies of this report are also given to the Auditee and the ARIC.

If there is an error detected in the final report after it is issued, the Internal Auditor will issue a note correcting the internal audit report. Upon the approval of Head of Internal Audit this note is to be distributed to all the recipients of the final report.

8.7.3 Auditee Response

The auditee has the opportunity to respond to the audit findings prior to issuance of the final report (See § 8.6.4.- Draft Report Transmitted to the Auditee).

Auditee's responses can be included or attached to the final report. However, if the Auditee decides to respond after the final report is issued, the first page of the final report should be a letter requesting the auditee's written response to the report recommendations.

In the response, the auditee should explain how report findings will be resolved and include an implementation timetable. In some cases, managers may choose to respond with a decision not to implement an audit recommendation and to accept the risks associated with an audit finding.

The auditee should copy the response to all recipients of the final report if s/he decides not to have their response included/attached to Internal Audit's final report.

➲ See Operational Procedure OP23 (Annex 25) – Management Reponses Letter

8.7.4 Auditee Comments

As part of Internal Audit's self-evaluation program, an audit performance evaluation form is sent by the head of the IAU to management (See Chapter 12 - Quality Control). This gives management an opportunity to comment on Internal Audit's performance so that auditors can make changes in their procedures as a result of auditees' suggestions.

8.8 Monitoring the Implementation of Recommendations

8.8.1 Follow-up Process

The objective of the follow-up process is to determine whether the audit concern has been adequately addressed by Management. Follow-up by internal auditors is defined as a process by which they determine the adequacy, effectiveness, and timeliness of actions taken by management on reported audit findings. Internal auditors should ascertain that actions taken on audit findings remedy the underlying conditions.

On a quarterly basis, the Internal Audit Unit will perform a follow-up review to verify the resolution of the report findings.

The same standards for audit evidence are to be applied to follow-up work as those used for documenting original audit work.

When follow-up is performed, the auditor will find one of the following situations:

- the concern has been adequately addressed by implementing the original corrective action,
- the concern has been adequately addressed by implementing an alternate corrective action,
- the concern no longer exists because of changes in the processes
- the corrective action has been initiated but is not complete
- the concern has not been addressed

The auditor should determine which of these conditions apply.

8.8.2 Follow-up Report: Audit Recommendation Status Report

The review will conclude with a follow-up report which lists the actions taken by the auditee to resolve the original report findings. The auditor's recommendation regarding the status (i.e., Implemented, Implementation Withdrawn, Not Implemented) should be documented in the Audit Recommendation Follow-up Report.

➲ See Operational Procedure OP26 (Annex 29) – Audit Recommendation Follow-up Report

Follow-up results should be communicated by the auditor to the auditee. If the concerns have not been adequately addressed, a meeting may be required. Follow-up, and discussions with the auditee will continue until the corrective action is resolved.

If at any time the auditors doubt that the audit concern will be addressed, they should document their opinion in the working papers and discuss the matter with the Coordinating Director and the ARIC rather than simply noting the concern as in progress.

8.9 Pre-Audit of Transactions

Pre-audit of Transactions are the verification of transactions before payment is done (chapter 8.9.2 below). Pre-audits of transactions should be classified as a thrust area, when preparing strategic and annual audit plans. Staff should therefore be assigned to pre-audit transactions as part of their schedule of activities.

8.9.1 Establishment of a Voucher Register

The internal Audit Unit of the Assembly will maintain a voucher register to record, monitor and track vouchers that it has received, examined and passed for payment. The register is a complementary control over expenditures made. It enables the Internal Auditor to determine which vouchers it has actually worked on in circumstances where the Auditor's signature has been forged.

➲ See – Register formats for Pre-Audits – Annex 33

8.9.2 Verification of Transactions

The internal audit function in every Assembly is required to verify that all transactions are proper in all respects including signature authority, arithmetical accuracy, proper accounts coding, budget authority and physical verification of items.

8.9.3 Reports of Pre-Audit of Transactions

The pre-audit of transaction activities that is carried on by the Internal Audit Unit is considered as a “thrust or auditable area”. Any findings that are identified in the cause of these activities should be complied in the summary of audit findings form, developed in the audit finding form and included in the quarterly reports (see 8.10)

➲ **See – Summary of Audit Finding Forms – Annex 18**

➲ **See – Audit Finding Form – Annex 18-1**

8.10 Quarterly Reports

The Head of the Internal Audit Unit of a Metropolitan, Municipal or District Assembly shall at intervals of three months, prepare a report on the internal audit work carried out by his/her Unit during the period of three months immediately preceding the preparation of the report and submit the report to the Presiding Member of the Assembly.

The Head of the Internal Audit Unit in the district shall make in each report such observations as appear to him necessary as to the conduct of the financial affairs of the Assembly during the period to which the report relates.

The head of the Internal Audit Unit of the Metropolitan, Municipal or District Assembly shall send a copy of each quarterly report prepared by him to the Minister of the Ministry of Local Government and Rural Development, the Chief Executive of the Metropolitan, Municipal or District Assembly, the Regional Coordinating Council, the Director-General of the Internal Audit Agency, the Audit R eport Implementation Committee (ARIC) and the Auditor-General.

9 ESSENTIAL PRINCIPLES AND GUIDELINES FOR AUDITING

The following are guidelines and suggestions to consider when performing audits.

9.1 Human Relations Principles in Auditing

A basic concept of human behaviour is that "every individual is different" with different values, goals, ambitions and standards. The auditor can develop sound relationships and perform better audits if this concept is put to work. The following suggestions will help.

- Approach each person contacted during the audit with genuine acceptance of the person as an individual. Adjust the approach to each individual's operating environment and background. Has he/she been audited before? Is he/she familiar with our program and objective? Does he/she have special problems that the auditor should be aware of?
- Maintain contact with management and keep them informed of developments.
- Demonstrate that questions can be raised and suggestions made that will benefit management.
- Consider carefully those items that are worthy of being brought to management's attention. Relegate items of small consequence to their proper place.
- Return files and records promptly and in neat condition. Set a good example in housekeeping.
- Use good feedback in your interview/discussion with the auditee. Restate to the auditee what you think the auditee said to you. The auditee confirms it or further clarifies the matter.

9.2 Other Principles

9.2.1 General

- Keep the overall audit objectives in mind during the audit. Handle only enough detail to adequately cover these objectives.
- Use good judgment in determining priorities and the amount of time to be given to various phases of the audit.
- Keep the time schedule flexible enough so that the job can be done. When the time is limited, do what can be done and postpone the remainder. Be considerate of the auditee's timeframes and work schedule.

9.2.2 Obtaining Information

Methods for obtaining information about the activity, system of control or process under review include:

- Interviewing appropriate personnel of the Assembly.
- Reviewing procedure manuals, policies if available.
- Reviewing job descriptions, if available.
- Reviewing or preparing flowcharts.
- Tracing one or more transactions through related documents (also known as transaction walkthroughs).

- Completing internal control questionnaires.
- Observing operations.

9.2.3 Documenting Information

The auditor's analysis of the internal control system should be documented.

1. Auditing Procedures - Identify the activities for testing effectiveness of internal controls identified in the auditor's analysis of the control system. Each procedure should tie directly to an audit objective and supporting working papers documenting the test and the test results.

2. Supporting Working papers - Schedules and memos should document the auditor's tests of the system of internal control, as well as the other audit procedures. The working paper purpose should be directly tied to a specific audit procedure.

3. Conclusion - The auditor should give an overall conclusion for each of the Audit Procedures completed. The control strengths and weaknesses should be identified in the working papers.

9.2.4 Nature of Compliance Tests and Substantive Tests

Compliance testing is the testing of an operation or task against predetermined criteria to measure its compliance.

Substantive testing provides evidence that the procedures and controls are adequate and sufficient to ensure accurate results.

A factor affecting the confidence of an auditor derived from compliance testing and substantive testing is the confidence in the system of internal control. If there is a comprehensive system of internal control and monitoring, it may be possible to reduce compliance testing and substantive testing. The auditor will access the risk assessment performed by management and where the auditor is satisfied that areas of risk have been correctly identified the audit will increase the sampling in these areas (both compliance and substantive testing).

Compliance tests are concerned with:

- Were the necessary procedures performed?
- How were they performed?
- Who performed them?
- Were the procedures performed consistently?

Some aspects of internal control require procedures that are not necessarily required for the execution of transactions. This class of procedures includes the approval or checking of documents as evidencing the transactions. Tests of such procedures require inspection of the related documents to obtain evidence in the form of signatures, initials, certification

stamp and the like to indicate whether and by whom they are performed and to permit an evaluation of the propriety of their performance.

Other aspects of internal control require a segregation of duties so that certain procedures are performed independently, like accounting and payments. The performance of these duties is largely self-evident from the operation of the department or the existence of its essential records; consequently, tests of compliance with such procedures are primarily to determine whether persons having no incompatible functions perform them.

Substantive testing is a procedure to gather evidence of the extent of misstatements in account balances and in particular, how the value of misstatements detected compares to the value of planning materiality for the account balance. They consist of test of details of classes of transactions and account balances and analytical procedures. In other words, auditors gather evidence of the extent to which each material account balance is materially complete, valid and accurate. It is perhaps the most critical evidence gathered during the audit.

Substantive Procedures:

- test of details, including
  - physical examination
  - inspection
  - vouching
  - recalculation
  - confirmation inquiry
- analytical procedures includes
  - reasonableness tests
  - scanning
  - review
  - regression analysis
  - ratio analysis

The objective of substantive testing is to determine the conformity of individual transactions or activities with the relevant rules or regulations. Because substantive tests are used to investigate particular types of transaction, audit programmes will need to be developed to meet each eventuality using the criteria set out below. Analytical review is an important part of substantive testing, and appropriate techniques should be used wherever relevant. Each substantive test audit programme should be designed to check that the following criteria are met. Each criterion is illustrated by a possible substantive test. Note that the examples are not intended to be definitive or complete.

Examples of a substantive test

a) Legality and regularity of the activity

Check that the activity actually carried out conforms to the relevant legal base. For example, the tests could examine whether a particular activity undertaken conforms to the detailed requirements of the regulations in respect of the amount or percentage rate of financing.

b) Completeness of financial and other records

Check that financial and other information systems record all relevant details. For example, a substantive test could check whether all staff contracts are held centrally by the HR Officer and whether these records are complete and in conformity with the requirements of the HR. Analytical procedures may be used in connection with these tests – especially ratios and predictive tests.

c) Reality of the operation

Check that operations recorded within financial and other systems actually took place. For example, a substantive test could check that payments of loans to clients recorded in financial systems actually took place through examining loan agreements signed by the clients and the vouchers on which clients signed for receipt of the payment. Analytical procedures may be used – especially ratios and trend analysis.

d) Measurement of the activity

Check that amounts of transactions are calculated on the correct basis. For example, a substantive test may check that the correct exchange rate was used in converting an operation from foreign currency to national currency. Relevant analytical procedures include predictive tests and trend analysis.

e) Valuation

Check that assets and other items are recorded at the correct value in financial records. For example, a substantive test may check that the purchase of an asset is recorded at the correct value in the accounting system by checking the original invoice or sale note.

f) Existence

Check that assets and other items actually exist. For example, a substantive test may check that an asset recorded in the financial records actually exists. These substantive tests involve the physical verification of existence - actually seeing the asset.

g) Ownership

Check that assets recorded are actually owned or properly used by the Assembly. For example, a substantive test may involve checking that the Assembly has a valid lease, or is the legal owner, of premises used.

h) Quality of inputs and outputs

Check that inputs and outputs are of an appropriate quality. For example, for inputs we could check that all staff providing training were suitably qualified. For outputs, we could check that those trained were able to carry out their duties effectively.

9.2.5 Timing

Internal control procedures that leave an audit trail of documentary evidence of compliance should be compliance tested. The general sampling concept includes selecting items from the entire set of data executed throughout the period under audit.

Internal control procedures that depend on segregation of duties and do not leave an audit trail should be compliance tested differently.

- Inquiries should relate to the entire audit period.
- Observations are confined to the periods that the auditor is present and conducting other parts of the audit.

9.2.6 Sampling Techniques

The objective of Sampling is to obtain information about a population characteristic. When compliance and substantive tests involve inspection procedures, sampling is likely to be the most cost-effective means.

Sampling requires that the auditor use professional judgement in planning performing and evaluating a sample and in relating the evidential matter produced by the sample to other evidential matter when forming a conclusion about the related account balance or class of transactions.

Sampling involves making decisions about the following

1) Selection of items – which ones and how they are selected
2) Size of Sample – How many items
3) Precision of the sample – how much it may vary as a result of error
4) Reality of sample statistic - how much it may vary as a result of error

Selecting items for sample – the preferred method is to provide a sample that is representative of the whole population.

Sampling Methods

1) Random Selection
2) Systematic (interval) selection
3) Block selection
4) Stratified Selection
5) Cumulative Monetary Amount selection

9.2.7 Extent of Testing

The extent of compliance testing is based upon the results of the Internal Control Evaluation. Compliance tests are used to determine effectiveness of prescribed controls in order that they may be relied upon to determine the nature, extent and timing of substantive testing. No audit benefit is derived from applying compliance tests to ineffective internal controls or when costs of compliance testing exceed the benefits.

The extent of compliance tests will vary directly with the reliance placed on internal controls, while the extent of substantive tests will vary inversely with the reliance placed on internal controls.

In case of very serious internal accounting control weaknesses, it may be impractical to devise adequate substantive tests, thus requiring the auditor to issue an adverse report on the operations of the department being audited.

9.2.8 Effectiveness of Systems of Control

Although the internal auditor's efforts may be directed more toward the internal controls of the Assembly than to the resulting financial statements that are of prime concern to the external auditor, the fundamental approach for both is the same - reliance upon an effective system of internal control.

The evaluation of internal control is accomplished through compliance and substantive testing.

The purposes for compliance and substantive testing differ and will be achieved during the fieldwork.

- Compliance Testing: To provide reasonable assurance that the accounting control procedures are being consistently applied as prescribed by policies, procedures, rules and regulations and sound business practice.

- Substantive Testing: To obtain evidence of the validity and propriety of accounting treatment of transactions and balances or, conversely, of errors or irregularities therein.

Compliance tests are used to help determine the extent of substantive testing to be performed. Such tests are necessary if the prescribed procedures are to be relied upon in determining the nature, time or extent of substantive tests of particular classes of transactions or balances. The auditor may decide not to rely on the prescribed procedures because he/she concludes:

- The procedures are not satisfactory for that purpose.
- The audit effort required to test compliance with the procedures to justify reliance on them in making substantive tests would exceed the reduction in effort that could be achieved by such reliance.

In evaluating internal controls, various methods of sampling are used to form an opinion on the population tested. The auditor uses sampling to gather information from a limited selection of the entire population for analysis of possible problems, causes and effects, and the materiality of results.

9.2.9 Efficiency of Systems of Control

The evaluation of efficiency of the controls is the judgment of the auditor on the cost/benefit of implementing, improving or deleting a control. Evaluations should be supported where possible by mathematical information on the cost of the control and the benefit derived or potential loss avoided.

10. AUDIT DOCUMENTATION

10.1 Introduction

The audit staff documents the work performed in working papers. The working papers serve as the connecting link between the audit assignment, the auditor's fieldwork, and the final report.

Working papers contain the records of planning and preliminary reviews, audit procedures, fieldwork, and other documents relating to the audit.

Most importantly, the working papers document the auditor's conclusions and the reasons those conclusions were reached. They constitute the basis for the preparation of audit reports as well as substantiation base for audit conclusions and recommendations.

Working papers should be completed throughout the audit. The Internal Audit Unit is to employ an audit methodology that requires the production of working papers which document:

- planning;
- examination and evaluation of the adequacy and effectiveness of internal controls;
- the audit procedures employed, the information obtained and the conclusions reached,
- review,
- reporting,
- and follow-up,

As each audit step in the Audit Agenda is satisfied, the auditor should request review of the related working papers. The working papers also provide a basis for evaluating the Internal Audit's quality assurance program and demonstrate the Internal Audit's compliance with the standards.

Although the quantity, type and content of working papers will vary between audits, they should be sufficiently extensive to serve to:

- assist auditors in the conduct of their work,
- provide adequate support for the auditor’s opinion,
- enable the work carried out to be independently reviewed,
- encourage a methodical approach to the work being undertaken.

An access to the IAU working papers for non IAU people can only be granted by the Head of Internal Audit after written or oral reconciliation of such permission with the Coordinating Director. In all cases were other than IAU employees wish to use the internal audit working papers the Head of Internal Audit written permission is required.

10.2 Requirements

All audits must be assigned a number and a title. Auditors should arrange an audit file and indicate the audit number on it. The audit number should include:

Designation of auditee (identification code to be designed by the IAU),
Year
Sequential Number

Working papers should be clear and understandable. The auditor should keep in mind that other people will examine and refer to the working papers. The working papers should not need any supplementary information and should stand alone. Anyone reviewing the working papers, without referring to documents outside of those included in the working papers and without asking questions, should be able to tell what the auditors set out to do, what they did, what they found, and what they concluded. Auditors should include in their working papers only what is essential, and they should ensure that each working paper included serves a purpose that relates to an audit procedure.

Working papers should mention:

- A Heading (Title) and a reference number (identification of the form)
- The Name of the MMDA being audited
- The period covered by the audit
- The trust area being audited
- The date of creation
- The date of review
- The signatures of the auditor(s) and reviewers.

10.3 Cross-Referencing

Working papers should be prepared using an appropriate cross-referencing system. A Cross-reference from the Audit Agenda to the Audit Programs and the primary working paper provides a reference to where the work was performed.

Cross-referencing should be used to reference information useful in more than one place or to other relevant information including the source of information, composition of summary totals, or other documents or examples of transactions.

Documents/information should be in the working papers only once.

10.4 Retention Policy

All working papers are to be retained by the Internal Audit Unit subject to the retention requirements below:

- Audit working papers are maintained until the end of the fiscal year in which all recommendations are implemented.
- At the end of the fiscal year in which all recommendations are implemented, the audit working papers will be moved to an archive file for the fiscal year in which the audit was conducted
- Completed investigative audit working papers will be moved to the archive file if a lawsuit or potential lawsuit is no longer active. Otherwise the working papers will be

retained in the production file until the lawsuit is no longer pending, and then moved to the archive file.

- All audit working papers should be retained for six years.

10.5 Audit Files

Working papers can be generated and kept in either electronic or paper format.
After each audit Internal Auditors should prepare a file with description of all audit related working papers.

The files will consist of current Files and Permanent Files.

10.5.1 Current Files

Current files contain working papers related to the particular audit. These working papers are the records maintained by the auditor of the work planned and carried out in relation to the audit, including the procedures followed, the tests performed together with the information obtained and the conclusions formed. Working papers should be prepared at the time the work is carried out. Such papers are the property of the Assembly and the auditors who shall ensure their safe custody and confidentiality.

The purpose of the current file is therefore to provide a record of the audit work performed and to enable any person reviewing the audit to be satisfied that an adequate audit examination has been made of the areas audited.

10.5.2 Permanent Files

The purpose of a permanent file is to provide auditors with a source of background information about the sections being audited thus allowing them to obtain a greater understanding of their systems.

The permanent file should be updated each year and will thus provide the auditor with the most up to date information available.

(See section 10.7 below for detailed contents of audit files)

10.6 Documentation Management and Control

To ensure the proper management and traceability of documents produced and issued in the Internal Audit Unit the following principles are to be met:

- Documents shall be assigned an identification code (See § 10.7. - Files structure, Identification and traceability).
- Each working paper shall be uniquely traceable to the audit.
- Each document shall identify the total number of pages/sheets and, on each page, the issue number of the Document. Each page shall be uniquely numbered and show the Document identification and reference.

- When a document is distributed it shall have a defined distribution. All recipients of Controlled copies of Documents shall receive subsequent amendments and shall ensure that previous versions are suitably identified to show that they have been superseded.
- IA charter and procedures manual shall have an Amendment Record to identify changes from the previous issue.
- Comply with any pre-defined audit Document formats.

Internal auditor(s) are to follow these principles in their day-to-day activities while the Head of Internal Audit carries an overall responsibility for document management and control and is to ensure that:

- Audit documentation requirements are identified, planned and scheduled;
- All IAU Documents are produced, issued and controlled in accordance with these principles;
- Registers of all documents subject to the controls are maintained and distributed, as appropriate;
- Copies of all documents are retained in secure and traceable files;
- The requirements for archiving of audit Documents are defined and implemented.

10.7 Files Structure, Identification and Traceability

See next 2 pages

FILES SECTIONS / Working paper descriptions	Working paper Reference
CURRENT FILES	
Section A - Report Section	
- Assignment Sheet	A01
- Independence and Qualification Statement	A02
- Reports	A03
- Final report	A03 – 1
- Draft report	A03 – 2
- Audit recommendation status report	A03 – 3
- Audit Finding Forms	A04-1
- Summary of Audit Findings	A04-2
- Suspected Activities Reporting Form	A04B
- Audit Agenda (Audit Program Guide)	A05
- Audit Programs	A06
- Weekly Time Sheets	A07
- Transmission Letter to ARIC	A08
- Management Responses Letter	A09
Section B - Administrative Section	
- Audit Entrance Memo	B01
- Letter to interested parties	B02
- Entry Conference Memo	B03
- Memorandum Confirming Audit Scopes and Objectives	B04
- Exit Conference Memo	B05
- Other Correspondence with Auditee	B06
- Questionnaire to the Auditee (Self-assessment questionnaire)	B06 – 1
- Management Input Memo	B06 – 2
- Guidelines to Auditee for handling an Audit	B06 – 3
Section C – Preliminary Review Section	
- Thrust Area Procedures Document	C01
- Risk Matrix	C02
- The risk analysis documentation	C03
Section D – Internal Review Section	
- Audit Report Review Sheet	D01
- Audit staff responses to report review	D02
- Working Paper Review Sheets	D03
- Audit staff responses to working paper reviews	D04
- Audit Performance Evaluation Form	D05
- Staff Performance Evaluation Form	D06
Section E – Financial Documents Section	
- Financial Statements	E01
- Trial Balance	E02
- Bank Statements and Bank Reconciliation Letters	E03
- List of Debtors	E04
- List of Creditors	E05
- Others	E07
Section F – etc – Working Paper File	

FILES SECTIONS / Working paper descriptions	Working paper Reference
- The working paper file(s) are used to document the evidence used to support the audit's conclusions. They are indexed on letters (E, F, G....). A letter should be used for each major section. Each major section of the audit file should correspond to an audit objective in the Audit Agenda. There is no standard plan or indexing scheme. The only requirement is that it should be simple and easy to follow.	F G Etc.…
- Summaries of interviews	F01

FILES SECTIONS / Working paper descriptions	Working paper Reference
PERMANENT FILES	
-	
Section PF – A : Audit plans and IAU activities	
- Strategic plans	PF A01
- Annual Plans	PF A02
- Review of activities of the IAU	PF A03
- Quarterly Internal Audit Reports	PF A03 – 1
- Annual Report on the functioning of the internal audit system	PF A03 – 2
- Self-assessment Check-list	PF A03 – 3
- Notification Of Interested Parties	PF A03 – 4
Section PF – B : Environment	
- Applicable rules, laws and regulations	PF B01
- Material on the Assembly - division of duties and responsibilities, number of employees, job descriptions, organisation chart, nature and location of accounting records	PF B02
- Financial Information	PF B03
- Internal Policies & Operating Procedures Manuals	PF B04
- Narratives with key personnel on operations and transaction flows supported by applicable documentation	PF B05
- Documentation on the Internal Control System. (Including control points, such as the system of approvals, authorisations, segregation of duties, supervision, reconciliation, reports, etc.)	PF B06
Section PF – C : Audit reports	
- Copy of previous years audit final reports	PF C01
Section PF – D : Audit Manual	
- Revisions to the Internal Audit Manual	PF D01

11 GENERAL SECURITY ISSUES

11.1 Information Security – Internal Audit Unit

The following security policy guidelines' on information should be considered. Current Internal Audit Unit policy and compliance is expected.

- **Restricted information:** All information reviewed in the course of an audit and information that auditors have access to should be considered confidential.
- **Working papers:** Upon completion of the audit, working papers should be maintained in locked file cabinets within the Internal Audit Unit. Access to audit files will be granted to individuals representing outside audit interests by the Head of Internal Audit. However, files should not leave the Internal Audit Unit without due process.
- **Data Ownership:** All data (manual or electronic) kept by the Internal Audit Unit should pertain to the Assembly and related professional duties of the auditor. As such, these files are considered the property of the Internal Audit Unit, rather than the property of the individual who has created them. All files, whether paper, electronic, etc., may need to be accessed from time to time. It is the policy of the Internal Audit Unit that such information will be freely accessible to those who are entitled to.

These guidelines are designed to allow efficient access to information by those who are entitled to use it, yet protect the integrity of the original files.

12. QUALITY CONTROL

The Head of Internal Audit establishes and maintains a quality assurance program to evaluate the operations of the Internal Auditing Office.

12.1 General Auditing Quality Criteria

Quality in the internal audit function is achieved when:

- There is stakeholder satisfaction

  The Head of the Internal Audit function should identify all relevant stakeholders and the products and services that are important, or should be important to each stakeholder. The audit function should perform an assessment of the current level of satisfaction of the stakeholders, through interviews, facilitated workshops and/or questionnaires (See Audit Performance Evaluation form on Annex 27). Any gaps identified should be included in an action plan for resolution in subsequent periods.

  Customers of the audit function should also be encouraged to contribute to the audit process by submitting their inputs prior the development of audit plans (See Management Input Memo – Annex 2)

- Internal audit processes performance are measured

  The audit function should undertake to measure the following:

  - Risk Assessment/Audit Planning

    The audit function should assess the extent that key risk areas are being addressed and obtain feedback from key stakeholders (including the ARIC, senior management, external auditors, etc) on whether the audit function has effectively addressed concerns of risk.
  - Planning and Performing the Audit Assignment

    The audit function should perform all audit audits in accordance with established audit methodologies and working practices and ensure that, for each assignment, audit plans are established to include consideration of the scope, objectives, timing and resource allocations
  - Communication and Reporting

    The audit function should also obtain feedback from stakeholders on the quality level of detail, and frequency of audit communications. It should also measure the degree to which key recommendations are implemented.

- Innovation and Capability

  Each Internal Audit function should continuously strive to achieve high measurement standards in the following areas:

  - Training

    Establish measures to ensure audit staff receive sufficient training. Audit staff should also be happy about the training they receive.
  - Technology

    Staff should be trained in the use of technology to effectively support audit testing and analysis.
  - Industry Knowledge

    The audit function should ensure that staff have sufficient knowledge of the industry, business, operations and key function in the Assembly (this could be achieved through orientation programs, working in the operational areas, audit projects in key areas among others).

12.2 Quality Assurance Programme

The purpose of this programme is to provide reasonable assurance that audit work conforms to the Internal Auditing Charter, and applicable policies and standards. In addition, the Quality Assurance and Improvement Programme should provide reasonable assurance that the IAU is being managed in an effective and efficient manner.

The Quality Assurance Programme includes the following elements:

- Ongoing Internal reviews
- Periodic Internal reviews
- Periodic External reviews.

12.2.1 Ongoing Internal Reviews

Supervision of the work of the internal auditors is carried out continually to assure compliance with applicable internal auditing standards, the Assembly's policies, and audit programs.

Each assignment of the IAU is covered by documented reviews as established in operational procedures.

➲ See Operational Procedure OP16 (Annex 20) and OP21 (Annex 21) – Review Sheets

12.2.2 Periodic Internal Reviews

Staff of the Internal Audit Unit shall participate in a staff development review. To provide feedback to the audit staff regarding their performance during the audit and to help the individual employee work closer to his or her potential, at the completion of each audit, the Head of Internal Audit should complete a Staff Performance Evaluation Form – for each member of the audit staff.

➲ See Operational Procedure OP25 (Annex 28) – Staff Audit Performance Evaluation

In addition, at the conclusion of each audit review, written audit effectiveness feedback shall be sought from the auditee utilising standard Audit Performance Evaluation Form

➲ See Operational Procedure OP25 (Annex 27) – Audit Performance Evaluation

Such feedback shall be reviewed on a regular basis as a means of maintaining and/or improving internal practices and processes, and as a basis for necessary staff development.

Periodic self-reviews for compliance with the IIA Standards for the Professional Practice of Internal Auditing shall be undertaken by the IAU.

12.2.3 Periodic External Reviews

By Independent Auditors

If required, the Assembly may use independent auditors (preferably from the Internal Audit Agency) to perform appraisals of the quality of the IAU operations. These reviews should be performed by qualified persons who are independent of the Assembly and who do not have either a real or an apparent conflict of interest.

IAU is to rely on a formal, written report issued which would express an opinion as to the IAU compliance with the Standards for the Professional Practice of Internal Auditing and, as appropriate, included recommendations for improvement.

12.2.4 Annual Performance-Reporting on the IAU's Activities

Each year, by the 1st February, the Head of Internal Audit is to present to the Coordinating Director an "Annual Performance Report on the Internal Audit function at the Assembly".

The "Annual Performance Report on the Internal Audit function at the Assembly" shall cover the following:

- The deficiencies detected in the Assembly's internal control system
- The implementation of an annual IAU activity plan indicating the number of planned audits and the number of implemented audits;
- The cases of audit scope limitation (if any) indicating the causes and potential risks;
- The carried out audits which were not scheduled in the annual IAU audit plan or other assignments of Coordinating Director;
- The principal findings and recommendations;
- Indication whether all suggested audit recommendations were implemented;
- Review of the status on implementation of audit recommendations and deficiency elimination;
- Unimplemented recommendations which auditor considers important and associated risks;
- Sufficiency of human and material resources to carry out the audits which had been planned;
- Training and qualifications of IAU personnel;
- Other important information.

The report has to reflect the significance of internal auditing and underline the operational improvement of the Assembly.

Copies of this report are also issued to the Presiding Member, the ARIC, the Director-General of the Internal Audit Agency, the Minister of the Ministry of Local Government and Rural Development, and the Head of the Local Government Service.

13. CODE OF ETHICS

In all of its activities, the IAU adheres to the Code of Ethics adopted by The Institute of Internal Auditors, USA and the Internal Audit Agency Act, 2003 (Act 658).

13.1 Introduction

The purpose of the Code of Ethics is to promote an ethical culture in the profession of internal auditing.

Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.

A code of ethics is necessary and appropriate for the profession of internal auditing, founded as it is on the trust placed in its objective assurance about risk management, control, and governance. The Institute's Code of Ethics extends beyond the definition of internal auditing to include two essential components:

1. Principles that are relevant to the profession and practice of internal auditing;
2. Rules of Conduct that describe behaviour norms expected of internal auditors. These rules are an aid to interpreting the Principles into practical applications and are intended to guide the ethical conduct of internal auditors.

The Code of Ethics together with the Internal Audit Agency Act, 2003 (Act 658), the Institute's *Professional Practices Framework* and other relevant Institute pronouncements provide guidance to internal auditors. "Internal auditors" refers to Institute members, recipients of or candidates for IIA professional certifications, and those who provide internal auditing services within the definition of internal auditing.

13.2 Applicability and Enforcement

This Code of Ethics applies to both individuals and entities that provide internal auditing services.

13.3 Principles

Internal auditors are expected to apply and uphold the following principles:

- *Integrity*

  The integrity of internal auditors establishes trust and thus provides the basis for reliance on their judgment.

- *Objectivity*

  Internal auditors exhibit the highest level of professional objectivity in gathering, evaluating, and communicating information about the activity or process being examined. Internal auditors make a balanced assessment of all the relevant circumstances and are not unduly influenced by their own interests or by others in forming judgments

- *Confidentiality*

  Internal auditors respect the value and ownership of information they receive and do not disclose information without appropriate authority unless there is a legal or professional obligation to do so.

- *Competency*

  Internal auditors apply the knowledge, skills, and experience needed in the performance of internal auditing services.

13.4 Rules of Conduct

13.4.1 Integrity

Internal auditors:

1.1. Shall perform their work with honesty, diligence, and responsibility.

1.2. Not knowingly be a party to any illegal activities or engage in acts that discredit the work of internal auditing or the Assembly;

1.3. Make disclosures required by law and the standards and procedures as established under section by the Internal Audit Agency.

1.4. Respect and contribute to the legitimate and ethical objectives of the organization.

13.4.2 Objectivity

Internal auditors:

1.1. Shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization.

1.2. Shall not accept anything that may impair or be presumed to impair their professional judgment.

1.3. Shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review.

13.4.3 Confidentiality

Internal auditors:

1.1 shall respect the value and ownership of information they receive and shall not disclose information without authority unless there is a legal or professional obligation to do so.

1.2 shall be prudent in the use and protection of information acquired in the course of their duties.

1.3 shall not use information for any personal gain or in any manner that would be contrary to the Internal Audit Agency Act, 2003 (Act658) or detrimental to the legitimate and ethical objectives of the Internal Audit Agency, and/or the Assembly.

13.4.4 Competency

Internal auditors:

1.1. shall exhibit the highest level of professionalism in the gathering, evaluation and communication of information when auditing and shall act only in areas for which they have the necessary knowledge, skills, experience and competence.

1.2. shall perform internal auditing in accordance with Generally Accepted Principles of Internal Auditing and the *Internal Audit* standard and guidelines as set by the Internal Audit Agency.

1.3. shall in the performance of their work make a balanced assessment of all issues of relevance to the work and should not be influenced by their personal interest or the interests of other persons.

1.4. Shall continually improve their proficiency and the effectiveness and quality of their services.

13.4.5 Non-Adherence

Any internal auditor who acts in breach of any of the requirements of confidentiality, integrity, objectivity and competence shall be subject to such action as the Board of the Internal Audit Agency shall recommend including criminal prosecution.

13.5 Escalation Procedures

Where members of management of an Assembly request an Internal Audit staff to undertake a commission or omission that will result in a breach of any ethical requirement under duress, the Internal Auditor should:

1) Refuse to undertake the responsibility that is requested;
2) Report the actions of the member or Management personnel of the Assembly to the Head of the Local Government Service Secretariat and the Director-General of the Internal Audit Agency in writing, with all and any supporting evidence; and
3) Request for the intervention of the Head of the Local Government Service Secretariat and the Director-General of the Internal Audit Agency

Purpose

The primary function of Internal Audit should be that of adding value to the Assembly's overall efficiency and effectiveness and ultimately its capacity to achieve its objectives.

Background

At the planning stage the Internal Audit Unit will achieve this function through:

- Adopting a far reaching vision and a strategic focus on the risks and opportunities of the environment in which the organisation works.
- Ensuring an auditor-auditee participative approach to internal audit planning by involving the organisations senior decision makers in the strategic planning exercise.

The auditee should expect the IAU to add value by acting as a consultant helping to improve business performance rather than as an internal controller.

Procedure

Action by:	*Action:*
Internal Audit Team	1. Review the Organization's Mission Statement, values and objectives. 2. Identify all auditable areas. 3. Calculate the average budget expenditure for each auditable area for the past three years. 4. Prepare a Summary 3-Year Internal Audit Strategic Plan. 5. Identify major risks and opportunities and prepare for a SWOT[1] Analysis Meeting with Senior Management.
Head of Internal Audit	6. Host a SWOT Analysis Meeting with Senior Management Panel.
Head of Internal Audit	7. Calculate the number of auditor days available over the coming 3 years. 8. Allocate the total auditor days. 9. Prepare and submit the Strategic Audit Plan for approval by the ARIC and the Coordinating Director.

[1] Strengths, Weaknesses, Opportunities, Threats

OPERATIONAL PROCEDURE ANNUAL AUDIT PLAN

Action by:	*Action:*
Head of Internal Audit	1. Creates a memorandum notifying other units that the Internal Audit Unit is establishing the Annual Audit Plan for the succeeding year (Management Input Memo – Annex 2). This memo solicits the Assembly's Management suggestions for audit services. 2. Sends Management Input Memo to the Assembly's departments/ units. 3. Performs a risk assessment of the Assembly's programs and department activities and reviews prior audit work and prior denied audit requests. Elements of the preliminary risk assessment here include the materiality (in terms of the budget size) of the thrust/auditable area, the complexity of operations, organisation/operational changes done in the last year, previous significant audit findings in the thrust/auditable area (if any) among others. 4. Creates a list of audit priorities from step#3.
Senior management	5. Calls, Writes or E-mails the Head of Unit to notify him/her of their request(s) for audit services. 6. Meets with or phone Head of Internal Audit to discuss specific request for audit services, if necessary.
Head of Internal Audit	7. Documents Senior Management's audit requests by issuing a Substantiating Memo. 8. Compiles all audit requests for discussion with the Assembly's ARIC. 9. Meets with the Assembly's ARIC and discusses management and Internal Auditor's lists of audit priorities. 10. Obtains the Assembly's ARIC's audit priorities. 11. Creates the Annual Audit Plan.
Audit Committee	12. Reviews and advices the Head of the Internal Audit Unit and Management on the Annual Plan
Senior management	13. Approves the Annual Audit Plan
Auditor	14. Files the Annual Plan

Purpose

To establish procedures for selecting the auditors designated to audit the Assembly's operations.

Background

The personnel are designated to carry out the audit mission based on the available time budget, particular skills and the experience required to perform the work. On designation, a registration number is assigned to each audit mission.

Procedure

Action by:	*Action:*
Head of Internal Audit	1. Selects the auditors and makes sure they are available. 2. Prepares the Assignment Sheet - Ref. Annex 5. The Assignment sheet must include the reference no., project title, auditors' names, budget, deadline and any other instructions.
Head of Internal Audit	3. Assigns a number to the Assignment Sheet. 4. Provides each member of the approved assignment sheet to the auditor team member 5. Files the original Assignment sheet. Each member of the audit team is provided with copies; the secretary will also keep one copy.
Auditors	6. Open the audit files. 7. File the copy of the Assignment Sheet into the audit file.

OPERATIONAL PROCEDURE QUALIFICATION AND INDEPENDENCE OF STAFF

Purpose
To justify the auditors' qualifications and i ndependence regarding the Assembly's operations audit.

Background
The auditors assigned to audit must cumulate the adequate professional competences for the required tasks. The auditors are assigned to audit according to their availability, personal skills and the necessary experience to fulfil the task.
Personal incompatibilities, meaning personal relationships, previous management experience, preferences etc., are to be taken into consideration as well. An auditor will not be assigned where there are personal incompatibilities, unless his assignment is unavoidable and justified.
If a real or only suspected incompatibility occurs during the audit mission, the auditors have the responsibility to immediately inform the Management.

Procedure

Action by:	*Action:*
Auditors	1. Fill in the Independence and Qualification Statement - Ref Annex 6.
Head of Internal Audit	2. Reviews the Independence and Qualification Statement. 3. Examines the list of pertinent qualifications. Describes any reported incompatibility and explains how it can be mitigated. 4. Endorses the Independence and Qualification Statement.
Auditors	5. File the Statement in the audit file. 6. Should an actual or perceived conflict of interest arise during the mission, immediately notify the management.

Purpose
To organise a presentation meeting with the auditee (s) in order to discuss the purpose, objectives and working arrangements of the audit.

Background
The opening session is a preliminary meeting of the audit mission. Normally, during this meeting, the internal audit will present the goal, objectives and procedures of the audit. The context and advantages of the audit will also be discussed, as well as any other arrangements concerning the audit.

Procedure

Action by:	*Action:*
Auditor	1. Prepare the Letter to interested parties - Ref Annex 7.
Senior Internal Auditor/Auditor	2. Review the Letter to interested parties
Head of Internal Audit	3. Signs the Letter to interested parties
Senior Internal Auditor/Auditor	4. Include areas of interest (if any is expressed) to Audit Program Guide 5. File the letter and response in the working papers – Ref Annex 7.

OPERATIONAL PROCEDURE OP 05
AUDIT ENTRANCE MEMO

Purpose
To inform the relevant parties that the Internal Audit will initiate an audit mission on the operations of the Assembly.

Background
These measures are adopted in order to make sure that the audit meets all the requirements

Procedure

Action by:	*Action:*
Auditor	1. Prepare the Audit Entrance Memo – Ref Annex 8. Note : the information requested from the Auditee may include : • Organizational chart. • List of all accounts (numbers and account titles) • Financial Statements • Operating and/or comparative analysis reports • Key productivity and performance measures i.e., productivity measures used for budgeting purposes, etc. • Description of significant (include flowcharts if available). • Internal policies and procedures manual. • Proposed or pending changes in policies and procedures. • Copies of external regulations applicable • Reports, surveys, etc. issued by external entities.
Head of Internal Audit	2. Reviews and signs the Audit Entrance Memo
Auditor	3. Files a copy of the Audit Entrance Memo in the Temporary File working papers – Ref Annex 8. 4. Follow up with the auditee to make sure that the information requested is provided.

Action by:	*Action:*
Auditor	1. Prepare a Memorandum confirming the audit scope and objectives – Annex 10.
Head of Internal Audit	2. Review and sign the Memorandum confirming the audit scope and objectives
Auditor	3. Transmits the Memorandum confirming the audit scope and objectives to Auditee
Auditee	4. Return a signed copy of the Memorandum confirming the audit scope and objectives – Annex 10.
Auditor	5. File the audit scope and objectives memorandum in the audit workpapers – Annex 10. 6. Prepare an Audit Agenda (See procedure OP09)

OPERATIONAL PROCEDURE OP07
ENTRY CONFERENCE

Purpose

To organise a presentation meeting with the Assembly's Auditee Department in order to discuss the purpose, objectives and working arrangements of the audit.

Background

The opening session is a preliminary meeting of the audit mission. Normally, during this meeting, the internal audit will present the goal, objectives and procedures of the audit. The context and advantages of the audit will also be discussed, as well as any other arrangements concerning the audit.

Procedure

Action by:	*Action:*
Auditor	1. Contact the auditee (telephone) to schedule the Entry Conference.
Senior Internal Auditor Auditor	2. Conduct the audit Entry Conference. 3. IAU provide the auditees with : -Explanations regarding: -Presentation of auditors; -Presentation of the Internal Audit Unit's objectives; -Establishment of deadline for presentation of deliverables; -Detailed presentation of the content -Agreement on the meeting calendar; -Presentation of the internal public auditor's Charter, for acknowledgement; -Assurance of physical resources needed for the performance of the internal audit mission; Provide the following documents to Auditee: - Employee guidelines for managing an audit – Ref. Annex 11 - Questionnaire to Auditee (Self assessment questionnaire) – Ref Annex 3; - Internal Audit Charter.
Auditor	4. Prepare an Entry Conference Memo – Annex 9. 5. Make sure that each Entry Conference participant is listed in the attendance list, including title, department, and contact data. 6. Complete the Entry Conference Memo by summarising the discussions which took place during the Entry Conference.
Senior Internal Auditor	7. Review Entry Conference Memo
Auditor	8. File Entry Conference Memo in the audit working papers – Ref Annex 9.

Action by:	*Action:*
Auditors	**Complete the thrust/auditable area procedures document** Completion Procedure **1.** **Under the thrust/auditable area objective(s):** By talking to the management of the thrust/auditable area, reviewing documents, e.t.c., identify why the thrust/auditable area is part of the Assembly and what their activities (if carried out correctly) will enable the Assembly to achieve. These are the objectives of the thrust/auditable area. Also identify how they plan to conduct their activities to achieve their aims. These will be strategies and their implementation. **2.** Determine, by asking Management of the Thrust/auditable area and verifying from the monthly and annual accounts, whether transactions that occur in the thrust/auditable area are captured in the accounts. If they are captured, under what headings are they captured? The headings are the Significant Classes of Transactions (SCOTS). Identify them for this thrust/auditable area and describe them briefly. Also determine if your audit will involve testing the transactions through to their inclusion into the financial statements. If so, what audit objective covers these transactions through to their inclusion in the financial statements? This is the preliminary audit objective. **3.** Determine if there are any triggers to the start of the processes in the thrust/auditable areas. E.g. a duly completed stores requisition voucher (SRV) submitted for an item that is not in stock (or where such an SRV results in the stock of item falling below a level that requires that more should be bought) could prompt the start of the procurement process. In this case, the SRV becomes an input for the procurement activities and should be identified under the section *inputs* in the documentation template. Interview the people who carry out the activities of the thrust/auditable area and document how they carry out the activities. Focus on what they do, who does it, how they do it and when they do it. This documentation should go under the section *activities* in the documentation template.

	Confirm what you are told with walkthrough test. If at the end of the process, some outputs are produced (e.g. fuel purchased, or signed payment vouchers) this is put under the section, *outputs* in the documentation template. 4. In part II of the doc ument, identify what can go wrong in the activities that you have documented. These are the thrust/auditable area level risks. Determine which of the objectives that was identified in part I will not be achieved, if what you have identified actually goes wrong. Determine if management of the Assembly or the thrust/auditable area have put in place measures to ensure that things do not go wrong or that if things go wrong they can detect that things have gone wrong and take corrective measures. These measures put in place are the controls. Assess whether if the staff actually apply the measures that have been put in place by management, things can still go wrong. This is the test of design. If you determine that the test of design is not effective, you do not test for operating effectiveness. **You only test for operating effectiveness when test of design is effective.** You will need to state the audit objective that covers the risk you have identified. If there is none, you will need to revise your audit program to include one.
Head of Internal Audit	**5. Review the completed Thrust/auditable Area Procedures Document.**
Auditors	**6. File the Thrust/auditable Area Procedures Document.**

Purpose
To centralise the threats and pertinent controls of (your organisation).

Background
The risk matrix shows the relationship between threats and control by identifying the specific controls that could mitigate specific threats.

Procedure
The following steps are to be taken when performing risk assessment:

Action by:	*Action:*
Auditor	1. From the work performed during the Preliminary Survey, the thrust/auditable area procedures document and from professional judgment, prepare a list of risks
Head of Internal Audit	2. Prepare a Risk Matrix – Ref Annex 13 showing the likehood, impact and the controls that mitigate each risk. 3. Rate and priotorise the risks 4. Submit the Risk Matrix and Audit Finding Forms on risk to the Assembly's Co-ordinating Director
The Assembly's Auditee	5. Review and approve the Risk Matrix
Audit Staff	6. File the Risk Matrix – Ref Annex 13 and the audit finding forms – Ref Annex 18 in the audit working papers.

Example - Annex 13

OPERATIONAL PROCEDURE PRELIMINARY AUDIT ACTIVITIES
(Preliminary survey)

Purpose
To collect information about the history, organisation and financial background, which will help the auditor become familiar with the Assembly's operations, supplying general data for the audit report and subsequently facilitating the risk analysis and survey procedures.

Background
The preliminary survey is in fact planning for the risk analysis and for the stages of the audit mission.

During the preliminary survey, the auditors must:
1. Consider the signification and needs of the potential users of the Audit Report;
2. Reach a satisfying level of understanding of the Assembly's operations and the operations to be audited;
3. Consider the legal framework;
4. Identify the criteria necessary to assess the audited matters;
5. Identify the significant findings and recommendations from the previous audit reports which could affect the current objectives of the audit;
6. Identify potential sources of information which could be used as evidence of the audit and consider the validity and credibility of this information;
7. Decide whether the activity of other auditors and experts could be used in order to achieve some of the audit objectives.
8. Familiarize with internal procedures and regulations, in order to facilitate risk assessment stage.

Procedure

Action by:	*Action:*
Auditors	1) Interview the auditee management in order to obtain general, basic information regarding the programme; 2) Obtain or draw up the organisation chart, identify the personnel who is responsible for the programme and describe their duties in administrating or monitoring the programme; 3) Based on interviews with the personnel from various compartments and by noticing the activities on location, they get familiar with (1) how the programme works; and (2) the information system; 4) Describe and flowchart the processes affecting the programme. Get a copy of the written procedures; 5) Identify the relevant forms, management files and reports; review the content, organisation and purpose of the files. Establish the number of reports and penalty policy, as well as the organisation of the reports which could be subsequently verified, and determine the control logs availability, indexes/tables of contents which could be used to centralise information and select samples. They obtain

	examples of internal and external reports; 6) Obtain copies of the budgets for the last 3 to 5 years. Identify the funding sources of the programme and the restrictions regarding the use of those funds. Review the budget justifications and write down any budget cut or raise affecting the programme; 7) Collect statistical data on the programme performance in order to support it during the risk analysis stage (for example, the number of performed operations, the value of the operations in different currencies, etc.); 8) Obtain and review the copies of important meetings, if appropriate. 9) Determine the legal authority for the programme; 10) Identify laws and regulations applicable to the programme; 11) Obtain and review contracts/ conventions/ agreements included in the programme;
Auditors	12) Prepare a Preliminary Survey Memorandum, including: a. information on the legal authority for the audited programme; b. brief background or profile of the programme, including the goal and objectives of the audit; c. a summary of the important matters, responsible persons, contracts, endowment, computer network or data bases, processes, applicable laws and regulations; d. a definition of terms;
Auditors	13) Must draw up the Findings Audit Sheet -Ref. Annex 18 (see Procedure OP14) – if anything was found during that stage. 14) Finalise the numbering, labelling, cross-reference and checking of the filed documents and other audit documents; 15) Establish a review of the documents by the Head of Internal Audit;
Head of Internal Audit	16) Reviews the documentation;
Auditors	17) Answer the observations regarding the revision;
Head of Internal Audit	18) Reviews and approves the Preliminary Survey Memorandum; 19) Reviews and approves the Audit finding Forms;
Head of Internal Audit	20) Establishes the necessity to use a specialist in order to provide technical assistance in specific fields. Determines the need to hire a consultant or a consulting company;
Head of Internal Audit	21) Organises a meeting to identify the audit objectives and risk analysis matters. Re-evaluates the way in which the audit objectives, goal and methodology were established, as it is necessary; 22) Informs the Assembly's auditee and management of any changes;
Auditors	23) File the working papers in Section C; 24) File the Preliminary Survey Memorandum with the documents of the audit file – Annex 3. 25) File the Audit Findings Form - ref Annex 18.
Auditors	26) Complete the Audit Program Development – Ref Annex 14

Purpose
The Audit Agenda is elaborated in order to establish the steps to be taken during the audit in order to achieve the specific audit objectives.

Background
This procedure guides the preparation of the Audit Agenda.

Procedure

Action by:	*Action:*
Auditor	1. Prepare draft Audit Agenda Ref. A nnex 14 after the preliminary survey and before any test work is performed. 2. Number Audit Agenda steps cons ecutively from beginning to end.
Head of Internal Audit	3. Review and approve the Audit Agenda
Auditor	4. Review and up-date the Audit Agenda all along the audit work
Auditor	5. File the Audit Agenda – Ref A nnex 14 in the Current File working papers

Example – Annex 14

Purpose
To elaborate an audit programme in order to establish whether the Assembly's controls or procedures in place are operational.

Background
This procedure is a guide in preparing the audit programmes. **An audit program is required for each audit objective.**

Procedure

Action by:	*Action:*
Auditors	1. Prepare the audit programmes Ref Annex 15, including the following elements: - audit objectives; - tests to be carried out; - other necessary audit procedures and tests; 2. Prepare a Memo with the following annexes: - Preliminary Survey; - Risk Matrix; - Audit Agenda; - The proposed audit programmes to be.
Head of IAU Auditors	3. Organise the meeting; 4. Revise the Memo and annexes; 5. Discuss and make changes accordingly;
Head of Unit	6. Approves the Memo and annexes;
Auditors	7. File the audit programme - Ref Annex 15; 8. Use the audit programme to carry out the activity;

Purpose

To ensure that sufficient, competent and relevant records are kept in order to ensure a reasonable basis for the auditors' findings and conclusions.

Background

During the evidence collection stage of the audit, the auditors run tests in compliance with the approved Audit Programme. Work in this stage generates audit evidence based on which the auditor formulates findings, conclusions and recommendations.

Procedure

Action by:	*Action:*
Auditors	**1.** Conduct the audit tests and procedures determined in the audit programs.
Head of Unit	2. Ascertain that the evidence obtained is sufficient, relevant, competent, and useful.
Auditors	3. Document all audit work in Test Working Paper (Annex 17) and Audit Finding Forms – Ref Annex 18. 4. Label and number all working papers 5. File all documents pertaining to the audit in the working paper files

OPERATIONAL PROCEDURE OP 13
TEST WORKING PAPER

Purpose
To ensure a standard format for the tests conducted during the audit.

Background
In general, the entire audit work that is carried out must be supported by documents. Each audit program should be supported by documents and contain references to documents including evidence for the tests run and the results obtained.

Procedure

Action by:	*Action:*
Auditors	1. Perform the tests approved in the audit programmes; 2. Document the tests using Test Working Papers – Annex 17
Head of Internal Audit	3. Revises/discusses/approves the documents.
Auditors	4. File the working papers in the files.

Example Annex 17

Purpose

To ensure that the findings of the audit mission include sufficient, competent and relevant information in order to promote a proper understanding of the found matters and to provide persuading yet fair presentations, in an appropriate perspective.

Background

The following elements of the audit findings must be included:

1. Findings (Condition);
2. Causes,
3. Consequences,
4. Recommendations.

Procedure

Action by:	*Action:*
Auditors	1. As the audit is carried out, draw up the Audit Finding Sheets; Ref Annex 18. 2. At the end of the evidence collection phase, complete all elements for each Audit Finding Sheet; The following Elements of the audit finding must be stated; • Findings (Condition) • Causes and Consequences • Recommendations 3. Forward the Audit Finding Sheets to the Head of Internal Audit.
Head of Internal Audit	4. Revises and approves the Audit Finding Sheets.
Auditors	5. Label, number and file the Audit Finding Sheets (Annex 18) in the working file

Example – see Annex 18

OPERATIONAL PROCEDURE FINDING OF ILLEGAL ACTS

Purpose
To provide guidance in case irregularities are found.

Background
When the auditors reach the conclusion, based on the obtained evidence, that an irregularity was committed, they must promptly report to the Head of Unit.
An irregularity means a violation of a law and/or a regulation. The auditors should prove professional care in following the clues for potential irregularities, so that they should not interfere with the legal procedures.

Procedure

Action by:	*Action:*
Auditors	1. An illegal act is a violation of a law and/or a regulation. When auditors conclude, based on evidence obtained, that an illegal act (irregularities, fraud etc…) has occurred, they should report within 24 hours relevant information to the Head of Internal Audit. Auditors should exercise due professional care in pursuing indications of possible illegal acts so as not to interfere with legal proceedings. Their written report should include as a minimum the following information : Detailed description of the irregularity(ies), exception(s), or other potential violation(s) of law - The statute, law, regulation, decree, policy, or procedure that has been potentially violated - The nature and amount of the expenditure; in cases where no payment has been made, the amounts, which would have been wrongly paid, had the irregularity not been discovered, - The period during which, or the moment at which, the irregularity was committed: - The practices employed in committing the irregularity - The manner in which the irregularity was discovered - The financial consequences, the suspension of any of payments and the possibilities of recovery - The date and source of the first information leading to suspicion that an irregularity was in evidence - The identity of the natural and legal persons involved, suspected save in cases where such information is of no relevance in combating irregularities on account of the character of the irregularity - The name of the auditor. The auditor must receive a written answer from the Assembly's Auditee.
Head of Internal Audit	2. Determine whether additional work needs to be performed or whether audit procedures should be suspended as a result of the finding. 3. Informs the ARIC and the Coordinating Director.

Purpose

To ensure the works are prepared appropriately and to ensure proper support of the performed activity and of the evidence collected during the audit.

Background

The Head of Internal Audit revises the work from the point of view of their format and content, ensuring that the audit evidence presented in the file documents can pass the evidence test. In order to pass the test, the evidence should be:

- sufficient: if it is enough to support the auditor's findings;
- competent: it is consistent with the facts;
- relevant: it has a logical relation with the finding;

Procedure

Action by:	*Action:*
Auditors	1. As the audit is carried out, label, cross-reference and number all working papers. 2. Ascertain that the working papers provide appropriate support to the audit work and to the audit evidence collected during the audit. 3. Plan a session for the revision of works with the Head of Internal Audit.
Head of Internal Audit	4. Review the working papers and content and ascertain that the audit evidence reflected in the audit working papers are fully supported. 5. Provides auditors with a list of the works revision, containing all comments and questions related to the audit works.
Senior Internal Auditor	6. Answer in writing the questions and comments of the Head of Internal Audit. 7. Make the necessary changes in the documents. 8. Plan a continuation meeting with the Head of Internal Audit.
Head of Internal Audit	9. Revises the auditors' answers to the list of revised comments. Checks all solved comments and questions.
Auditors	10. File the revised list of the works in the temporary audit file and audit staff responses – Annex 20.

OPERATIONAL PROCEDURE OP 17
AUDIT EXIT CONFERENCE

Purpose

To ensure that the auditee has the opportunity to express their opinions regarding the auditors' findings, conclusions and recommendations, as well as the corrections envisaged.

Background

To ensure that the Head of Internal Audit can provide auditee with a draft audit report completed in a fair and objective manner, which will enable the auditee representatives to request a exit conference where they could express their opinions on the findings, conclusions and recommendations. In this meeting, the auditee representatives will also explain the corrections they intent to make in reply to the findings and recommendations of the audit.

Procedure

Action by:	*Action:*
Auditor	1. Plans the exit conference.
Head of Internal Audit Auditors/Auditees	2. Hold the closing session. The Assembly's representatives present their opinions regarding the auditors' findings, conclusions and recommendations, as well as the planned corrections.
Auditors	3. Make a summary of the discussions held during the exit conference in an Exit Conference Memo (no standard format)
Head of Internal Audit	4. Agree upon the modifications to be operated on the audit report, if necessary.
Auditors	5. Prepare additional documents needed to justify the modifications operated on the audit report. 6. File all the approved modifications to the audit report, the Exit Conference Memo Ref-Annex 21 and revised audit report in the audit working papers.
Auditors	7. File the Notes taken on the Audit Exit Conference in the Current Audit file

OPERATIONAL PROCEDURE OP 18
AUDIT REPORT - DRAFT

Purpose
To provide guidance to the auditors in drawing up the draft audit report.

Background
In writing the report, the auditor uses the audit evidence reported in the Finding Sheets. The discussions should contain all relevant elements of the audit findings (i.e. conditions, causes, effects and recommendations).
In planning/performing the audit assignment, audit tasks should be divided between the auditors and the supervisor for the engagement. In case of the supervisor, the review for the work papers will be done by the Head of Internal Audit, as presented below.

Procedure

Action by:	*Action:*
Auditors	1. Draw up the draft audit report by using the format indicated in Annex 22. 2. Indicate the working papers on the margin of the of the draft audit report. 3. Forward the final draft of the audit report, with references, to the Head of Internal Audit.
Head of Internal Audit	4. Reviews the draft audit report Annex 23, OP21 5. Establishes whether the entire draft or parts thereof should be transmitted to the legal department with a view to being legally revised. 6. Schedule a follow-up meeting with the Auditors to clear outstanding queries.
Auditors	7. Make the necessary changes, approved by the reviewer. 8. File the draft audit report, including the corrections approved by the Head of Internal Audit.

OPERATIONAL PROCEDURE OP 19
DRAFT REPORT TRANSMITTED TO THE AUDITEE

Purpose
To provide auditee with the opportunity to revise the draft audit report and to prepare a response to the findings and recommendations of the audit.

Background
The draft report forwarded to the Auditee should be as complete as possible, including all evidence related to the facts, opinions, and conclusions referred to, which should be verified.

Procedure

Action by:	*Action:*
Head of Internal Audit	1. Forwards the draft report to the Auditee.
Auditee	2. Reviews the draft report. 3. Requests, if necessary, a closing session. 4. Transmits the answers to questions in writing to IAU.
Auditors Head of Internal Audit	5. Review the answers provided by Auditee. 6. Discuss the preparation of a closing session.
Auditors	7. File the written answer

Purpose
To process the audit report for the final revision and final drafting.
To find that the audit report is complete, including the auditees answers, and is distributed to all relevant persons.

Background
Auditors are responsible for ensuring a high quality presentation of the report and the drafting of a correct and complete distribution list.
The audit reports will be transmitted according to an established distribution policy.

Procedure

Action by:	*Action:*
Auditor	1. Ascertain that all changes approved by the reviewer in the audit report draft are incorporated. 2. Ascertain that the audit report distribution list is complete and accurate. 3. Ascertain that names and titles are current and correctly spelled. 4. Arrange for final proof-reading and number-checking. 5. Finalise the report 6. Transmit to Head of Internal Audit.
Head of Internal Audit	7. Review and transmit final report to the Auditee and addresses (see in distribution list)
Auditor	8. File the Final Report – Annex 22

OPERATIONAL PROCEDURE OP 21
DRAFT REPORT REVIEW

Purpose

To appreciate that each mention of the facts contained in the report is supported by justifying documents from the audit documents and that the opinions and conclusions are logical and consistent.

Background

The revision of the draft report is a critical control element in the drawing up of the report. It is done by the Head of Internal Audit/supervisor of the assignment, who must logically examine the report from the point of view of facts. He must check each situation or operation by following justifying documents. These documents must reflect the details and reveal what was found.

Procedure

Action by:	*Action:*
Head of Internal Audit	1. Review the conceptual structure of the report, correcting the grammatical mistakes. Verifies whether the facts logically lead to conclusions and recommendations. 2. Trace that every statement of fact is supported by documents, including data, numbers, percentages, titles, names correctly written, excerpts from law. 3. If the statement of fact, opinions or conclusions is acceptable, place a tick above them. 4. Writes all questions and comments in audit report review sheets – Annex 23. Assigns a comment number to each questioned item.
Auditors	5. Respond in writing to the comments and questions of the reviewer. 6. Make the required modifications in the documents. 7. Plan a follow-up meeting with the Head of Internal Audit.
Head of Internal Audit	8. Revises the auditors' answers 9. Clear with a tick all comments and questions that have been solved. 10. Discuss and approves the draft report.
Auditors	11. File the report review sheets in the working papers file – Annex 23

OPERATIONAL PROCEDURE OP 22
TRANSMISSION LETTER

Purpose
To send the Audit Report with the Management Letter to the Audit Report Implementation Committee and the Coordinating Director and Senior Management.

Background
It is important that the audit report is circulated to the ARIC, the Coordinating Director and Senior Management of the Assembly to ensure that areas of weakness are identified and that Management take the necessary measures to remedy the weaknesses within a given timeframe. The ARIC and Internal Audit Un it will monitor the implementation of the necessary controls by Management.

Procedure

Action by:	*Action:*
Head of Internal Audit	1. Transmits report to the ARIC, the Coordinating Director and Senior Management
INTERNAL AUDIT UNIT	2. Monitor the implementation of the recommendations made in the audit report by Management. .
ARIC	3. Ensure that the audit recommendations are monitored by the the Internal Audit Unit and that they are implemented by Management
Auditors	4. Files the Transmission Letter

OPERATIONAL PROCEDURE MANAGEMENT RESPONSES LETTER

Purpose
To receive the written comments of management to the audit recommendations and include them as an annex to the audit report.

Background
It is important that management accept and understand the audit recommendations and specify deadlines for their implementation. In the event of a disagreement then the Coordinating Director and the Audit Report Implementation Committee can intervene to settle the matter.

Procedure

Action by:	*Action:*
Head of Internal Audit	1. Recieves the Responses of Management and includes them as an annex to the Internal Audit Report. 2. If there is a disagreement on any of the recommendations raised, the HIAU will meet with the Management and the ARIC in order to find a solution.
ARIC Chairmen, Coordinating Director	3. In the event of a disagreement will meet with the relevent Management, the Head of Internal Audit in order to remedy the situation.
ARIC	4. Ensure that the audit recommendations are monitored by the Internal Audit Unit and that they are implemented by Management
Auditors	5.File the Management Responses Letter

OPERATIONAL PROCEDURE OP 24
TIMEKEEPING

Purpose
To ensure a standard format for time management.

Background
The major resources of internal audit are the people. In order to control the use of this resource, time budgets are allocated for each audit and the detailed budgets are drawn up based on the audit agenda.
The budgets help maintain the auditor within the project parameters.
The time budget also serves as a programming and control instrument in the auditors' planning and is responsible for the efforts and fulfilment of the internal audit functions.

Procedure

Action by:	*Action:*
Auditors	1. When preparing the audit agenda, the auditors should estimate the time required to carry out its stages. The total stages should be lower than the time budget approved in the annual plan. The time budget is approved when the Audit Agenda is approved.
Head of Internal Audit/Auditors	2. Hold a meeting on a regular basis and whenever necessary.
Auditors	3. Prepare a weekly time sheet based on the Weekly Time Sheet Form Ref – Annex 26
Head of Internal Audit	4. Reviews and approves the Time Sheets
Head of Internal Audit/Auditors	5. During the meeting, discuss the evolution of the audit mission. 6. If a stage does not take place as budgeted, the auditor must inform the Head of Internal Audit of the problems that occurred, of the non-realistic approaches etc. and suggest alternative ways to carry out the audit mission, in order to prevent deadlines from being exceeded.
Head of Internal Audit	7. Prepares a note regarding the time frame of the project. The note must be filled in with the time accumulated for the project, the estimated completion date, the approved time budget as well as a presentation of the current situation, of the problems that occurred, of the proposed solutions etc. 8. Forwards a copy of the note to the auditors and supervisors.
Auditors	9. File the Note - Annex 26 in the audit file.

OPERATIONAL PROCEDURE OP 25
AUDIT PERFORMANCE EVALUATION

Purpose
To ensure the auditors' feed-back with regard to their own performance during the audit and help each employee to work closer to their potential.

Background
Upon completion of the audit, the Head of Internal Audit will fill in a Project Evaluation Sheet for each auditor. The Head of Internal Audit is responsible for the evaluation of auditors.

Procedure

Evaluation of the Audit by the Auditee

Action by:	*Action:*
Head of Internal Audit	1. Transmits to Auditee an A udit Performance Evaluation Form – Annex 27
Auditee: Heads of Departments/ Assembly's Sub-structures	2. Complete the Audit Performance Evaluation Form and return it to IAU
Head of Internal Audit	3. Review the Audit Performance Evaluation Form 4. Discuss with the Auditee 5. Use the results of the evaluation for proposing improvement of the IAU services and for the preparation of the annual report on IAU activities
Auditor	6. File the Audit Performance Evaluation Form in temporary file – Annex 27

Evaluation of the Staff

Action by:	*Action:*
Head of Internal Audit	1. Meet separately with each member of the audit team to discuss the employee's performance during the audit. 2. Complete a Staff Evaluation Form Ref – Annex 28 for each member of the Audit Staff 3. Give a copy of the Staff Evaluation Form to the employee
Auditors	4. File the Staff Evaluation Form in the temporary Audit files – Annex 28

Example
PROJECT EVALUATION SHEET – Annex 27, – Annex 28

OPERATIONAL PROCEDURE OP 26
FOLLOW-UP PROCESS

Purpose
To establish the procedures to be followed for the implementation of the IAU recommendations.

Background
In order to ensure that the recommendations included in the audit report are implemented periodically, Head of Internal Audit must carry out a quarterly follow up of special recommendations.

Procedure

Action by:	*Action:*
Auditors	1. Check the implementation of recommendations by the established deadlines. 2. Draft a report on the stage of audit recommendations – extracted from Annex 22. 3. Forward the Report to the Head of Internal Audit
Head of Internal Audit	4. Reviews the Report regarding the standing of audit recommendations. 5. If the deadlines for implementation are not respected, discuss with Head of Department and take action accordingly. 6. Sends to Coordinating Director and ARIC the report on status of implementation of recommendations.
Auditors	7. File the Audit Recommendation Status Report – Ref - Annex 29

Purpose
To ensure that the Internal Audit Manual is continually updated

Background

As with everything there will be changes in the organisation in order to improve efficiency. Therefore, the Internal Audit Manual will also make improvements to ensure that the audits keep up with technology.

Procedure

Action by:	*Action:*	*Deadline:*
The Assembly's Internal Auditors	1. Submit revision proposals using Annex 2 forms to the Head of the Assembly's IAU	At any time of the year
Head of the Assembly's IAU	2. Compile and circulate the revision proposals received among all the Assembly's Internal Auditors 3. Receive comments and suggestions from the Assembly's Internal Auditors 4. Incorporate revision proposals after consultation with the Assembly's Internal Auditors 5. Submit new version to Assemblies ARIC for further review	Based on communication protocols to be arranged internally.
ARIC	6. Review the new version of the IA Manual for compliance with the legal framework 7. Reply in writing to the Head of the Assembly's IAU	Within 60 days from the submission of the new version.

Head of the Assembly's IAU	8. Submit the new version of the IA Manual to the Director-General of the Internal Audit Agency for approval	Immediately after approval by ARIC & Coordinating Director
Director-General of the Internal Audit Agency	9. Approve the new version of the IA Manual for Distribution to all MMDAs 10. Distribute the approved new version of the IA Manual to all the Heads of IAUs in all MMDAs and the relevant parties as detailed in the Internal Audit Procedures Manual Ref: 1.6	Immediately after approval by the Director-General of the Internal Audit Agency

OPERATIONAL PROCEDURE AD-HOC INTERNAL AUDIT CONSULTING SERVICES

Purpose
To ensure that there is sufficient resources to undertake the audit.

Background
The audit team may lack personnel or the expertise in certain areas, therefore, the expertise needed will be contracted as deemed necessary to ensure that the audit is completed to the required standards.

Procedure

Action by:	***Action:***
Head of Internal Audit	1. Send requests to the Coordinating Director for ad-hoc advisory services to be provided to Internal Audit. 2. Includes the Terms of Reference with the Request.
Coordinating Director	3. Review requests received as per above and identify other requirements for special internal audit advisory assignments that are not included in the annual audit plan. 4. Approves the Request for Internal Audit Consulting Services 5. Transmit the approved Request for Internal Audit Consulting Services to the Head of Internal Audit.
Head of Internal Audit	6. If the Coordinating Director fails to approve the request then the Head of the Internal Audit Unit will send the request to the ARIC who will decide on whether the request should be approved or not.
External Consultant	7. Review the requirements of the consulting task assigned, carry out research as required to fulfill the assignment (all work will be duly documented in Workpapers). 8. Write an Internal Audit Consultancy Report, giving the Auditor's professional opinion / recommendations on the issue.
Head of Internal Audit	9. Assign the external consultant to the required consultancy tasks. 10. Prepare an Internal Audit Consulting Workplan in line with the Terms of Reference 11. Reviews and Approves/Signs off the reports of the consultant 12. Forward the Internal Audit Consultancy Reports to the ARIC, Coordinating Director and Auditee at or before the deadlines required.

OPERATIONAL PROCEDURE OP 29
SUSPECTED ACTIVITIES REPORTING FORM

Purpose
To provide guidance in case suspected activities are reported to Internal Audit or Management.

Background
Staff members, the banks clients and other third parties by the nature of their involvement with the Assembly's operations are often in a better position to observe acts of fraud or suspected acts of fraud. Also, in the course of their activities they may be offered passive or impassive bribes or other irregular material benefits.

Procedure

Action by:	*Action:*
Head of Internal Audit	1. Reviews complaint and decides whether it is genuine or a hoax. 2. Carries out a preliminary investigation to establish if there is substance to the complaint. 3. Launches a full investigation. 4. Determine whether additional work needs to be performed or whether audit procedures should be suspended as a result of the finding. 5. Reports findings to the ARIC and the Coordinating Director and makes recommendations.
Overriding Considerations	6. Auditors should exercise due professional care in pursuing indications of possible illegal acts so as not to interfere with legal proceedings. Their written report should include as a minimum the following information : - Detailed description of the irregularity(ies), exception(s), or other potential violation(s) of law - The statute, law, regulation, decree, policy, or procedure that has been potentially violated - The nature and amount of the expenditure; in cases where no payment has been made, the amounts, which would have been wrongly paid, had the irregularity not been discovered, - The period during which, or the moment at which, the irregularity was committed: - The practices employed in committing the irregularity - The manner in which the irregularity was discovered - The financial consequences, the suspension of any of payments and the possibilities of recovery - The date and source of the first information leading to suspicion that an irregularity was in evidence
	- The identity of the natural and legal persons involved or suspected to be involved, save in cases where such information is of no relevance in combating irregularities on account of the character of the irregularity.
Auditors	7. Files the Expected Activities Reporting Form

INTERNAL AUDIT UNIT

STRATEGIC AUDIT PLAN

ANNEX 1
PF-A01

The Assembly's Logo

INTERNAL AUDIT UNIT

STRATEGIC AUDIT PLAN 20xx/20xx

Audit Area	Risk score	Yr1 20xx	Yr2 20xx	Yr3 20xx	Yr4 20xx	Yr5 20xx	Total in years
Administration / General issues (strategic objectives)							
...	H	2	1	1	2	1	**7**
...	M	1		1		1	**3**
...	L		1				**1**
Procurement management							
Financial Management							
PR & Communication							
System Review							
...							
Total audits/yr	-						

1. Introduction

THIS REPORT IS SUBMITTED IN ACCORDANCE WITH ...

1.1 ...

1.2 ...

1.3 ...

OVERVIEW OF FUNCTIONS AND RESPONSIBILITIES OF THE ASSEMBLY'S INTERNAL AUDIT UNIT

1.4 ...

1.5 ...

...

KEY ASPECTS OF THIS STRATEGIC PLAN (RELATED TO THE METHODOLOGICAL ISSUES OF ITS FORMATION)

1.6 ...

1.7 ...

1.8 ...

...

2. Other Important Issues *(IF ANY)*

4.1 ...

...

3. Conclusion

5.1 …

SENIOR INTERNAL AUDITOR:

_____

(NAME, SIGNATURE, DATE)

CONTACTS: *AT THE ASSEMBLY, ADDRESS, ROOM …*
TEL., FAX
EMAIL

COPIES OF THIS DOCUMENT DISTRIBUTED TO:

- _____

- _____

- _____

(NAME, TITLE, CONTACT INFO)

APPROVAL INSCRIPTIONS: -

_____

_____

(NAME, TITLE, STAMP)

MANAGEMENT INPUT MEMO ANNEX 2 B06-2

INTERNAL AUDIT UNIT

THE ASSEMBLY'S LETTER HEAD

MANAGEMENT INPUT MEMO
Request from the Auditee for preparation of Annual Audit Plans

TO: [Head of the Assembly's department/unit/division]
FROM: [Name, title, department, telephone or extension]
SUBJECT: 20XX Annual Audit Plan – Request for Input
DATE: xxx , 20XX

In conjunction with our audit planning activities for calendar year end <20xx>, we are compiling our annual audit plan. Consistent with our internal audit procedures, our audit planning process and audit approach involve management in the formulation of our plan. This includes allocating time within the audit plan to specifically address those needs and concerns of management. This allocation of time will be based on feedback received in response to our request for input from all units via the heads of the Assembly's structural units.

For this reason, we are requesting your input to identify those audit areas of concern and/or interest which you feel may warrant consideration for inclusion in our calendar year 20XX audit plan. To facilitate the planning of such audits, we have reserved time within our 20XX audit plan for performance of these "*management requests*". Based on the input we receive, these specific requests will be prioritised and considered for specific incorporation into the plan.

To facilitate this input process, please send us a written audit request. Since we will be finalising our plan in the next few weeks, we request that you provide any input you may have by XX, 20XX. We will assume that all non-respondents have no audit requests at this time.

Signature
Name
Senior Internal Auditor/HIAU

INTERNAL AUDIT UNIT

QUESTIONNAIRE TO AUDITEE (Self-assessment questionnaire)

ANNEX 3 B06-1

Pre audit stage

SELF-ASSESSMENT QUESTIONNAIRE

Purpose: As a management team member of the Assembly, it is your responsibility to design, adhere to and monitor the significant operating and financial controls of our organisation. This short self-assessment has been designed to obtain input from you so that Internal Audit can effectively determine the correct level and areas of focus of their activity in the upcoming review of your area. Your input is important and appreciated. It should take approximately 20 minutes to complete this form.

Area: _____ Responsible Person: _____

Please describe **the key business objectives** of your area. (i.e. What is the mission of your area?)

_____

_____

_____

_____

Are the ***Policies and Procedures*** in your area ***documented*** **?** (Circle One)
Yes No
Comments:

_____

_____

Are the ***Policies and Procedures*** in your area ***up-to-date***? (Circle One)
Yes No
Comments:

_____

_____

Please describe the ***key business processes*** that occur in your area (i.e. What are the activities which are completed in your area?)

Please describe the ***key internal controls*** that you believe exist in your area (i.e. How do you control the major activities, output, etc., in your area?)

What are the ***key information systems utilised*** in your area?

Please describe ***the key performance measures*** you obtain and utilise to monitor the effectiveness/efficiency of your business processes.

Please describe ***the key means of communication*** you utilise to inform other departments of activities/issues occurring in your area.

Which departments would benefit from communication with your department?

Which departments do you currently communicate with?

_____

_____

Are there any areas that you would like Internal Audit to specifically review (i.e. areas of immediate control concern or inefficient process)?

_____

_____

_____

_____

Overall, how would you rate the following in your area? (1=Bad, 5=Excellent)

The effectiveness of your internal controls	1	2	3	4	5
The quality of your output	1	2	3	4	5
The efficiency of your business processes	1	2	3	4	5

If there is any additional information you feel we should have prior to our review, (such as organisation charts, policies, reports, etc.), please attach it to this questionnaire. Please return this questionn aire and any attachments to <name> by <insert date>.

Thank You for your time. Your input will assist Internal Audit and will ultimately reduce the overall time you spend on this audit with us. Questions? Call <insert phone number>

INTERNAL AUDIT UNIT

ANNUAL AUDIT PLAN

ANNEX 4
PF-A02

The Assembly's Logo

INTERNAL AUDIT UNIT

ANNUAL AUDIT PLAN for 20xx

Audit Area & focus	Audit duration				Resources needed		Notes
	Q1	Q2	Q3	Q4	OTHER INPUTS	BUDGET	
1.							
2.							
3.							
4.							
...							
...							
Total:							
Project auditing							
Follow up audits							
Irregularities							
Special assignments and investigations							

4. Goals, Objectives and Strategies

5. Planning and effectiveness (HIGHLIGHTING PRIORITIES)

6. Resources

Total chargeable work days required -
Total chargeable work days available -
Shortfall -

OTHER ACTIVITIES
... TRAINING
... SEMINARS

7. Budgeting

HEAD OF INTERNAL AUDIT :

_____

(NAME, SIGNATURE, DATE)

CONTACTS: *AT THE ASSEMBLY, ADDRESS, ROOM …*
TEL., FAX
EMAIL

COPIES OF THIS DOCUMENT DISTRIBUTED TO:

- _____

- _____

- _____

(NAME, TITLE, CONTACT INFO)

APPROVAL INSCRIPTIONS:

_____

(NAME, TITLE, STAMP)

ASSIGNMENT SHEET ANNEX 5
A01

INTERNAL AUDIT UNIT

ASSIGNMENT SHEET No_____

APPROVED
Date

Title Department/Branch/Sub-structure
Auditors .....
.....
Allotted time ……..
Mission closing date ……..…

I would like to inform you that
_____ and
_____

have been assigned _____for the period _____and that Mr/Mrs _____will be the coordinator for the audit team.

You are expected to apply the regulations and procedures spelt out in the Internal Audit Charter and internal Audit Procedures.

Yours sincerely,

Signature
Name
Head of Internal Audit

INTERNAL AUDIT UNIT

INDEPENDENCE AND QUALIFICATION STATEMENT

ANNEX 6
AO2-1

Model
Independence and Qualification Statement

INDEPENDENCE AND QUALIFICATION STATEMENT

To be filled in by auditors, including consultants:

Name_____ Date _____

PROPOSED ASSIGNMENT

_____

CONFLICTS OF INTEREST

Details	Yes	No
1. Do you have any official, financial or personal relationship with anyone that might limit the extent of the inquiry or disclosure, or the audit in any way		
2. Do you have any preconceived ideas regarding persons, groups, organisations or objectives of an audit programme, which could influence or bias your audit mission?		
3. Have you any previous involvement in the decision making or management capacity that could affect the current operations of the entity or programme to be audited?		
4. Do you have any political or social connection, resulting from a former employment or from receiving dues from a particular group, organisation or government level?		
5. Have you previously approved any bills, money orders and other payment instruments for the entity to be audited?		
6. Have you previously maintained the books of account for the entity to be audited?		
7. Have you any direct or indirect financial interest regarding the audited entity or programme?		

I hereby confirm that if during the course of an audit, any personal, external, or organisational conflicts of interest occur that may affect my ability to do the work and report the findings impartially, I will notify the head of the IA immediately.

Signature.....

INTERNAL AUDIT UNIT

INDEPENDENCE AND QUALIFICATION STATEMENT

ANNEX 6
AO2-2

To be filled in by the Head of Internal Audit

1. Pertinent qualifications of the auditor

2 Personal incompatibilities (to be copied from the previous page)

3. Can the incompatibilities be negotiated/ mitigated?
If yes, explain how.

_____

Date and Signature

INTERNAL AUDIT UNIT

NOTIFICATION OF INTERESTED PARTIES **ANNEX 7 PFAO3 – 4**

Date

To All relevant parties
From Head of IA
Ref. Name of the audit

Dear Mr./Mrs.....

According to the Annual Audit Plan for ….., we will audit your Department/Branch.

The audit will examine the responsibilities assumed by the management administration and determine whether it fulfils its obligations in an effective, efficient manner.

We will contact you to schedule a presentation meeting in order to discuss the various aspects of our audit, including:
the audit activity,

- the mission and the particular financial and operational processes,
- the goal and objectives of the above-mentioned audit,
- the identification of particular matters or fields you want the audit to focus on,
- the logistic needs of the audit and assignment of the person to coordinate all the requirements of the audit (i.e. location, files, meetings)
- other aspects you might want to point out regarding the audit.

In order to make sure that we understand your actions correctly, we would appreciate if you would provide us with the appropriate documentation.

……(name of the auditor), member of our team, will audit, and..... (Head of the IA) will supervise this action.

Should you have any questions regarding this action, please contact ……(name of the auditor) or myself .

Respectfully yours,

Head of Internal Audit Unit

Date

AUDIT ENTRANCE MEMO ANNEX 08 B01

INTERNAL AUDIT UNIT

THE ASSEMBLY'S LETTER HEAD

AUDIT ENTRANCE MEMO

TO:
FROM:
DATE:
SUBJECT: Internal Audit of [Name of Audit]

The Internal Audit Unit (IAU) is conducting a review of [Name of Audit]. The objectives of the audit are as follows:

- [Objective #1]
- [Objective #2]
- [Objective #n]

We expect the timeline of our work to be as follows:

Fieldwork Begins	[Date]
Fieldwork Ends	[Date]
Report Draft with Management Responses	[Date]

It is the IAU's goal to provide recommendations that will result in the maximum and most efficient use of resources. We will keep you apprised of findings and recommendations as they develop, and will seek your responses during the audit.
The following individuals will be involved in this audit:

- [auditor name], [job title]
- [senior internal auditor name], [job title]

We will distribute the copies of our final report to [the ARIC] and [the Coordinating Director] and [the Auditee].

We will require assistance directly from you and your staff during the course of our work, including providing the necessary information to complete our procedures as well as answering relevant questions or providing explanations to issues encountered during our testing. We appreciate your commitment in providing the following information so that we may adhere to the above timeline :
- [type of information required]
- [type of information required]
- [type of information required]

We will contact you in order to arrange an Opening Meeting to discuss the various aspects of our audit; If you have any questions or concerns during the course of the audit, please address your questions directly to [auditor in charge] Ext. [telephone #]
[Signature and Name]
Senior Internal Auditor/HIAU

ENTRY CONFERENCE MEMO ANNEX 09 B03

INTERNAL AUDIT UNIT

Name of the audit: Audit..... Audited period
Prepared by Date
Reviewed by Date

Objective: Opening session minutes

Participants

Name	Position	Department/ Service	Phone no.

Summary of the issues discussed

INTERNAL AUDIT UNIT

MEMORANDUM OF CONFIRMATION OF AUDIT SCOPE AND OBJECTIVES

ANNEX 10
B04

THE ASSEMBLY'S LETTER HEAD

No : _____ D*ate*
Subject : Audit of _____

Auditee

Dear Mr./Ms.

This letter is to confirm our understanding of scope and objectives of the audit. The scope and objectives of the audit are as follows:

<*Insert the scope and objectives agreed during Opening Conference.*>

We remind you that the responsibility for the maintenance of adequate internal controls, adequate accounting records, the selection and application of accounting policies, the safeguarding of assets, the preparation of financial statements including adequate disclosures is that of the Auditee.

Because of the test nature and other inherent limitations of an audit, together with the inherent limitations of any accounting and internal control system, there is an unavoidable risk that even some material misstatements may remain undiscovered.

We look forward to full cooperation with your staff and we trust that they will make available to us whatever records, documentation and any other information requested in connection with our audit.

Please sign and return the attached copy of this letter to indicate that it is in accordance with your understanding of arrangements for our audit. .

Sincerely yours,
Signature
Name
Senior Internal Auditor/HIAU

Signature
Name of Auditee
Date

Employee Guidelines for Managing an Audit

Here are some suggestions to consider when interacting with auditors, both internal and external. These suggestions are not meant to restrict the auditors in any way, but instead are meant to expedite the audit process while minimising disruptions to day-to-day departmental operations. It is important to both the auditors and the departments to have accurate and objective findings and conclusions.

Planning

Designate an audit liaison person. In most cases, this person is the department manager. Designate an alternate in case the audit liaison is not available.

Contacts

When contacted by an external auditor, notify the Senior Internal Auditor.

Entrance Conference

- Demonstrate a positive attitude.
- Have the auditor explain why your department was selected for an audit.
- Clarify the audit objective and scope (areas to be tested and period covered by the audit).
- Discuss the results of prior audits as this may limit the scope of the current audit.
- Understand the audit process.
- Understand the reporting process and determine who will receive audit reports.
- Determine staffing and space requirements.
- Identify the timelines i.e., beginning and end of fieldwork, report date, etc.
- Know contacts in the external auditor's office.
- Consider giving the auditor a tour of your facilities.

Access to Records by Auditor

- Obtain a list of requested records.
- Pull records and provide them to the auditors. Do not provide records that are not relevant.
- Ensure original documents do not leave department premises without prior approval.
  Make copies of any documents leaving department premises.
- If a request is ambiguous, ask the auditor for the purpose of reviewing the document.
  Be prepared to recommend alternate documents that would achieve the auditor's purpose.
- Unless absolutely necessary, do not allow full access to your file drawers, storerooms, etc. Auditors are expected to obtain permission and state their objective for accessing these areas.
- Communicate the reasons for any significant delays in providing records.
- Have documents available upon their arrival. Subsequent requests should be handled as soon as possible.
- Maintain a list of records provided to the auditor. Ensure all records are returned at the completion of audit fieldwork.
- Review records you are providing to anticipate questions. If records will hurt the Assembly's interest, notify department management *and the Senior Internal Auditor (for external audits)* of the issue.

During the Audit Fieldwork

The Audit Liaison Person Should:

- Keep the audit focused.
- Facilitate the audit.
- Keep constant communication with the auditor.
- Resolve audit issues as soon as they are brought to the department's attention.
- Keep all parties informed on the progress of the audit.
- When possible, attend meetings between the auditors and employees. (But the department should respect an employee's wish to meet with the auditor alone).

Do and Don't for Interacting with Auditors

Do

- Be honest and open.
- Recognise they may be experts.
- Realise they may not be subject experts.
- Understand the purpose of the meeting and review related records prior to interviews.
- Listen carefully and understand each question before answering. Be sure responses are complete and accurate.
- Respond only to the question asked - keep answer simple and direct.
- Weigh answers carefully, being certain you have the facts to back them up.
- Limit comments to areas where you have "first hand" knowledge.

Don't

- Do not speculate or answer hypothetical questions.
- Do not agree or disagree with opinions.
- Do not "ramble" or provide irrelevant information.
- Do not get offended by WHY questions.
- Do not sign anything on behalf of the (Assembly).

Audit of a Specific Transaction

- Limit conversation to transaction in question.
- Explain how the transaction benefited the grant or budget.
- Explain how the transaction was identified to the grant or budget.
- Do not bring in funding issues or departmental politics.

Responding to Audit Findings

- Keep informed of issues throughout the audit.
- Ensure an exit interview is held. Use it to verify facts and respond to the audit. Ask a representative from Internal Audit and/or the Senior Financial Officer to attend if there are questioned or disputed findings.
- Ask for time to review findings, and then re-verify calculations and source data.
- Concede valid findings, but do not speculate on whether they apply to other areas in the Assembly.
- Take immediate corrective action and resolve the issues before they are put in writing.

- Discuss with the auditor the disposition of audit issues, i.e. verbal comment, exit item, management summary, or report item. The disposition of the issues is based upon several factors.

If necessary, appeal the auditor's conclusion with their supervisors. For external audits, this action should be coordinated with the INTERNAL AUDIT UNIT and the Senior Financial Officer.

Responding to the Audit Report

- Ask to review the draft report.
- Provide management response which should include:
    1. Whether you agree or disagree with the finding
    2. Corrective action plan
    3. Target date for implementation.
- Understand the audit follow-up process.
- For external audits, consult with Internal Audit and the Senior Financial Officer prior to finalising response.

[Thrust Area Name] ANNEX 12
Procedures Document C01

INTERNAL AUDIT UNIT

Thrust Area		Period-end
[Name of Thrust Area]		[Period-end]
Prepared by	**Date**	**W/P reference**
[Name or Initials of Auditor]	[Date]	[W/P reference]

Purpose

The purpose of this working paper is to document our understanding of how the Assembly initiates, processes, records and reports significant classes of transactions that led to identifying the thrust area as key. We document relevant controls and test the design of these controls, including controls related to initiation and recording of journal entries, while focusing on our audit objectives.

This understanding is used to make preliminary assessments of the risk.

This working paper includes documentation of the:

- understanding of how each key thrust area operates
- understanding of risks and controls based on follow-through on significant classes of transactions
- the document is made up of the following key areas:

I Thrust area Activities

II Risks Which Threaten Objectives

I Thrust area Activities

Thrust area Objective(s)

1. To focus the understanding of the thrust area activities, provide a summarized description of each of the thrust area objectives and the strategy adopted to achieve the objective. The thrust area level objectives are the objectives of the thrust or auditable area (i.e. what the thrust area aims to achieve with the various activities it undertakes on a daily basis). The strategies are the methods that are used to achieve the objectives. [*for example in the financial reporting thrust area an objective of the thrust area is to: Deliver a fully reliable, timely and accurate financial processing service at an acceptable cost*]

Objectives	Strategy and method of implementing strategy
[Enter objective here]	

Significant classes of transactions

To focus the understanding of the thrust area activities, provide a summarized description of each of the significant classes of transactions that are linked to this thrust area. Document the related preliminary audit objective (Audit Objective before detailed risk assessment).

Class of Transaction	Description	Preliminary Audit Objective
	[Enter description here]	

Document thrust area activities

Document our understanding of the thrust area activities, relevant computer information systems, and controls over the initiation, recording, processing and reporting of significant classes of transactions.

The documentation of thrust area activities may be in narrative form using bullet points or paragraphs, or it may be documented in a flow chart. **When documenting the thrust area focus on what is done, who does it, how it is done, and when it is done. Ensure that the thrust area documentation captures all these details.**

Thrust area Documentation Template

Inputs

[*input into this section the various inputs that are required for the thrust area to start or progress smoothly*]

Activities

[*Using bullets, narrative, or flow charts document the various activities that are carried out in the thrust area. Focus on what is done, how it is done, who does it and when it is done*]

[1] If a separate financial reporting process is not audited, each key process includes the process through to inclusion in the **financial statements**.

Outputs

[*In this section input the outputs of the thrust area. This could be in the form of reports, entries into the financial statement, assets, etc*]

II Risks Which Threaten Objectives

In the table further below, document the thrust area level risks (the things which can prevent the thrust area management from achieving their objectives) and controls over the thrust area level risks.

All risks that are identified should be posted to the Risk Register (Annex 13).

Thrust area Level Risk(s)

Based on the information gathered regarding thrust area activities, understand and identify the controls, concentrating on the audit objectives. Document the controls that manage that risk and incorporate their financial statement effects in the general ledger[1], including the controls related to initiation and recording of journal entries. When selecting a sub-set of controls to be tested, consider whether they would prevent, detect and correct a significant misstatement if operating effectively.

[1] If a separate financial reporting process is not audited, each key process includes the process through to inclusion in the **financial statements**.

Thrust area Objectives	Thrust area level risks,	Controls (including description)[1]	Results of test of design of the control	To be tested for operating effectiveness	Audit objective
[Yes/No]					

[1] Including controls over journal entries.

RISK ASSESSMENT ANNEX 13
C02

INTERNAL AUDIT UNIT

Audit Name: _____

Audit ID: _____

Prepared by: _____

Date: _____

Reviewed by: _____

Date: _____

Period under review : _____

- Table A -

RISK MATRIX

Risk size assessment

In addition to the identification of risks, it is necessary to prioritise them so that the management could focus on the removal or reduction of the highest risks by means of appropriate control measures.

As a result of risk analysis, the identified risks are prioritised. Risks should be assessed regularly and evaluations should be adjusted according to changes in the factors affecting the risk environment.

This process involves the identification of risks caused by internal and external factors and the establishment of criteria for measuring the hazard arising from the risks and probability of occurrence.

Risk analysis is a systematic activity carried out in a specific manner for the identification of the level of risks related to the situation under analysis.

Examples for indicators used in risk analysis:

- the established control framework,
- the level of control enabled by the management,
- the existence and clarity of rules of procedure,
- the importance of risks in financial terms,
- the level of appropriate skills and knowledge of the staff,
- the volume of transactions, etc.....

Identified risks are assessed on the basis of 3 different criteria or factors:-

- Impact
- Likelihood
- Current Control Effectiveness

As many persons assess risks, then all risk multiplications are added and after that divided by the number of risk assessors. As a result the average risk factor is specified for every risk.

Risk impact assessment

Score	Assessment	Agreed meaning
1	No significant impact	In case the risk appears, works in process and planned activities are not disturbed
2	Minor impact	In case the risk appears, the activities are disturbed, but this does not bring along the need for additional resources[2]
3	Significant but containable	In case the risk appears, the activities are significantly disturbed, but this does not disturb achieving objectives
4	High impact	In case the risk appears, the activities are significantly disturbed and considerable additional resources are needed for achieving objectives
5	Extremely detrimental	In case the risk appears, it is not possible to achieve determined objectives

Risk likelihood assessment

Score	Assessment	Agreed meaning
1	Rarely happen	The occurrence of risk is practically impossible
2	Possible	The occurrence of risk is theoretically possible, but there exist few practical cases
3	Likely	The likelihood of risk occurrence is supported by little evidence
4	Very likely	The likelihood of risk occurrence is supported by clear evidence
5	Unavoidable	The risk has already appeared or the occurrence of risk is unavoidable in the future

Assessment of current internal control effectiveness

Internal control is every action instigated from within the organization which is designed to reduce risk impact and/or likelihood.

In order to be able to assess the efficiency of internal control measures, the current internal control measures that help to mitigate risks are brought out.

Internal control measures are assessed according to the following criteria:

Score	Assessment	Agreed meaning
3	Highly effective	Addition/improvement of internal control measures is not necessary at the moment
2	Need to be improved	Internal control measures exist at the moment, but they need to be overviewed and renewed
1	Inadequate	Internal control measures are missing or immediate improvement of existing internal control measures is necessary

[2] Additional resources comprise finances, time and knowledge.

Based on the three ratings (likelihood, impact and effectiveness of controls) a composite risk value (R) is calculated with the formula:
R = I x L / C

Where:
I = Impact
L = Likelihood
C = Effectiveness of Existing Controls

R has no significance as an absolute value; it only serves as an indicator to compare/prioritise risks.

Determination of risk score and risk level

Using the overall score for each risk, it is possible to identify risk materiality or risk level. Risk level is identified according to the following table:

Risk level	Score	Materiality
Low risk	1-8 points	Issues that need to be reviewed from time to time
Medium risk	9 – 16 points	Issues that need constant monitoring
High risk	17 - 25 points	Issues that need immediate attention

It is easy to group certain risks to the list of risks by using risk levels.
The management and the internal auditor have to pay their attention foremost to risks that are ranked high (overall score at least 17 points).

- Table B - INTERNAL CONTROL RATING GUIDE

The internal control is	If	Control risk is
WEAK	• Management and/or staff demonstrate an uncooperative or uncaring attitude with regard to compliance, record-keeping, or external review. • Prior audits or the preliminary survey has disclosed significant problems. • The Risk Matrix reveals that adequate and/or sufficient internal control techniques are not in place. • Documentation of procedures is lacking or of little use.	**HIGH**
ADEQUATE	• Management and staff demonstrate a cooperative attitude with regard to compliance, record keeping, and external review. • Prior audits or the preliminary survey has disclosed some problems but management has implemented remedial action and has satisfactorily responded to audit recommendations. • The Risk Matrix reveals that adequate and/or sufficient internal control techniques are in place. • Although deficient or outdated, documentation of procedures is still useful or can easily be updated.	**MEDIUM**
STRONG	• Management and staff demonstrate a constructive attitude, including an eagerness to anticipate and forestall problems. • Prior audits and the preliminary survey have not disclosed any problems. • The Risk Matrix reveals that numerous and effective internal control techniques are in place. • Procedures are well documented.	**LOW**

Risk Alert Form ANNEX 13 C03

INTERNAL AUDIT UNIT

Audit Name: _____

Audit ID: _____

Prepared by: _____

Date: _____

Reviewed by: _____

Date:

Period under review : _____

UNIT / DEPARTMENT	
Name the unit / department to which the risk relates	
RISK DETAILS	
Risk Description:	**Add a brief description of the risk identified and its likely impact on the unit/organisation (e.g. scope, resources, deliverables, timescale and/or budgets)**
Risk Assessment:	**Risk Likelihood** Describe the likelihood of the risk occurring 1 2 3 4 5 **Risk Impact** Describe the impact of the risk if it occurs 1 2 3 4 5 **Key: 1. Very Low; 2. Low; 3. Medium; 4. High; 5. Extremely High**
RISK MITIGATION	
Recommended Preventative Actions:	Add a brief description of any actions that should be taken to prevent the risk from happening
Recommended Contingent Actions:	Add a brief description of any actions that should be taken, in the event that the risk happens, to minimise its impact on the organisation
SUPPORTING DOCUMENTATION	
Reference any supporting documentation used to substantiate this risk	

Name:	**Signature:**	**Date:**
_____	_____	_____/_____/_____

FILING DETAILS (RMC)

RISK ID ASSIGNED	DATE RECEIVED	FILING DECISION	
		FILE AS IRRELEVANT	
		INVESTIGATE FURTHER	
		FILE TO RMP FOLDER	

YOUR ORGANISATION)

INTERNAL AUDIT UNIT

Risk Register & Action Plan

ANNEX 13
C04

Audit Name: _____

Audit ID: _____

Period under review : _____

Prepared by: _____

Date: _____

Reviewed by: _____

Date: _____

UPDATED 15-Apr-08



ANNEX IV - R04 - RISK REGISTER & ACTION PLAN

#	DATE RAISED			RAISED BY	DESCRIPTION OF RISK AND ITS IMPACT	ROOT CAUSES	IMPACT	LIKELIHOOD	CONTROLS	PRIORITY	RISK ACTIONS	RESPONSIBILITY	DEADLINE			COMPLETED? (YES/NO)	RISK ACTIVE / CLOSED?

AUDIT MANUAL FOR METROPOLITAN, MUNICIPAL AND DISTRICT ASSEMBLIES

AUDIT AGENDA DEVELOPMENT **ANNEX 14 A05**

INTERNAL AUDIT UNIT

Audit Name ……

Audit No.....

Audited time-frame

Prepared by .... Date

Reviewed by..... Date

Budget				
Details	Budget	Actual	Variance/	Comments
1) Number of Days				
2) Money budget				

Background **(this is where the understanding of the Assembly's operations are documented, based on the activity during the Preliminary Survey period)**	**WP Ref**
Planning **1.** Print and process the Assignment Orders for the auditors;	
2. Print and process the Independence and Qualification Statements;	
3. Prepare and forward the Notification to the relevant parties;	
4. Prepare a work plan and include a time budget for the preliminary survey;	
5. Plan and organise the Presentation meeting with the Auditee. Obtain the name of the contact person and find a location for the audit;	
6. Write the presentation Memorandum;	
7. Begin the Preliminary Survey;	
8. Draw-up the Preliminary Survey Memorandum;	
9. Plan a document revision;	
10. Revise and document the internal control system. Elaborate the risk matrix and the assessment of the internal control system;	
11. Prepare the audit programmes;	

12. Obtain approval for the Audit Agenda and programmes, including the allotted time budget and the deadline.	
Beginning the mission	
PURPOSE OF THE AUDIT Based on the activity carried out during the preliminary survey and risk analysis, the audit will include a review of the operations of (Name of Auditee Department) of the Assembly;	
AUDIT OBJECTIVES **1.** To assess the efficiency and effectiveness of internal controls on the operations of the Assembly;	
2. To assess the compliance of the Assembly with International and national legislation;	
3. To revise the information system;	
4. To revise the ability of the Assembly to protect its assets and processes;	

Objective 1 To assess the efficiency and effectiveness of internal controls regarding the operations of the Assembly;	**WP ref.**
1.1. Identify the audit track;	
1.2. Identify the operation cycles;	
1.3. Prepare an audit programme to review each cycle;	
1.4. Obtain the audit programme, revised and approved by the Head of IAU;	
1.5. Tests performance;	
1.6. Discuss the findings with the Head of IAU;	
1.7. After approval, discuss the findings with the Auditee;	
1.8. Conclusions;	
Objective 2 To assess the compliance of the Assembly with International and national legislation;	
2.1. Prepare an audit programme;	
2.2. Obtain the programme, revised and approved by the Head of Service;	
2.3. Carry out tests;	
2.4. Discuss the findings with the Head of Service;	
2.5. After approval, discuss the audit findings with the Auditee;	
2.6. Conclusions.	
Objective 3 To revise the information system	
3.1. Prepare an audit programme to revise the information system;	
3.2. Obtain the audit programme, revised and approved by the Head of Service;	

3.3. Carry out tests;	
3.4. Discuss the findings with the Head of Service;	
3.5. After approval, discuss the findings with the Auditee;	
3.6 Conclusions.	
Objective 4 To revise the ability of the Assembly to protect its assets and processes.	
4.1. Prepare an audit programme to revise the funds administration by the Assembly;	
4.2. Obtain the audit programme, revised and approved by the Head of Service;	
4.3. Carry out tests;	
4.4. Discuss the findings with the Head of Service;	
4.5. After approval, discuss the findings with the Auditee;	
4.6. Conclusions.	

Administrative matters and conclusion	**WP ref.**
Conclude and classify the working documents;	
Plan a document revision. - Prepare a preliminary project of the audit report; - Revise the Draft report; - Check the solved points; - Obtain the approved Draft report; - Forward the report to the Auditee and ask for an answer within 10 working days; - Plan and organise a closing session, if requested by the Auditee; - Include the Auditee's answers in the final audit report; - Conclude the report; - Obtain the approved report; - Forward the report; - Initiate the follow-up process;	

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR CASH MANAGEMENT

Audit Name -
Audit No.....

Audited time-frame
Prepared by …... Date
Reviewed by..... Date

Objectives: Payments are properly supported by original invoices and/or relevant documents, are not made for purposes outside the ordinary course of business, are approved in accordance with Authority Limits and are accurately and completely recorded in the cash accounting records.

No.	Description	Done by	Date	W/P Ref
1	Obtain the Cash Management accounting procedures manual. If there is none then this is a finding. Also, if there is no written procedures document the procedures as they exist and recommend improvements where necessary.			
2	Carry out a walk through test and document the walk through test			
3	Are procurements carried out in line with the approved procurement plan?			
4	Are requisitions raised as a trigger for procurement of goods			

5	Are requisitions raised by the procurement unit?			
6	Are purchase orders raised based on approved requisitions?			
7	Was the overall budget respected?			
8	Was the monthly budget respected?			
9	Is the money released in accordance with the workplan?			
10	Is a monthly schedule of indebtedness prepared by the Chief Accountant?			
11	Does the Chief Accountant select bills to be settled and is the list approved by the Coordinating Director?			
12	Is the approved list of bills to be settled the basis for the Accounts Office to settle the Assembly's Indebtedness?			
13	Are the payments then processed by the Accounts Office?			
14	Was the monthly cash ceiling authorised by the MoF?			
15	Was a warrant raised by the CAGD for the amount of the cash ceiling?			
16	Was the warrant approved by the MoF?			
17	Was a transfer advice raised by the Bank of Ghana on the request of the CADG?			
18	Is the cash advice approved by the Assembly in accordance with the payments thresholds?			
19	Have requests for payments been raised and approved?			
20	Are requests for repairs or replacements based on recommendations by a responsible official?			
21	Are all purchases supported by purchase orders?			
22	Are emergency purchases reasonable in terms of amount, frequency and choice of supplier?			
23	Are all goods receipted through stores?			
24	Has a goods received note been raised by an independent officer?			
25	Are the goods received notes checked against the purchase orders?			
26	Are goods inspected and the nature and condition of items received recorded?			
27	Are there procedures for returning rejected items?			
28	Are suppliers' invoices recei ved by the accounts unit?			
29	Are suppliers invoices matched with purchase orders and goods inwards notes?			
30	Are payment vouchers prepared based on approved invoices?			

31	For 10% (both value and amount) of invoices ensure they are supported by i) That a payment Voucher was raised and approved by the Principal Accountant and the Coordinating Director ii) The payment Voucher is entered into the Vote Book iii) Payments Vouchers were subjected to pre-audit iv) Purchase Order and agree with it v) Goods inwards note and agree with vi) The prices and quantity are correct vii) The purchase order has been properly approved viii) Check the mathematical accuracy of the invoices ix) The suppliers invoices are stamped with the date they were received on x) Invoices have been properly approved for payment xi) Returned paid cheques xii) Beneficiaries of cheques have signed an official receipt xiii) In the case of services has the objective of the service been given?			
32	Peruse the purchases book for 12 months to ensure that there is nothing of an unusual nature therein			

INTERNAL AUDIT UNIT

EXAMPLE OF AUDIT PROGRAMS DEVELOPMENT

ANNEX 15
A06 -02

AUDIT PROGRAMME FOR FIXED ASSETS

Audit Name …….
Audit No.....

Audited time-frame
Prepared by …... Date
Reviewed by..... Date

Objectives:

1. **To ensure the receipt of fixed assets are in good condition and in proper order.**
2. **To ensure compliance with the vendor registrat ion requirements by the regulatory bodies.**
3. **To ensure fixed assets additions and disposals are accurately recorded and properly authorized.**
4. **To ensure that the movement of fixed asse ts is controlled and has prior approval.**

No.	Description	Done by	Date	W/P Ref
1	Obtain the Fixed asset accounting procedures. If there is none then this is a finding. Also, if there is no written procedures document the procedures as they exist and recommend improvements where necessary			
2	Carry out a walk trough test and document the walk through test			
3	Is there a fixed asset register in existence? If not this is a finding			

	Any register should include • Date of Purchase • Cost • Description of asset • Serial Number of asset • Classification of asset • Invoice number • Location of asset • Asset cross checking reference • Date of Disposal • Sales price • Date of transfer • Transfer location			
4	Reconcile the asset register with the book value			
5	Was the year-end stock take conducted and signed off by all managers?			
6	Vouch 10% of the assets from the register to the physical asset Vouch 5% of the physical assets to the register			
7	Transfers, Were transfers properly recorded, approved and processed? Document the procedures for transfers and recommend improvements where necessary. Vouch 5% of transfers to ensure that they are properly recorded, approved and processed			
8	Write-offs Were write-offs correctly justified, approved and processed? Document the procedures for write-offs and recommend improvements where necessary. Vouch 5% of write-offs to ensure that they are correctly justified, approved and processed?			
9	Selling Assets Were assets sold off correctly, approved and processed? Document the procedures for selling assets and recommend improvements where necessary. Vouch 5% of assets sold to ensure that they are correctly justified, approved and processed?			
10	Trace 10% of the assets bought during the year to the Annual Estimates			
11	For 10% of Fixed Assets ensure that they are adequately insured			
12	Ensure that there is adequate security over the custody of the various classification of assets			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR INTERNALLY GENERATED FUNDS (IGF)

Audit Name…….
Audited time-frame
Prepared by …... Date
Audit No.....
Reviewed by..... Date

Objectives: To verify that amounts charged for rates, fines, fees or any other charges are assessed, collected, are reconciled regularly and promptly posted to bank and accounting records in accordance with applicable polices, procedures, laws and regulations.

No.	Description	Done by	Date	W/P Ref
1	Obtain the IGF accounting procedures. If there is none then this is a finding. Also, if there is no written procedures document the procedures as they exist and recommend improvements where necessary.			
2	Carry out a walk through test and document the test for each type of IGF			
3	Establish a listing of IGF			
4	Obtain a copy of the Annual Estimations (Budget and Cash Receipts)			
5	Obtain and document the reasons for material variance from budget (> 10%)			

6	Examine 10% (both value and amount) of the receipts at (2)			
7	Examine 5% (both value and amount) of all other receipts			
8	Do a comparison of revenue collected by permanent staff and commissioned staff			
9	Do a analysis of the results Vs cost of permanent staff and commissioned staff			
10	Record the date of receipt of money Vs date of lodgement. Take note and record the reasons why was not lodged within 24 hours. Make recommendations to solve this issue.			
11	Review the Annual Estimations and ascertain if it has been adequately prepared			
12	Review the assumptions underlying it's preparation and ascertain if they are fair and reasonable			
13	Ascertain that proper books of account are maintained at the collection points			
14	Ensure that lodgements are made on a timely basis			
15	Ensure that banks accounts are reconciled on a monthly basis			
16	Ensure that the bank balances are reconciled with the book value			
17	Review the procedures for the transfer of funds from transit accounts to the consolidated fund account and ensure they are adequate			
18	Ensure that the different sources of revenue are posted to the correct account			
19	Count the cash on hand and agree with un-lodged receipts			
20	Ascertain if the procedure for the control of receipts books is adequate and is being complied with			
21	Review the receipt books for alternations, cancellations or removals			
22	Ascertain that the receipts received are in accordance with the relevant legislation (Section 96 of the Local Government Act, guidelines issued by the minister for making and levelling rates)			
23	Peruse the cash receipts book for 12 months to ensure that there is nothing of an unusual nature therein			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR DONOR FUNDS (GRANTS)

Audit Name ……..
Audited time-frame
Prepared by …... Date
Audit No….....
Reviewed by..... Date

Objectives: To determine if management is operating under sound business principles, has complied with applicable laws and regulations and terms and conditions set forth in the grant award and if there are any funds due to or from the Assembly under the grant (donor arrangements).

No.	Description	Done by	Date	W/P Ref
1.	Interview management to gain an understanding of the grant system. An understanding of this system should be gained from grant application to receiving the grant award to expending the grant award.			
2.	Prepare a summary of the interview(s) conducted with management.			
3.	Prepare or obtain organizationally charts, flow charts, procedure documentation, records, and reports that establish the flow of data and responsibilities relating to grant funds.			

4.	Conduct tests of controls relating to grant revenue. Tests include verification of receipt, authorizations, timeliness, and recorded accuracy.			
5.	Conduct tests of controls relating to expenses. Tests include allowability, authorization, accuracy and timeliness. NOTE: Depending on size of universe surrounding expenses, a sample may have to be determined to conduct control tests.			
6.	Prepare analysis of expenses per line item or modality. Examples: Payroll, Equipment of Supplies Analysis.			
7.	Review the grant award to get an awareness of the laws and regulations applicable to the grant. Also note any specified terms and conditions that will need to be specifically audited			
8.	Prepare work paper summarizing management's compliance to laws and regulations and terms and conditions of the grant award based upon the analysis of the grant award.			
9.	Analyze the over or under budget amounts for the determination of any amount of funds due to or from the Assembly			
10.	Prepare Final Settlement spreadsheet analyzing the amount of grant funds either due to or from the Assembly to close the grant out. This work paper should be completed using information obtained from previously prepared spreadsheets and the grant award.			

EXAMPLE OF AUDIT PROGRAMS DEVELOPMENT **ANNEX 15**
A06 -05

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR ACCOUNTS PAYABLES

Audit Name …… Audited time-frame
Prepared by …... Date
Audit No…..... Reviewed by..... Date

Objectives: To determine if accounts payables exist, are complete and belong to the period under consideration

No.	Description	Done by	Date	W/P Ref
1	Obtain or prepare a comparative summary of accounts payable balances. Trace totals to the general ledger and the previous audit's working papers.			
2	Obtain or prepare a detailed listing of accounts payable balances by supplier and trace totals to the summary obtained in step 1.			
3	Determine the propriety of all reconciling items between the summary and the detailed listing, through inquiry and examination.			

4	Scan the detailed listing of accounts payable and investigate significant unusual items (e.g., debit balances and old unpaid invoices).			
5	Test the mathematical accuracy of the detailed listing.			
6	Examine support for any significant adjustments made throughout the period in reconciling detailed accounts payable records with the control account(s) in the general ledger.			
7	Trace selected recorded liabilities on the listing to supporting documentation (e.g., invoices, receiving reports, purchase orders, supplier statements) to determine the accuracy of the listing.			
8	Test extensions and postings on the supporting documentation. If invoices have not been received, the liability may be determined by comparison with priced purchase orders, suppliers' price lists, earlier invoices for identical goods, standard costs, or other suitable evidence.			
9	Inquire about potential sources of unrecorded liabilities, for example, inventory that has been received at public warehouses or other remote locations or an obligation to pay for inventory not yet received under a "take or pay" contract. Consider the nature of the Assembly and major suppliers of goods and services not part of normal business.			
10	Identify and test the adequacy of Assembly's procedures for cutoff of period-end accounts payable.			
11	Examine disbursements records for the period after the balance sheet date. Determine whether selected invoices, debit (credit) memoranda, or other items identified in the disbursement records relate to the period before the balance sheet date and should be recorded in the accounts.			
12	Examine files of unmatched receiving reports or unmatched or unpaid vendor invoices, files of pending claims and credits for returned goods to determine if the liability for goods and services received and credit for valid claims and returns made before the balance sheet date is properly recorded.			
13	Consider key performance indicators and management information that would indicate unusual fluctuations in purchases or return patterns before and after period-end and, if present, review for possible cutoff errors.			
14	If material losses could arise from open purchase commitments, assess whether a provision should be made for such potential losses by inquiry of management, reference to contractual arrangements and examination of purchase and receiving files. Determine whether provision for loss should be made.			

EXAMPLE OF AUDIT PROGRAMS DEVELOPMENT **ANNEX 15**
A06 -06

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR ACCOUNT RECEIVABLES

Audit Name…….
Audit No.....

Audited time-frame
Prepared by …... Date
Reviewed by..... Date

Objectives:

1. **To determine if accounts receivables exist, are complete and belong to the period under consideration.**
2. **To determine if allowance for bad and doubtful debts are reasonable and adequate.**

No.	Description	Done by	Date	W/P Ref
1	Obtain or prepare a comparative summary of accounts receivable balances. Trace totals to the general ledger and the previous audit's working papers.			
2	Obtain or prepare a detailed list of accounts receivable balances aged by customer (if possible) and trace totals to the summary obtained in step 1.			

3	Determine the propriety of all reconciling items between the summary and the detailed listing through inquiry and examination.			
4	Scan the detailed list of accounts receivable and investigate significant unusual items (e.g., credit balances and zero balances).			
5	Determine how the Assembly ensures that all rates/fines/etc are invoiced. Obtain evidence that the procedure(s) operates as prescribed.			
6	Test supporting documentation for amounts on the detailed listing to determine that it is mathematically accurate and billed correctly.			
7	Examine support for any significant adjustments made throughout the period by the Assembly in reconciling detailed accounts receivable records with the control account(s) in the general ledger.			
8	When confirmations are not sent, for selected accounts: a. Compare subsequent remittances credited to the accounts with remittance advices or other receipts (e.g., deposit slips and bank statement) and ascertain that payments relate to the account balances. b. Examine documentation such as copies of rate billing invoices, and other relevant correspondence supporting the unpaid portion of the account balances. Coordinate this test with the review of the collectibility of overdue accounts (see step **13b**).			
9	Consider key performance indicators and management information that would indicate unusual fluctuations in revenue patterns before and after period-end and, if present, review for possible cutoff errors.			
10	If not obtained in step 2, obtain or prepare a detailed list of accounts receivable balances aged by customer and trace totals to the summary obtained in step 1.			
11	Trace amounts from the detailed listing to supporting documentation to determine the reliability of the aging.			
12	Ascertain the collectibility of accounts receivable by: a. performing analytical procedures as feasible and appropriate and b. for material long overdue, disputed or unusual accounts, discussing collectibility of the account with management and reviewing other documentation supporting collectibility, as necessary.			

13	Assess the adequacy of the current allowance for doubtful accounts, giving consideration, for example, to: a. Accounts that appear to be in dispute; b. Unusual variations in balances; c. Specific overdue accounts and deterioration of aged accounts; d. Levels of revenue write-offs; e. Historical cushion in the allowance; f. Cash collections subsequent to the valuation date; g. Economic conditions affecting both the Assembly and its customers.			
14	Consider the reasonableness of bad debt expense in the light of current- and prior-period balances in the allowance account and levels of write-offs compared with prior periods.			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR FINANCIAL REPORTING

Audit Name ……

Audit No.....

Audited time-frame

Prepared by …... Date

Reviewed by..... Date

Objectives:

1. **To determine whether the general ledger and management accounts are accurate, reliable, and appropriately reflect the structure and operations of the Assembly;**
2. **To determine whether the accounting data is capable of meaningful and accurate analysis in order to support management decisions and actions;**
3. **To determine whether the accounting records are maintained in accordance with the prevailing laws, regulations and professional good practice; and**
4. **To determine whether the accounting information can be used to generate all the required statutory published accounting statements.**

No.	Description	Done by	Date	W/P Ref
1	Determine if written accounting procedures have been provided for the guidance of the relevant staff			
2	Determine if management ensure that all relevant economic events are identified and correctly reflected in the accounts?			
3	Determine how the accuracy of data input from other systems are confirmed?			
4	Determine how is the accuracy of accounting data output to other systems and external sources confirmed?			
5	Establish What prevents the processing of unauthorised or invalid accounting entries?			
6	Determine who is responsible for the accuracy and completeness of accounting data ?			
7	Determine if there are mechanisms to prevent the unauthorised set up of accounts?			
8	Ascertain if management approved the current Chart of Accounts and exercised adequate control over subsequent changes?			
9	Ascertain how management can be sure that transactions are being correctly posted to the appropriate nominal accounts?			
10	Determine how management can be certain that the correct and appropriate accounting treatment is being applied for the various classes of transaction and account balance			
11	By inquiry determine whether posting errors would be identified and corrected			
12	Ascertain by review, if and how often key, control and suspense accounts are scrutinised and reconciled			
13	Inquire about review mechanisms put in place to ensure that transactions are correctly posted in the appropriate accounting period			
14	Inquire and inspect evidence that all source departments are aware of the General Ledger processing timetable and their specific data submission deadlines			
15	If the Assembly uses an accounting systems, review security controls to determine how unauthorised access to the accounting system is prevented			
16	Inquire and review measures taken to prevent the unauthorised production and circulation of accounting system reports and printouts			
17	Inspect journal adjustments subject to determine if they require a suitable level of authorisation			
18	Also determine by inquiry and review, what mechanism prevent the processing of unauthorised or invalid journal adjustments			
19	By reperformance, determine how duplicate processing of accounting entries and journals are prevented			
20	Inquire and review procedures that ensure management that all required adjustments have been correctly			

	processed			
21	Review the Assembly's processes to determine if management are provided with adequate, timely and accurate accounting data to enable them to discharge their responsibilities			
22	Review the Assembly's processes to determine What processes ensure that all the required published and statutory accounting statements are accurately produced on time			
23	Review the accounting records to determine if they are maintained in accordance with the prevailing laws and regulations			
24	Review management processes capable of detecting any material errors in either the accounts or published statements?			
25	Determine if someone is made responsible for keeping up to date with current accounting and related legislative requirements and ensuring ongoing compliance			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR INVENTORY

Audit Name…… Audited time-frame
Prepared by …... Date
Audit No..... Reviewed by..... Date

Objectives:

1) **all inventory items exist and are owned by the Assembly (*existence, completeness*, and *ownership*);**
2) **inventory items are properly classified and disclosed *(presentation*, and *disclosure*).**

No.	Description	Done by	Date	W/P Ref
1	Observe the physical count, making appropriate test count Determine which items are to be test-counted by selecting from the inventory file a sample of items that provide the desired dollar coverage.			
2	Test the mathematical accuracy of the inventory extensions and footings. For each item in the inventory file, multiply the quantity on hand by the cost per unit and add the extended amounts.			
3	Compare the auditors' test counts to the inventory records. Organize the auditors' test counts and compare them to inventory records.			

4	Compare the client's physical count data to the inventory records. Compare the quantity of each item counted to the quantity on hand in the inventory file or computer spreadsheet.			
5	Perform a lower-of-cost-or-market test by obtaining a list of current costs per item from vendor. Compare the current cost per unit to the cost per unit in the inventory file. Obtain the extended value for each item, using the lower of two unit costs, and add extended amounts.			
6	Test purchases and sales cutoff. List a sample of items on the inventory file for which the date of last purchase or last sale is on, or immediately before, the date of the physical count.			
7	Confirm the existence of items located in public warehouses. List items located in public warehouses and print confirmations.			
8	Analyze inventory for evidence of obsolescence or slow-moving items.			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR PROCUREMENT

Audit Name …….
Audit No.....

Audited time-frame
Prepared by …... Date
Reviewed by..... Date

Objectives: To ensure that procurement procedures are followed

No.	Description	Done by	Date	W/P Ref
	Select a sample of xxx LPO's and perform the following audit procedures:			
1	For each purchase determine whether a LPO/requisition is sent to the Buyer (Procurement Unit).			
2	Check the completeness of the requisition. All fields should be completed e.g., authorised signature of the Finance Officer and not the requester, etc.			
3	Determine if requisitions are processed according to the FIFO (first-in-first-out) principle. Test the efficiency of the processing process i.e. from the time the requisition is received until the time the order is processed.			

4	Determine that for each requisition a request for quotation is prepared and sent to at least three suppliers from the Assembly's supplier database or advertised for National Competitive Tender based on the thresholds issued by the Public Procurement Authority.			
5	Ensure that for each requisition, at least three quotations are received. If not check for approval of the Public Procurement Authority.			
6	Ascertain if a committee was set up to evaluate the quotations/proposals as appropriate and whether minutes and the valuation reports exist for such valuations.			
7	Determine if the lowest technically acceptable offer and which has scored the highest adjudication points was accepted.			
8	Check for the following: • Date on requisition should be before that on the quotations and invoices, and • Purchase orders are prepared after quotations are received. • Date on the invoices should be after that on the requisition, quotation and purchase order.			
9	Compare details on the invoice/delivery note to that detailed on the quotations, LPO and requisitions iro: • Services requested, • Prices, quantities specified, • Supplier details,			
10	Determine if the receiving person signed the delivery note/invoice as evidence of checking items received.			
11	Determine if the function of authorisation, ordering and receiving is adequately segregated.			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR PAYROLL

Audit Name……..
Audited time-frame
Prepared by …... Date
Audit No.....
Reviewed by..... Date

Objectives:

1. **To confirm that the payroll function is properly controlled and operating efficiently.**
2. **To ensure that authority for all pay entitlement is clearly defined and effectively exercised.**
3. **To ensure that employees on the payroll are valid and that leavers do not remain on the payroll.**
4. **That payroll deductions are correctly applied.**

No.	Description	Done by	Date	W/P Ref
1	Enquire into preparation of monthly payroll and pay attention to adequacy of segregation of duties over preparation, review and authorisation.			
2	Review compliance with authorisation procedures for payment of payroll costs.			
3	Review for compliance over procedures of adding or deleting staff list on payroll systems.			

4	Determine if all relevant forms are completed for additions to the staff list in the Assembly over the period under review.			
5	For all leavers during the period under review determine if all relevant forms have been completed and submitted to the Controller and Accountant-General for processing.			
6	Compare payroll cost to budget and prior period and seek explanation for significant variations.			
7	Review payment vouchers issued by the Controller and Accountant-General to the Assembly and determine if management apprise these vouchers and provide relevant, adequate and sufficient feedback to the Controller and Accountant General			
8	Perform reasonableness test on Management remuneration using salary /per month and number of Management members as a basis. Also perform similar test on salaries of other staff.			
9	Recompute staff wages (for staff who are on wages) using time and rate and determine accuracy in the computation.			
10	Obtain PAYE calculations per month a nd trace payments to IRS receipts.			
11	Obtain SSF calculations per month and trace payments to IRS receipts.			
12	Obtain the composition of other staff cost and agree resulting figure to the client ledger balance. Enquire into significant variations.			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR FUEL

Audit Name……. Audited time-frame
Prepared by …... Date
Audit No..... Reviewed by..... Date

Objectives: to ensure that the fuel purchased by the Assembly is used in the ordinary cause of business of the Assembly

No.	Description	Done by	Date	W/P Ref
1	Obtain And review the vehicle management and fuel policy document of the Assembly			
2	Determine if the Assembly maintains log books for vehicles that are shared in a pool			
3	Determine if the columns in the log book include the mileage or odometer readings. If this is not available, determine if this information is collected and maintained regularly			
4	Determine if the vehicle log book is completed by drivers who use the vehicles			
5	Obtain a schedule of the periodic travel mileage and fuel consumption sums and determine the fuel consumption rate per mile Check for reasonableness			
6	Determine by inquiry whether the Assembly has an established register of personnel who are entitled to fuel allocation on periodic basis			
7	Obtain and review the periodic fuel allocation for the period under review. Ascertain whether there are individuals who are not entitled to fuel but received fuel and whether some staff received more than what is allocated to them			
8	Reconcile fuel disbursements to fuel purchases. Note any disparities and follow up with management.			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR TRANSPORT MANAGEMENT

Audit Name…….....
Audited time-frame
Prepared by …... Date
Audit No……..
Reviewed by..... Date

Objectives: Ensure that the Assembly's vehicular fleet is properly maintained, and the usage is authorised for the discharging the Assembly's business.

No.	Description	Done by	Date	W/P Ref
1	Determine various preventative maintenance programs established by The Transport Unit.			
2	Determine how often vehicles are recommended to get oil changes, tune-ups, tire rotations, balance and replacements etc.			
3	Determine if The Transport Unit tracks maintenance of vehicles to ensure that maintenance is being performed on a car by car basis at regular intervals.			
4	Review contracts with vendors to identify terms and prices. Review invoices to determine if terms of agreement are being adhered.			

AUDIT MANUAL FOR METROPOLITAN, MUNICIPAL AND DISTRICT ASSEMBLIES

5	Determine if those who have been assigned cars are allowed to use vendors other than approved vendors. If not, how does The Transport Unit monitor this?			
6	Consider contacting other vendors to determine if pricing and terms are reasonable.			
7	Select a sample of preferred vendor payments and contact vendors in city where service performed to determine if price was reasonable. This should be done through an anonymous phone call, stating a similar fault.			
8	Contact Purchasing. Determine their involvement in selecting vendors.			
9	Determine how The Transport Unit ensures that work being charged to the Assembly is only for Assembly cars.			
10	Identify various methods in which maintenance and repair charges are paid.			
11	Consider expense reports, direct billings by vendor, etc.			
12	Determine how The Transport Unit captures this data and what they do with it.			
13	Determine if The Transport Unit analyzes expenses by category (brakes, tires, etc.), by individual car, by type of car etc.			
14	Investigate how The Transport Unit manages maintenance costs to ensure unnecessary costs are not incurred.			
15	Determine if charges are recouped via warranty refunds.			
16	How does The Transport Unit ensure that all work done under warranty is recouped? Determine potential for duplicate payments made through various systems. Note that duplicates have been identified during the expense reports review performed by audit.			
17	Review Vendor Master File to identify all vendors that appear to be automotive or lease related.			
18	Get report that identifies payments to these vendors in the period under review.			
19	Review invoices of larger vendors and unusual vendors to determine if any work looks unusual or not within The Transport Unit's policies			
20	Determine potential for duplicate payments or unauthorized work.			
21	Identify vendors that do body work on the Assembly cars.			

22	Determine process used by The Transport Unit in selecting these vendors.			
23	Determine if The Transport Unit gets quotes from other vendors before having body work done.			
24	Select sample of recent accidents from The Transport Units accident reports.			
25	Ensure that The Transport Unit reports all accidents on their accident reports - determine if officers' accidents are on The Transport Unit's schedule.			
26	Identify where body works was performed			
27	Determine if quotes were obtained and kept in file.			

INTERNAL AUDIT UNIT

AUDIT PROGRAMME FOR DISTRICT ASSEMBLIES COMMON FUND

Audit Name - Audit.....

Audited time-frame
Prepared by …... Date
Reviewed by..... Date

Objectives: To determine if management is operating under sound business principles, has complied with applicable laws and regulations and terms and conditions set forth in the grant award and if there are any funds due to or from the Assembly under the grant (donor arrangements).

No.	Description	Done by	Date	W/P Ref
1	Interview management to gain an understanding of the Common Fund system.			
2	Prepare a summary of the interview(s) conducted with management.			
3	Conduct tests of controls relating to the District Assemblies Common Fund. Tests include verification of receipt, authorizations, timeliness, and recorded accuracy.			
4	Conduct tests of controls relating to expenses. Tests include allowability, authorization, accuracy and timeliness. NOTE: Depending on size of universe surrounding expenses, a sample may have to be determined to conduct control tests.			
5	Prepare analysis of expenses per line item or modality.			
6	Review the Fund revenue to get an awareness of the laws and regulations applicable to the Fund. Also note any specified terms and conditions that will need to be specifically audited			
7	Prepare work paper summarizing management's compliance to laws and regulations and terms and conditions of the Fund award based upon the analysis of the grant award.			

SUMMARY OF INTERVIEW ANNEX 16
F01

INTERNAL AUDIT UNIT

Prepared By: _____

Date: _____

Reviewed by: _____

Date: _____

SUMMARY OF INTERVIEW

Department Name: _____

Audit name and ID: _____

Individual Interviewed:	
Title:	
Division/Unit:	
Time/Date of Interview:	
Auditor:	
Others Present At Interview	
Name, Title:	
Name, Title:	

Summary Of Discussion:

INTERNAL AUDIT UNIT

TEST WORKING PAPER ANNEX 17
WP##

INTERNAL AUDIT UNIT OF XXX ASSEMBLY Page : /		
Audit title – Audit #	Period under review :	
	Prepared by :	Date : .
	Reviewed by :	Date : .
Actual Control:		
Objective of test :		
Description of test (Methodology) :		
Test Results :		
Conclusion :		

INTERNAL AUDIT UNIT	SUMMARY OF AUDIT FINDINGS	ANNEX 18 A04

#	Observations	Recommendations	Responses	FFF Ref.
1				
2				
3				
4				
5				
6				
7				
8				
9				
10				

AUDIT FINDING FORM ANNEX 18-1
A04-1

INTERNAL AUDIT UNIT

Finding No.____

Date:		
Audit ID and Title:		
Auditor(s):		
Condition:	*This section should contain a clear and concise statement of the condition.*	
Criteria:		
Causes:	*Who ? Why ?What should be?*	
Effects:	*In terms of cost, adverse performance, or other factors ? What is the impact in services, money, or people?* *The auditor should document the analysis of the problem in this section. References to applicable standards and/or procedure should be included. This section should not contain information that is redundant to that found on the working paper.*	
Recommendations:	*This section should include the corrective action to be presented to the auditee, answering the following questions :* *- What should be done?* *- Who should do it?* *- When should it be done?* *This section must be updated to reflect the wording in the Draft report.* *Recommendations should be classified by level of priority :* *Major, Intermediate, Minor* *- "Major" qualifies mandatory actions to implement immediately* *- "Intermediate" qualifies mandatory actions to implement within 30 days* *- "Minor" qualifies operational and administrative improvements to implement within 60 days.*	
WP reference or method of identification of the finding:		
Responsible Dept.:		
Management's Response	Acknowledgement of finding	Dept. Personnel: Date:
Comments:		

Disposition of this finding :

DATE	STATUS OF FINDING	COMMENTS
	Dropped for lack of materiality	
	Dropped due to time constraints	
	Dropped as a result of additional information being developed	
	Deferred for future development	
	Included in draft report	
	Included in final report	

INTERNAL AUDIT UNIT

SUSPECTED ACTIVITIES REPORTING FORM **ANNEX 19 A04B**

SUSPECTED ACTIVITIES REPORTING FORM

To be completed by Staff Members, the Assemb ly's Clients or other interested parties

GUIDE TO COMPLETE THE FORM

Being involved with the Assembly, it is your moral duty to inform the Internal Audit Unit and higher management of any fraud or suspected fraud activities. Please fill in the easy to complete form and forward it to the Internal Audit Unit.

Details	Yes	No
1. Can you be contacted if needed? (if yes, please provide contact details): _____ _____ _____		
2. Can you provide documentation supporting your claims/allegations? (if yes, please give details): _____ _____ _____		
3. Summary of complaint (attach Annex if required): _____ _____ _____ _____ _____ _____		
4. Controls circumvented: _____ _____ _____		

Name (Optional) _____ Signature (Optional) _____ Date: _____

INTERNAL AUDIT UNIT

WORKING PAPER REVIEW SHEET – AUDIT STAGES **ANNEX 20 D03**

Prepared By: _____

Date: _____

Reviewed by: _____

Date: _____

WORKPAPER REVIEW SHEET - AUDI T STAGES – FIRST REVIEW

Name of audit:	**Audit ID**
	Approved by
	Date

Stage	**Planned** **Budget** ---------- **Deadline**	**Actual** **Budget** ---------- **Deadline**	**Comments**	**Review date**	**Sign HIA**	**Auditors Responses**
Planning	Days	Days				
	Date	Date				
Evaluation of Internal Controls	Days	Days				
	Date	Date				
Testing	Days	Days				
	Date	Date				
Evaluation	Days	Days				
	Date	Date				
Developing Draft Report	Days	Days				
	Date	Date				
Developing Final Report	Days	Days				
	Date	Date				
Audit File Closure	Days	Days				
	Date	Date				

INTERNAL AUDIT UNIT

ANNEX 21
B05

AUDIT EXIT CONFERENCE

THE ASSEMBLY'S LETTER HEAD

AUDIT EXIT CONFERENCE

TO:
FROM:
DATE:
SUBJECT: Internal Audit of [Name of Audit]

The Internal Audit Unit (IAU) has conducted a review of [Name of Audit]. The objectives of the audit were as follows:

- ? [Objective #1]
- ? [Objective #2]
- ? [Objective #3]
- ? [Objective #n]

We attach our Draft Report for your review and once you have had the opportunity to review it we would like to have an audit exit conference in order to verify that the audit recommendations are correctly stated, to solicit your comments on the implementation of the recommendations and to discuss any other issues related to the audit. In addition you may also use this opportunity to discuss the audit process and make suggestions for future audits.

Please contact me at your earliest convenience in order to arrange the Audit Exit Conference to discuss the various aspects of our audit; If you have any questions or concerns in advance of the meeting, please address your questions directly to [auditor in charge] Ext. [telephone #]

[Signature and Name]
Head of Internal Audit

The Assembly's Logo	Assembly's Name Address Phone Numbers

AUDIT REPORT ANNEX 22 A03

INTERNAL AUDIT UNIT

Writers of Audit Reports should consider the following:

1. Title Page and Contents
A title page mention the Auditee and subject matter, the name of the audit mission and the audit date. Larger reports can have a contents page.

2. Signature
The audit report will be signed by the Head of Internal Audit Unit.

3. Introduction
Describes the type of audit and the area of activity. It will make reference to the previous audits, if appropriate and discuss the status quo of previous recommendations where that have not yet been implemented.

4. Establishment of Objectives
The audit objectives are declared in the report and are the same as those in the audit agenda.

5. Establishment of Scope
The dept and scope of the audit mission for the attainment of the audit objectives.

6. Establishment of methodology
The establishment of the methodology should clearly explain the collection of evidence and the analysis techniques used to attain the audit objectives.

7. Established audit standards
The report should include a declaration that the audit was performed in compliance with the International Audit Standards and should disclose when the applicable standards were not complied with.

8. Audit Findings
The audit report must provide opinions on the established audit objectives. The report must issue the auditors opinion on each objective.

9. Conclusions with Recommendations
Each recommendation should consider

- Facts established by the audit
- Criteria, Causes and Effects
- Advice to management in order to remedy problems identified by the audit.
- Recommendations should be prioritised into major, medium and minor.
- The auditee must respond to the audit report and the recommendations made

Example – see attached

The Assembly's Logo	The Assembly's Name Address Phone Numbers

INTERNAL AUDIT REPORT

NAME OF AUDIT

MONTH YEAR

AUDIT NAME
AUDIT REPORT

TABLE OF CONTENTS

PAGE

EXECUTIVE SUMMARY

INTRODUCTION

- Background
- Audit Perspective
- Scope & Objectives

INTERNAL AUDIT OPINION

DETAIL REPORT INCLUDING AUDITEE RESPONSES

APPENDIX

EXHIBITS

AUDIT NAME
DATE

EXECUTIVE SUMMARY

Purpose & Limitations

The executive summary is intended to provide audit perspective, and highlight on a summarized basis, the significant findings discussed throughout the body of the detailed audit report. Care should be exercised in reaching conclusions solely based on a review or reading of this summary. It is necessary to read the specific detail sections and/or the report in its entirety to obtain the breadth of the background, ramifications, and recommendations relating to each issue and/or finding.

Audit Opinion

As discussed more fully in our opinion on page _____ of this report,

Relevant Findings

- List a summary of each finding (without ramification/implication statement). Cross reference to detail section of report.

AUDIT NAME
DATE
INTRODUCTION

Background

Provide background information about the purpose/mission/motives of the area audited (e.g. according to annual IAU plan). Identify auditors who performed the audit.

Audit Perspective

Present audit status - Indicate whether or not this is a follow-up on a previous audit.

Recent past audits – provide findings, conclusions and recommendations of other audits.

External audit coverage – provide findings, conclusions and recommendations of external audits.

Scope & Objectives

The scope of the (audit or review)...(the balance of the scope statement should be brief and should discuss the timing, type and purpose of the work, and nature and extent of audit tests performed, audit procedures and evaluation criteria. and the standards used when conducting the audit. Types of audits or reviews are financial, operational, compliance, IT and investigative. Internal control work is included under operational. The auditor should make the determination of which standards apply. The Internal Auditing standards always apply.)

(E.G., The scope of the audit was financial and operational in nature and covered the period from 19xx through 20xy. The audit was performed to ensure that financial data was properly recorded and adequate operational procedures exist in the cash receipts function. The audit was conducted in accordance with the Standards for the Professional Practice of Internal Auditing and the applicable … Standards. The last day of fieldwork was _____.)

The objectives of the audit were as follows:

- Determine that cash receipts were recorded correctly as to account, amount and period and are deposited promptly (recording, safeguarding).
- Verify that receipts were properly applied to .. accounts (recording).
- Ascertain if operations are efficient and effective, to achieve a productive work environment.

  Note: Audit is used in the report when actual tests are performed to corroborate the opinion. Review is used in the report when no tests are performed to corroborate the opinion. Comment should speak directly as to what was done, i.e., if a test was performed, the word test should be used. If a review was performed, the word review should be used.

AUDIT NAME

INTERNAL AUDIT OPINION

(The auditor's opinion or conclusion based on the objectives of the audit and the effect of findings on Organisations operation should be stated. Conclusion should be clear and motivated. It could cover all or part of the activity of the section audited or only its specific issues.)

In our opinion, we found the _____ to be adequate, or inadequate (detail of inadequacies to follow the word inadequate).

We have identified opportunities to improve the controls of The Assembly's department(s) involved in the... as discussed in this report.

DETAIL AUDIT FINDINGS

Overview

Pages X through XX outline the **specific findings** resulting from our substantive audit testing. These issues are discussed in detail in our report and are categorized as primary findings (significant internal control deficiencies and items potentially having a significant or adverse effect on the unit's operations) or other matters (items of a lesser nature requiring attention, but not likely to have a significant or adverse effect on the unit's operations). The findings are generally presented in each section in order of importance based on the stated ramifications/implications of each finding. In addition we examined recent historical trends in productivity and performance measures **(see Exhibits X and XX).**

Primary Findings

I. TITLE OF COMMENT

Insert summary of the finding included in the Executive Summary

Finding

Causes/Effects

Recommendation(s)

Auditee's Response (if the auditee does not agree with the findings, s/he signs the report noting the disapproval and attaching motivated annotation substantiating it.

Other Matters

II. TITLE OF COMMENT

Insert summary of the finding included in the Executive Summary

Finding

Causes/Effects

Recommendation(s)

Auditee's Response

_____ _____

AUDITOR-IN-CHARGE DATE

_____ _____

SENIOR INTERNAL AUDITOR DATE

Note: ***The above opinion relates primarily to Operational audits or reviews. The following may be used for Financial and Compliance audits or reviews respectively.***

In our opinion, we found the financial transactions to be properly recorded and the operational procedures adequate for the period under audit. However, we have identified opportunities to improve the efficiency and effectiveness of certain operating procedures as discussed in this audit report.

In our opinion, we found the financial transactions to be properly recorded, but the operational procedures inadequate for the period under audit. We have identified opportunities to improve the efficiency and effectiveness of certain operating procedures as discussed in this audit report.

In our opinion, we found _____ (to be in compliance with or not in compliance with the Assembly's policy and procedure, State, & -indicate others- Regulations etc.)

We have identified the areas of non compliance to be corrected in this report.

Copies of this report distributed to: **Copy received:**

1. _____ _____
   (name and title) *(signature and date)*
2. _____ _____
   (name and title) *(signature and date)*
3. _____ _____
   (name and title) *(signature and date)*
4. _____ _____
   (name and title) *(signature and date)*

** a copy should be necessarily handed in to the manager of the department audited and to the HOD*

AUDIT REPORTS REVIEW SHEET **ANNEX 23 D01**

INTERNAL AUDIT UNIT

AUDIT REPORTS REVIEW SHEET – FIRST REVIEW

Prepared By: _____

Date: _____

Reviewed by: _____

Date: _____

Controls performed	Yes	No	Comments	Review Date	Sign HIA	Auditors Responses
Does the report respect the standard format ?						
Are enough headings used to guide the reader?						
Are the most important comments presented first?						
Does the report balance positive and negative?						
Are related comments combined?						
Is repetition avoided?						
Is detail presented in appendices?						
Are all statement of fact tracked to the supporting working paper's, including dates, numbers, percentages, computations, titles, proper names, quotes, and legal citations ?						

Comments / Instructions :

(YOUR ORGANISATION)

INTERNAL AUDIT UNIT

TRANSMISSION LETTER TO ARIC

ANNEX 24
A08

Your Organisations Logo	Organisations Name Address Phone Numbers

(Date)

Mr./Ms., XXXXX
(YOUR ASSEMBLY) ARIC Chairman,
(NAME OF AUDIT) – (Account No. _____/if applicable).

Dear Mr./Ms., XXXX,

The Internal Audit Unit has completed an Audit of the _____ (Account No.- if applicable) of the (Department/Branch/Location) of the Assembly on the (Date).

The objective of the audit was to assist management with the assessment of the adequacy of internal controls related to the overall petty cash process. Additionally, the audit evaluated the Department's compliance with Administrative Procedure.

The report, attached for your review, concludes that the internal controls over the _____ are adequate/inadequate to provide management with reasonable assurance that that funds are properly safeguarded, disbursed and replenished except for the findings presented in the body of the report.

Copies of the matters contained in the report are provided to the HOD and the senior management of (your Assembly) in order to enable them to implement concurrently the recommendations of this report. The views of the Coordinating Director/Department Manager to the individual recommendations and the actions to be taken with time limits are attached in Annex _ to the Internal Audit Report.

We appreciate the cooperation extended to our auditors by Department personnel during the course of the audit.

Yours sincerely,

_____

Internal Auditor,

cc: Name of Member, ARIC,
Name of Member, ARIC,
Name, Coordinating Director
Head of Department Audited,
DG, IAA,

INTERNAL AUDIT UNIT

MANAGEMENT RESPONSES LETTER **ANNEX 25 A09**

The Assembly's Logo	The Assembly's Name Address Phone Numbers

TO: XXXX, HIAU,

FROM:

DATE:

SUBJECT: Response to (NAME) Audit Findings

This is the management response to the final draft of the recent audit of (NAME) (Asset account No – if applicable) conducted by your office. The Internal Audit Report comprises detailed audit findings with twelve individual recommendations and management's responses to each are summarized below as follows:

1. **Recommendation -**

   Management's Response –

2. **Recommendation –**

   Management's Response –

.

Etc 3-12

Implementation date for all the above agreed recommendations will be no later than (Dates)

Head of Department/Branch

_____

CC: HOD

WEEKLY TIME SHEET FORM ANNEX 26
A07

INTERNAL AUDIT UNIT

INTERNAL AUDIT UNIT

Folio : /

WEEKLY TIME-SHEET FORM

Auditor :

Prepared by : Date : .

Reviewed by : Date : .

LAST NAME, FIRST NAME		WEEK ENDING: --/--/--							
DESCRIPTION	REF	MON	TUE	WED	THU	FRI	SAT	SUN	TOTAL
		1	2	3	4	5	6	7	
Administration (DESCRIBE BELOW)	A								
Time Auditing	B								
Time Reporting	C								
Staff meetings	D								
Training	E								
Sick Leave	F								
Holiday	G								
Other leave days (DESCRIBE BELOW)	H								
Miscellaneous (DESCRIBE BELOW)	I								
TOTAL HOURS									

INTERNAL AUDIT UNIT

Folio : /

WEEKLY TIME-SHEET FORM

Descriptions

Administration	A	
Other leave days	H	
Miscellaneous	I	

Guidelines per rubric

A Administration: Time spent in timekeeping, personnel matters, and other matters related to the operation of the Unit.

B Time spent on preliminary audit activities and audit.

C Time Reporting: Time spent on report writing and following-up Follow-up - Time spent determining whether past recommendations have been (or should be) implemented. The audit number and description should be included in the comments field.

D Meetings: Includes Audit Staff meetings and meetings with individuals outside of the Internal Audit that are not related to a specific project or audit.

E Training: Training - Formal training activities.

F Sick Leave: As defined by applicable policy.

G Holiday: As defined by applicable policy.

H Miscellaneous: Non-audit time that is not properly classified in another category. When this category is used, an explanation of the time spent should be included in the comments section.

INTERNAL AUDIT UNIT

AUDIT PERFORMANCE EVALUATION **ANNEX 27 D05**

AUDIT PERFORMANCE EVALUATION FORM

This form is used to provide input from our Auditee into our Quality Assurance Program.

Please respond to these evaluation questions openly and honestly as we use this form throughout the year to make improvements to our process and organisation. Thank you for your time and input.

Audit number and Title : _____
Auditor(s) : _____

	Strongly Agree	Agree	Disagree	Strongly Disagree	Did Not Observe
Audit Process					
1. The audit process and timeline were clearly explained at the start of the audit.	☐	☐	☐	☐	☐
2. The audit objectives and scope were discussed prior to the start of the audit.	☐	☐	☐	☐	☐
3. Management's concerns and suggestions were obtained and incorporated or considered throughout the audit.	☐	☐	☐	☐	☐
4. Management was kept informed throughout the audit regarding the audit status and potential audit issues.	☐	☐	☐	☐	☐
5. The audit resulted in minimal disruption of operations to the department.	☐	☐	☐	☐	☐
6. The audit was completed within a reasonable time frame. Any delays in completing the audit were explained to management.	☐	☐	☐	☐	☐
Audit Completion					
7. Audit issues noted were relevant to my operations.	☐	☐	☐	☐	☐
8. All relevant parties had the opportunity to provide input regarding potential audit issues so that those included in the draft report were accurately and fairly presented.	☐	☐	☐	☐	☐
9. Audit recommendations were constructive and reasonable.	☐	☐	☐	☐	☐

Audit number and Title : _____
Auditor(s) : _____

	Strongly Agree	Agree	Disagree	Strongly Disagree	Did Not Observe
Audit Staff					
10. The auditor was knowledgeable of (YOUR ORGANISATION) and other related policies and requirements affecting our operations.	☐	☐	☐	☐	☐
11. The auditor acted in a professional and open manner.	☐	☐	☐	☐	☐

Provide any additional comments that would assist us in improving future audit services.

Completed by: _____ Title: _____

Department: _____ Date: _____

Please email or transmit this form to the Head of Internal Audit, within one week. Thank you.

INTERNAL AUDIT UNIT

STAFF PERFORMANCE EVALUATION FORM **ANNEX 28 D06**

Folio : / .

STAFF PERFORMANCE EVALUATION FORM

Audit title – Audit #	Period under review :	
Auditor :		
	Prepared by :	Date :
	Reviewed by :	Date :

Actual Hours:	Budgeted Hours:	Date of Report:

On a scale of 1 "Unsatisfactory" to 5 "Outstanding" where 3 is "Meets expectations", rate the following : Note : any ranking below 3 should be explained below	**1**	**2**	**3**	**4**	**5**	**N/A**
In the preliminary survey, the auditor identified the risks and expected controls for the processes related to the audit objective; and assessed the level of risk by cycle or function.						
The audit programs were designed to achieve the audit objective within the remaining budget hours.						
The audit objective, scope, procedures, and budget were constantly reassessed to ensure efficient use of audit resources.						
There was good communication between auditor and auditee and between the auditor and audit management						
The perspective and needs of the auditee were considered in the audit process.						
Audit objectives were achieved in an efficient and timely manner.						
Auditees had an opportunity to review findings and recommendations as concerns were identified.						
The Institute of Internal Auditors' *Standards for the Professional Practice of Internal Auditing* were met.						
Audit findings demonstrated sound analysis and conclusions; and practical recommendation for concerns noted.						
Written communications were clear, concise, objective, and grammatically correct.						
Working paper's supported the conclusions reached.						
The audit procedures performed resulted in sufficient, competent, relevant and useful evidence.						
Work paper's were properly completed and conformed to standards.						
Audit hours were reported timely						
The auditor demonstrated a high level of personal productivity and timeliness.						

Document both positive comments and suggestions for improvement discussed with auditor:

_____

_____

AUDIT RECOMMENDATIONS FOLLOW-UP PROCESS

ANNEX 29
A03-3

INTERNAL AUDIT UNIT

Audit Name: _____ **Prepared by:** _____

Audit ID: _____ **Review by:** _____

XXX ASSEMBLY – INTERNAL AUDIT UNIT **AUDIT RECOMMENDATION STATUS REPORT**		**Department / Unit / Division :** **Audit Report No.**			**Quarter Ending:**
Rec.No.	**RECOMMENDATION/RESPONSE** Print/Type Recommendation, if response is required, place directly below applicable recommendation *Enter audit recommendations number as shown in the audit report*	**STATUS** *Check appropriate column* **Implemented**	**Partly Implemented**	**Not Implemented.**	**IMPLEMENT. OR TARGET DATE** *Enter date Implemented or the Target date for implementation*
SIGNATURES					
Auditee : Date and Signature		Auditor : Date and Signature			

QUARTERLY INTERNAL AUDIT REPORT

ANNEX 30

INTERNAL AUDIT UNIT

PF A03 – 1

The Assembly's Logo	The Assembly's Name Address Phone Numbers

QUARTERLY IN TERNAL AUDIT REPORT

FOR THE QUARTER ENDED XXXXXXX

INTERNAL AUDIT REPORT #1/20XX

TABLE OF CONTENTS **PAGE**

1. EXECUTIVE SUMMARY 91
Purpose & Limitations 91
Relevant Findings 91
Implementation Status of Recommendations 91
2. INTRODUCTION 92
2.1 Background 92
2.2 Detail Audit Findings 92
Primary Findings 93
I. TITLE OF COMMENT 93
Other Matters 93
II. TITLE OF COMMENT 93
3. REVIEW OF STATUS OF IMPLEM ENTATION OF AUDIT FINDINGS 94

EXECUTIVE SUMMARY

Purpose & Limitations

The Executive Summary is intended to provide an audit perspective and highlight on a summarized basis, the significant findings discussed throughout the body of the detailed audit report. Care should be exercised in reaching conclusions solely based on a review or reading of this summary. It is necessary to read the specific detail sections and/or the report in its entirety to obtain the breadth of the background, ramifications, and recommendations relating to each issue and/or finding.

Relevant Findings

- List a summary of each finding (without ramification/implication statement). Cross reference to detail section of report.

Implementation Status of Recommendations

Under this section, indicate the number of follow-ups undertaken and the number of recommendations implemented.

INTRODUCTION

2.1 Background

Provide background information about the Assembly and the Internal Audit Unit (IAU) – This should include a brief history, and purpose of both the Assembly and the IAU. This should be followed by the purpose of the report. This report is compiled from the various audits conducted in the course of the year according to the annual audit plan and various assignments requested by management and the Assembly. The report is in fulfilment of the requirements of section 120 of the Local Government, Act, 2000 (Act 584). State the various types of audit or reviews undertaken in the course of the year (This include financial, operational, compliance, IT, and investigative audit or reviews)

Indicate whether the Internal Audit Unit was not given cooperation in the course of conducting any assignment in the course of the year. Also indicate the particular assignment and to what extent this cooperation was not given. (e.g. Staff of the Internal Audit Unit were not given access to records when they were auditing the procurement thrust area, or a the Finance Officer(key officer) refused to deal with the Internal staff of the Internal Audit Unit when they sought to audit the cash management activities of the Assembly, e.t.c)

2.2 Detail Audit Findings

2.2.1 Scope & Objectives

The scope should be brief and should discuss the timing, nature and type of audit work and the objectives should define the purpose of the work.

(E.G., the scope of the audit was financial and operational in nature and covered the period from 19xx through 20xy.

The objectives of the audit were to ensure that financial data was properly recorded and adequate operational procedures exists in the cash receipts, procurement, asset management, etc, functions.)

2.2.2 Methodology

Specify the nature and extent of audit tests performed, audit procedures and evaluation criteria, and the standards used when conducting the audit.
(e.g. The methodology adopted is in accordance with the Standards for the Professional Practice of Internal Auditing and applicable laws and regulations and included: reviewing and documenting relevant systems to establish the design and operating effectiveness of operational procedures, and evaluating the adequacy and appropriateness of accounting procedures and practices to ascertain

whether accounting transactions were accurate, complete and fully disclosed in the records of the Assembly.

2.2.3 Overview

Pages X through XX outline the **specific findings** resulting from our audit testing. These issues are discussed in detail in our report and are categorized as primary findings (significant internal control deficiencies and items potentially having a significant or adverse effect on the unit's operations) or other matters (items of a lesser nature requiring attention, but not likely to have a significant or adverse effect on the unit's operations). The findings are generally presented in each section in order of importance based on the stated ramifications/implications of each finding.

Primary Findings

I. TITLE OF COMMENT

Criteria

Condition

Cause

Effects

Recommendation(s)

Auditee's Response

Other Matters

II. TITLE OF COMMENT

Criteria

Condition

Cause

Effects

Recommendation(s)

Auditee's Response

REVIEW OF STATUS OF IMPLEMENTATION OF AUDIT FINDINGS

Under this section, please indicate previous recommendations that have not yet been implemented in the current period. (Details should include the condition, effects and recommendation.)

No.	Conditions	Implications /Risks	Recommendations	Timeline	Action Taken	Responsible Officer
1.						
2.						

AUDITOR-IN-CHARGE _____ DATE _____

HEAD OF INTERNAL AUDIT UNIT _____ DATE _____

Copies of this report distributed to: **Copy received:**

1. _____ _____
(name and title) *(signature and date)*

2. _____ _____
(name and title) *(signature and date)*

3. _____ _____
(name and title) *(signature and date)*

4. _____ _____
(name and title) *(signature and date)*

The Assembly's Logo	The Assembly's Name Address Phone Numbers

ANNUAL INTERNAL AUDIT REPORT

FOR THE YEAR ENDED 31 DECEMBER 20XX

INTERNAL AUDIT REPORT #1/20XX

TABLE OF CONTENTS **PAGE**

1. EXECUTIVE SUMMARY 98
Purpose & Limitations 98
Relevant Findings 98
Implementation Status of Recommendations 98
Status of Resources in the Internal Audit Unit 98
2. DETAILS OF REPORT 99
2.1 Introduction 99
2.1.1 Background 99
2.1.2 Implementation of the Annual Audit Plan 99
3. DETAIL AUDIT FINDINGS FOR AUDIT ASSIGNMENTS CONDUCTED IN THE FOURTH QUARTER 100
4. Methodology 92
OVERVIEW OF AUDIT FINDINGS 100
I. TITLE OF COMMENT 100
II. TITLE OF COMMENT 101
5. REVIEW OF STATUS OF IMPLEM ENTATION OF AUDIT FINDINGS 101
6. STATUS OF THE INTERNAL AUDIT UNIT AND ITS STAFF 101

EXECUTIVE SUMMARY

Purpose & Limitations

The executive summary is intended to provide audit perspective, and highlight on a summarized basis, the significant findings discussed throughout the body of the detailed audit report. Care should be exercised in reaching conclusions solely based on a review or reading of this summary. It is necessary to read the specific detail sections and/or the report in its entirety to obtain the breadth of the background, ramifications, and recommendations relating to each issue and/or finding.

Relevant Findings

List a summary of each finding (without ramification/implication statement). Cross reference to detail section of report.

Implementation Status of Recommendations

Under this section, indicate the number of follow-ups undertaken and the number of recommendations implemented.

Status of Resources in the Internal Audit Unit

Indicate the number of Auditors in the Internal Audit Unit, and the number that received training and/or acquired new qualifications in the year. Also indicate if the material resources and other logistics provided to the Internal Audit Unit was adequate for the purpose of implementing the annual audit plan.

DETAILS OF REPORT

Introduction

Background

Provide background information about the Assembly and the Internal Audit Unit (IAU) – This should include a brief history, and purpose of both the Assembly and the IAU. This should be followed by the purpose of the report (for ex. This report is compiled from the various audits conducted in the course of the year according to the annual audit plan and various assignments requested by management and the Assembly. The report is in fulfilment of the requirements of section 120 of the Local Government, Act, 2000 (Act 584). State the various types of audit or reviews undertaken in the course of the year (This include financial, operational, compliance, IT and investigative audit or reviews)

Implementation of the Annual Audit Plan

Indicate the various assignments that were schedule for the year and those that the Internal Audit Unit was able to execute. Also indicate assignment that were requested by Management or the Assembly but which not in the audit plan. Indicate whether conducting the assignment requested by the Assembly or Management affected the conduct of the assignments in the plan.

Indicate whether the Internal Audit Unit was not given cooperation in the cause of conducting any assignment in the cause of the year. Also indicate the particular assignment and to what extent this cooperation was not given. (e.g. Staff of the Internal Audit Unit were not given access to records when they were auditing the procurement thrust area, or a the Finance Officer(key officer) refused to deal with the Internal staff of the Internal Audit Unit when they sought to audit the cash management activities of the Assembly, e.t.c)

DETAIL AUDIT FINDINGS FOR AU DIT ASSIGNMENTS CONDUCTED IN THE FOURTH QUARTER

Scope & Objectives

The scope should be brief and should discuss the timing, nature and type of audit work and the objectives should define the purpose of the work.

(E.G., the scope of the audit was financial and operational in nature and covered the period from 19xx through 20xy.

The objectives of the audit were to ensure that financial data was properly recorded and adequate operational procedures exists in the cash receipts, procurement, asset management, etc, functions.)

Methodology

Specify the nature and extent of audit tests performed, audit procedures and evaluation criteria, and the standards used when conducting the audit.
(e.g. The methodology adopted is in accordance with the Standards for the Professional Practice of Internal Auditing and applicable laws and regulations and included: reviewing and documenting relevant systems to establish the design and operating effectiveness of operational procedures, and evaluating the adequacy and appropriateness of accounting procedures and practices to ascertain whether accounting transactions were accurate, complete and fully disclosed in the records of the Assembly.

OVERVIEW OF AUDIT FINDINGS

Pages X through XX outline the **specific findings** resulting from the audit testing.

I. TITLE OF COMMENT

Criteria

Condition

Cause

Effects

Recommendation(s)

Auditee's Response

II. TITLE OF COMMENT

Criteria

Condition

Cause

Effects

Recommendation(s)

Auditee's Response

REVIEW OF STATUS OF IMPLEMENTATION OF AUDIT FINDINGS

Under this section, please indicate the recommendations that have not yet been implemented and the associated risk. This may include some of the findings listed above or those that relate to previous periods (thus, these should include recommendations made in the previous year or in the current year that are still outstanding).

No.	Conditions	Implications /Risks	Recommendations	Timeline	Action Taken	Responsible Officer
1.						
2.						

STATUS OF THE INTERNAL AUDIT UNIT AND ITS STAFF

Indicate the number of Internal Audit Staff and their ranks. Determine if the staff strength is adequate for the purpose of carrying out the annual audit plan. Identify training attended by staff of the audit unit and training requirements of staff of the unit for the ensuing year. Also indicate if any staff of the unit has obtained new qualifications in the current year.

Specify if the logistics (e.g. vehicles, stationery, etc) provided for the Internal Audit Unit was adequate for the purpose of conducting the various assignments of the Unit.

AUDITOR-IN-CHARGE	DATE
HEAD OF INTERNAL AUDIT UNIT	DATE

Copies of this report distributed to: **Copy received:**

1. _____ _____
(name and title) *(signature and date)*

2. _____ _____
(name and title) *(signature and date)*

3. _____ _____
(name and title) *(signature and date)*

4. _____ _____
(name and title) *(signature and date)*

(YOUR ASSEMBLY)
INTERNAL AUDIT UNIT

SUGGESTED REVISIONS TO IA MANUAL

ANNEX 32
PF D01

Prepared By: _____

Date: _____

Reviewed by: _____

Date: _____

(THIS FORM TO BE USED IN CONJUNCTION WITH OP 24)

VERSION OF IA MANUAL UNDER REVISION: _____

MANUAL SECTION NUMBER: _____

PAGE. #	**PARA #**	LINE(S) #[3]	REVISED / ADDED TEXT PROPOSED

[3] COUNTING FROM THE BEGINNING OF THE PARAGRAPH

(YOUR ORGANISATION)

INTERNAL AUDIT UNIT

PRE-AUDIT REGISTERS

ANNEX 33
A01

Payment Vouchers Register

Date	PV #	Preparer	IA #	Payee	Purpose	Amount	Taxes	Gross Amount	Internal Auditor	PV Recipient
Date (on which PV is worked on by the Internal Auditors)		Name of PV preparer	(a serial number generated by the Internal Auditors)	Name of Payee	Purpose of payment	Net Amount	VAT NHIL Tax (composite figure)		Name (signature or initials) of Internal Auditor who works on PV	(treasury or accounts officer who collects PV from IA) Receiving staff are not allowed to sign here if the voucher is queried

Query Register

Date	PV #	IA #	Payee	Reasons	Amount	Gross Amount	Internal Auditor	Recipient
Date (on which PV is worked on by the Internal Auditors		(a serial number generated by the Internal Auditors)	Name of Payee	Reasons for Query	Net Amount		Name (signature or initials) of Internal Auditor who works on PV	Recipient of PV (treasury or accounts officer who collects PV from IA)

Purchase Order Register

Date	LPO #	Supplier	Requisitioning dept	Item being purchased	Quantity	Purpose	Unit Price	Amount
Date (on which PV is worked on by the Internal Auditors)		Name of Supplier	Dept for which LPO was raised (requisitioning department)			Purpose of purchase		Gross Amount

Goods Received Register

Date	Supplier	Internal Auditor	User dept	Items supplied	Quantity	Gross Amount
Date of Inspection	Name of Supplier	Name (or initials) of auditor who conducted inspections	Requisitioning (user) department		Quantity Supplied	

Contracts works register

Date	Contractor	Issuing Dept	Purpose	Sum	Amount	Recipient
Date of Examination	Name of Contractor	Contract Issuing Department	Purpose of contract	Contract Sum	Gross Amount per Certificate	